

Sonata Software Ltd. (SONATSOFTW)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

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"Sonata Software Limited Q4 FY23 Earnings
Conference Call"

May 15 , 2023

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SONATA SOFTWARE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Sonata Software Limited Q4 FY '23 and Full Year FY '23 Earnings Update Conference Call.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Samir Dhir – CEO and Managing Director from Sonata Software Limited. Thank you, and over to you, sir.

Samir Dhir : Thank you, moderator. My name is Samir and a very good evening to all of you. A very warm welcome to this Conference Call to discuss our "Strategy and Goals and the Financial Results " for the Quarter 4, which ended on March 31, 2023 , and the Full Year Updates . Thank you for joining us today. We appreciate your valuable time and support.

It's my pleasure to share that the progress that we have continued to make with respect to our vision and growth for Sonata. The executive team remains committed to judiciously accelerate the growth curve and build scale and as we've always talked about, build scale in terms of large clients, large deals, market, partnerships and talent. We had a very exciting quarter and delivered yet another quarter of industry leading growth and I'll share the numbers little later in the call.

But before I do that, let me cover an update on our strategic goals first.

If you recall, we had stated in October 2022 that our international business will be \$0.5 billion in 4 years' time and we'll be known as a specialist firm in modernization and digital engineering and scale our India business aligned towards gaining market share with end-to-end contracts with data and cloud modernization opportunities. We have made tremendous progress towards our strategic goals of M&A, large deals and verticalization.

Let me cover M&A first. We acquired Quant Systems, a Texas-based IT services and software company in an all-cash deal in the quarter, the biggest ever acquisition in Sonata Software history. Quant had delivered \$37 million in revenue and mid-30% EBITDA in CY '22. Quant brings 2 large clients to Sonata, which will be Top 5 clients at Sonata from day 1 and this aligns to our strategy to invest in BFSI and health care. One of the clients is a BFSI client and the other is a health care client.

In the past 7 to 8 weeks, we have made significant progress in integrating Quant into Sonata. At

this point in time, I'm happy to report that from a go-to-market perspective, the 2 teams are fully integrated. We're working judiciously to create large deals, midsize deals and really expanding our footprint into BFSI and health care, which was a strategic rationale of making the deal in the first place. And we'll report more on that as we move forward, but at this point in time the go-to-market teams are fully integrated between Quant and Sonata teams.

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For the large deals, if you recall when I came on board, I had shared with you a sharp focus on large deals and we are very pleased with the progress we have made. Just to recap, we announced 2 large deals in Q2, 4 in Q3 and we're delighted that in the last quarter, we closed 3 large deals and 1 of them is the largest ever deal for Sonata.

Let me provide you commentary on the 3 large deals we closed in the quarter. First, the largest ever deal for Sonata which was a \$160 million contract for 10 years. This client is backed by one of the largest private equity firms, have a very strong cash flow and generating double-digit profitability. The client, which is a net new logo for Sonata, will make a direct entry into our Top 5 client list of Sonata. This 10-

year strategic modernization deal will entail Sonata taking over all the technology towers including people transfer, which supports our U.S. localization strategy and also, we will be responsible for end-to-end IT modernization and transformation. This is end-to-end and that's the key word to emphasize here. We are building a single platform for our future for the client to modernize and transform their core application suite, creating an omnichannel and connected organization with a customer 360-degree view.

We will bring that expertise and skills pertaining to Azure, AWS, enterprise data, automation, cloud optimization and CRM as we deliver this program. Beyond this exciting deal, which we have talked to you about earlier, there are 2 other large deals we closed in the quarter which increased over 12% from the prior quarter. The 2 other large deal we won, 1 is a large multiyear deal we won with a leading network service provider. Sonata signed a multiyear contract to partner on customer strategic business and technology transformation initiatives with a focus to deliver operational efficiencies and excellence leveraging our modernization capabilities. This is a multiyear contract. The third deal, which is a managed services deal of our Microsoft platform integrating Microsoft technologies and other IT solutions. This is a multiyear large deal as well with 1 of the largest manufacturers based outside of the U.S.

Customer selected us as a strategic partner to support them on their modernization journey. Our robust solution backed by our credentials with Microsoft product engineering and support really helped us win this deal. So, with that, our story just to recap of large deals continues to grow strong strength to strength, 2 deals in Q2, 4 in Q3 and again 3 in Q4 with one of the largest deals ever in Sonata's history.

From large deals, we could move on to provide an update on the verticalization. As you recall, we had talked about driving sharper focus into new verticals as well as harvesting the existing verticals. The invest verticals we called out was the BFSI and health care, life sciences. And the harvest verticals were TMT, which is telecom, media and high-tech, and retail manufacturing. Let's talk about the invest verticals.

On the Invest vertical side, we continue to build strong sales, delivery and domain capabilities in these verticals. The BFSI vertical is constantly evolving and adapting to new technology regulations and customer preferences. Our growth in banking industry in time to come will really be pivoted off these vectors. The banking industry has recently been facing some challenges, but Sonata Software Limited

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the area that we are focused on, which is in the consumer banking space and the regulatory space and data privacy space, the demand patterns continue to be robust even now.

On the health care side, the industry is expected to continue to grow in the coming years driven by demographic changes, technological advancements and changing health care delivery models. The shift towards value-based care and technological advancements have led to the development of new treatments and medical equipment, which are some of the key factors leading to overall positive outlook in the health care industry.

On the harvest vertical side, we saw the strength of Sonata for a long time which is TMT, retail and manufacturing. We continue to see strong pipeline build and order book momentum across all the harvest verticals. Having said that, we are seeing some softness in the high-tech industry, which is close to about 25%, 30% of our overall business. In a few select niche clients where growth rates have reduced, we're still growing but the growth rates have come down in the high-tech industry. But we remain overall positive even in the high-tech sector despite of those few clients that have showed some slowdown.

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ith that, let me move to provide you an update on the scale. It is indeed a pleasure to inform that Suresh HP has joined us from Mindtree as the Delivery Head of Sonata or Chief Delivery Officer for Sonata overall. With his rich experience, Suresh will enable Sonata to continue building an innovative and delivery organization that inspires our clients and team members to deliver high quality outcomes.

This is a strategic hire for us especially given our focus on large deals. We believe the capabilities and skills that Suresh brings to the table will really help us accelerate our large deal journey from a solution and capability point of view. Beyond that, we are increasing our investments in Generative AI. We're very excited about this space in Generative AI and we continue to make significant inroads in the Generative AI area. And we're happy to report that we won our first contract in the Generative AI space in the past quarter. This is a marquee engagement for us to modernize the productivity requirements of our clients using Generative AI.

We will continue to grow our India business with a sharp focus on annuity business. Our endeavor is to move up the value chain and make Sonata a preferred partner for everything related to cloud and data and really continue to drive end-to-end contracts with these clients. We have kicked off our endeavor to build trusted partnerships with leading hyperscalers and other key players who can strengthen our modernization play. Happy to report with Microsoft, we are now a Microsoft cloud solution partner and have completed 13 more advanced specialization with Microsoft. With AWS, we continue to grow strength-to-strength and really working with them to drive a high level of 'Join with the Market' jointly with them.

With that, let me move on to the talent. People success remains core to our success as we move forward as we scale the company. We launched Sonata Career Academy to offer access to vast Sonata Software Limited

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content and opportunities to Sonataees to learn the latest technology and continue to remain a value-added provider to our clients. We're very happy with the progress we're making at Sonata Career Academy.

On the diversity and inclusiveness, we formed a global council for D&I in the company and we are really pleased with the progress we're making on our D&I charter as well. From a women empowerment perspective, we were delighted that we hosted or partnered with the Women's T20 cricket franchise and really it helped us strengthen our brand as well as our commitment to the D&I initiative. Based on the above updates and progress we have made; whether it is the M&A which is largest ever acquisition, whether it is the large deal which is the largest ever deal in Sonata's history, whether it is the D&I investment that we are making, our teams have come up with this theme called Play Big and this is the Play Big Sonata that you have seen and we're very delighted with the progress overall we're making.

With those broad strategic goal updates, let me move on to Q4. In Q4, our international services business grew by 8.6% overall. Within that, organic grew 4.5% quarter-on-quarter. Well pleased with the progress with those numbers. Our yearly numbers growth in the international business was 18.7%. In constant currency terms we witnessed 8% quarter-on-quarter and 23.1% full year Y-on-Y growth. Our operating margins were 23.9% normalized after the onetime M&A related costs, which were Rs. 17.1 crores pre-tax. But with those incorporated, our operating margins are at 20.7%. The gross contribution in our domestic business grew 2.9% sequentially and 28.8% full year Y-on-Y. FY '23, our PAT grew 20%. Consolidated PAT grew 7.8% normalized if you back out the M&A related expenses in the quarter.

We had a net headcount growth of over 702 employees within the company and

that excludes

Quant. We really grew the headcount significantly in the course of the quarter and this also includes the 140 freshers that joined the organization in Q4. We continue to make steady progress on reducing our attrition. In the quarter, the attrition came in around 12%.

In summary :

We continue to remain optimistic about the long-term growth prospects, the progress that we are making whether it's large deals, M&A integration as well as driving capabilities in the company.

In FY '24, as we start the new fiscal, we have 2 tailwinds 1 potential headwind. The 2 tailwinds are the large deal that we announced and the Quant acquisition we announced. And then there is a potential headwind on the TMT softness in few select clients. All-in, we expect to deliver a strong upcoming quarter and expect to stay bullish about our growth prospects in FY '24 and we expect to deliver a Top 25% quartile performance in the industry. With that, we remain on course for our \$500 million goal and deliver a high growth in FY '24 and this growth will be higher than FY '23 in dollar terms.

With that, thank you and let me turn it over to Jagan for his comments on our financial performance. Jagan?

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Jagannathan CN : Thanks, Samir. Thanks for your update. Good morning, good afternoon, good evening, all. We had a very exciting quarter and delivered yet another quarter of industry -leading growth. It's my pleasure to present you the Q4 '23 Financial Performance .

The revenue for the quarter grew by 8.6% quarter -on-quarter and 18.1% year -on-year. In rupee terms, it was 9% quarter -on-quarter and 28.9% year -on-year.

In constant currency terms, we have witnessed 8% quarter -on-quarter growth and 21.2% year -on-year growth. Other metrics. Consolidated EPS for Q4 was Rs. 8.10 per share and Q3 was Rs. 8.40. Financial year '23 was Rs. 32.60 compared to Rs. 27.2 per share last year. At the consol level, ROCE stood at 36.8%. There was a small drop in the ROCE compared to last quarter. This was due to the additional capital employed of 4% during the quarter. 6% increase in the network and 3% drop in consol PAT presented in the decrease of RONW from 40% to 36.5% in this quarter.

Profitability in Q4 PAT grew quarter -on-quarter 7.8%. Normalized for onetime M&A -related costs of Rs. 17.1 crores gross pre -tax and the reported PAT declined by 3.3% quarter -on-quarter. For the financial year '23, year -on-year PAT grew by 23.5% on a normalized basis and 20% on a reported basis. Q4 consol PAT percentage was 5.8% against 5.2%. Normalized basis Q4 PAT stood at 6.8% compared to 5.2% reported last quarter. Q4 consol EBITDA percentage was 7.9% against 6.9% in Q3, on a normalized basis, consol EBITDA stood at 8.8%. The International services EBITDA before ForEx and OA reported was 20.7% against 23.8% last quarter. However, on normalized basis, we have improved 10 basis points and the EBITDA before ForEx and OA is actually 23.9% for this quarter. 350 bps quarter -on-quarter drop mainly because of salary increment had a net impact of 97 basis points, onetime M&A costs and related costs was 330 basis points, exchange realization and working days have given us a benefit of 56 basis points and Quant profitability impact was around 46 basis points.

Here in the exceptional segment for the index due to M&A was actually the full quarter amortization impact was about what we are expecting from the next quarter. Just for the update of the analysts. We will have an amortization impact of around Rs. 9.5 crores per quarter. Then interest on the loan what we have borrowed is roughly around Rs. 505 crores. And the interest on deferred consideration, which is an accounting entry as per the Ind AS and equal to IFRS, this amount is about Rs. 8.5 crores and the total is about Rs. 23 crores impact every quarter. The interest on loans will come down once

we start repaying the loan and we are expecting to completely repay the loan in 12 to 15 months' time. And the interest on deferred consideration will sharply drop after the first payment happens in the January, February of 2024 and further it will keep coming when the amount is paid fully, this amount will completely go off.

However, the net amortization amount may continue for a slightly longer period of time when the intangible assets are amortized. The domestic gross contribution grew 2.9% sequentially

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from last quarter and full year was 28.8% year -on-year. Key update apart from these financials what I have given, the utilization moved from 84.2% to 86.4% led by optimization of the headcount and higher deployment. Added 50 new customers compared to 20 customers' last quarter. Top 20 client concentration sustained at 66%. Number of million -dollar customers have increased in Q4. \$1 million to \$3 million was 43, Q3 was 37; and 4 increase from Quant additions happen during this quarter. \$3 million to \$5 million customers are 7, 3 increase and out of that, 3 was due to from Quant. And more than \$5 million customers are 8, 5 in last quarter, 2 increase from Quant. We have mentioned about the new industry vertical classification in the previous earning call.

TMT vertical has contributed to 31% of the revenue, Q3 was 33% followed by 26% in retail, CPG and travel and hospitality industry, which was 21% in Q3. Cloud and dynamic competency have contributed 36%, which was 35% in the last quarter and 37% of the revenues, respectively. So, total headcount moved from 5,727 in Q3 to 6,429 in Q4. The net headcount growth of 700 employees within the company. Excluding Quant, it was 209 additions.

In summary, we continue to remain optimistic about our long -term growth prospects. And for the quarter and for the year, the final dividend we have declared is Rs. 8.75. With this, the total dividend comes to Rs. 15.75 for the whole year. And we continue to be very, very optimistic on the growth and, as Samir mentioned, we are very positive in the direction of achieving the \$0.5 billion in the next 3 years.

Thank you all. Hand over for the questions.

Moderator : We will now begin the question and answer session. The first question is from the line of Baidik

Sarkar from Unifi Capital.

Baidik Sarkar : Congrats to you and the team on a very good print. A couple of questions. Samir, basically your conversations today and notwithstanding the deals that you've already won, what is your level of satisfaction around the quality of the large deal pipeline conversations that you're having and how do you feel about conversions going forward? And on the same line, Samir, over the last couple of quarters you are on track and especially since you've come in last year. There's been a good amount of qualitative discourse on the new areas of growth in the future. My question is how the legacy part of our business doing, right? What's the outlook on the Microsoft part of our business that has gotten us here so far? So, your comments on these and then I'll come back with the follow-on points.

Samir Dhir : Thanks for the question, Baidik. I think the 2 parts. On the large deals, qualitatively the way to think about it is 2 stages. Number 1, as you know, we have invested significantly in the modernization engineering aspects. We continue to see a strong demand pattern on the modernization side especially all industries, which are consumer facing, whether it is retail, whether it is health care we continue to see that momentum come through from a modernization perspective. Even in these times while customers are more calibrated, but they have continued

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to spend and invest in these consumer facing modernization initiatives. So, we don't see any significant slowdown on that front. O

f course, there are some decisioning delays here and there, but by and large the momentum is pretty robust.

On the cost takeout side, the second bucket, I think there are conversations happening. But really seeing the adoption of emerging areas, whether it is the Generative AI area, whether it is the modernization automation story of hyper automation. I think that's the second bucket that we see. At a high level, I would say about 70% to 80% of our deals are much more modernization oriented and only 20 %, 30% of the deals are perhaps more on the cost takeout side. So, that's the way to think about it. And I think we're pretty bullish about this because as customers continue to spend and refine their front stores, we believe we have an opportunity to look at that capability and drive that acceleration from a large deal perspective.

On the second part of your question about the Microsoft relationship that Sonata has enjoyed over 30 years. I think that continues to grow quite well. We are very happy about the progress we're making and let me give you some color on that, Baidik. There are 2 parts. So, there is of course a dynamic, which has been the strong suite of Sonata over the years. We are continuing to see a good pipeline build because Microsoft is themselves making good progress on the dynamics side to very good relationship.

And the second part is we are beginning to see adoption of power platforms, which is their low -code/no -code version of the tools. We continue to see good momentum and for one of the telecom clients, we've been commissioned to create a flurry for them in the power platform to drive the low -code/no -code adoption. Early days, we can't declare a full success on the low -code/no -code power platform from a go -to-market perspective. But what we're seeing right now is quite tremendous progress investment as well.

Baidik Sarkar : That's helpful, Samir. In terms of the large \$160 million deal that we've won, the very basic math such as starting Q4, the ramp -up works out to about 6% and sequential revenue growth. Is that math assumption right or would you caution us on that assumption?

Samir Dhir : So, I think the \$160 million 10 -year deal, I think it's pretty linear in nature. I think the first 1 or 2 quarters the ramp -up will begin gradually and then it will fully get ramped up by later in this year sometime in second half. So, I think we'll continue to see that come through in the next, I would say, 1 to 2 quarters, that will ramp up and scale of the deal coming through. Beyond that, it should be pretty linear by and large. Of course, some seasonal effects happen with retailers so we do continue see some seasonality effects in this deal also perhaps slightly more uptick in the Christmas period and seasons like that. But apart from that, it should be linear.

Baidik Sarkar : I'm sorry, do you say we'll begin to see a ramp up in Q2 or was it Q1? I'm sorry.

Samir Dhir : It's already ramping up now, but the full ramp -up of the deal will happen in Q2. It's already ramping up right now.

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Baidik Sarkar : So, in terms of Q4, how many deals impact would that have? I'm just trying to see what the variability in Q1 will be.

Samir Dhir : So, Q4 was almost negligible.

Baidik Sarkar : Sorry, come again?

Samir Dhir : Q4 was almost negligible. I think you continue to see a big impact in Q1 and the final one in Q2.

Baidik Sarkar : And the final question for Jagan. Just to understand, did I hear it right, the noncash impact starting Q1 will be about INR23 crores a quarter. Is that right?

Jagannathan CN : Correct. You're right. That is below the EBITDA due to acquisition. And this was like except for the interest on the loan, the rest is more of an accounting entry, a noncash item.

Baidik Sarkar : I understand. I missed the third component of FY '23. So, Rs. 5 crores on amortization, Rs. 8.5

crores on interest. What was the third component of that?

Jagannathan CN : This is interest on loan is Rs. 5 crores.

Moderator : The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : Sir, I missed the initial part, but did you say there is softness in travel vertical for 1Q. So, first is how should we read 1Q outside the large deal ramp up and Quant acquisition? And second was related to this headcount, was there some reclassification between domestic and international IT because now our number looks like 300 plus? Initially it used to be around 170, 180.

Samir Dhir : Let me take the first part and I'll let Jagan to take the second part of the question. On the first part, we continue to see good demand pattern across our industry. What I was alluding was on the high -tech side, Mohit. We have seen in few clients, there is some softness in decision delay. That's the headwind I was talking about. But apart from that whether it is retail manufacturing, health care, life sciences, even banking; we continue to see a good strong demand momentum going on there. It was not travel.

Mohit Jain : TMT is like almost 1/3 in that sense so we should expect some impact there in the first half. Is that a fair assumption?

Samir Dhir : Few clients, yes, but not overall. The growth rates have come down, it's not that the growth is coming down. It's not about degrowing, but the growth rate has come down in the high -tech vertical.

Mohit Jain : And you do not see challenges in the rest of the verticals like retail manufacturing?

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Samir Dhir : No, we are not seeing. We are not seeing any challenges right now. Jagan, do you want to take the second part, please?

Jagannathan CN : Yes. Mohit, can you repeat the second part of the question?

Mohit Jain : So, I was looking at the headcount split between international IT and domestic so it looks like there is some reclassification of headcount between the 2 segments. Domestic now shows close to 400, but earlier it used to be around 200, 180 kind of level. So, some employees have moved from here to there?

Jagannathan CN : Yes. Originally the services part of it was with the international services side of it. We have moved some people who are providing service, which is integrated with the license sales, they were in the international business. Now they have completely been aligned to the India business only.

Mohit Jain : So, when you say services business, you're referring to the cloud part of it?

Jagannathan CN : I'm referring to the entire for the licenses whatever is required to be done. There are some technical support required for that portion.

Mohit Jain : Okay. So, when we are trying to calculate your, say, productivity, et cetera, we should only consider the headcount which is now disclosed in international IT, right?

Jagannathan CN : Correct. Yes, you're right.

Moderator : The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya : Sir, couple of questions. I start with the international vertical first. What challenges do we see for FY '24 and '25 vertical -wise and geography -wise? Second, the acquisition which we have done, I guess it's the largest one in the entire Sonata's history. So, are there any couple more acquisitions you would consider in the near future to expand our international services business?

Third question on supply side pressure, what catalysts or a positive tailwind we are expecting in FY '24 versus what we have experienced in FY '22 or in '23?

Samir Dhir : Let me take the questions one by one. So, on the overall growth forecast and the pipeline that we are seeing at this point in time, across verticals and geographies we continue to see a good pipeline build for us. Like I said, the only area we've seen some softness in the high -tech s

pace

for a few customers where there are decision delays and the growth rates have come down to what it used to be. But beyond the high tech or the TMT sector of Sonata; whether it is retail manufacturing, whether it is banking, health care, life sciences and emerging; all across we're not seeing any softness at this point in time. Across geographies, the same story continues whether it is U.S., Europe, Far East, Australia, New Zealand and India; the growth momentum

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is relatively robust across all geographies. So, we can't call out any particular geography, which is either underperforming or completely not to our satisfaction. So, we don't see that pattern as yet on that first question.

On the second part of M&A, we've said this before. We will continue to look for assets and properties which are going to cover our white spaces in the modernization engineering space and the verticals that we are going after. At this point in time, we just announced an acquisition. We are really head down integrating that asset and like I said earlier, we're fully integrated from a go-to-market perspective point already. We want to maximize that integration and really deliver to the promise that we feel is in front of us after integrating it. But beyond that, if there are good possibilities available, we're absolutely happy to consider and take it on value as long as it meets our strategic objective on modernization engineering. And the third, let me hand it to Jagan on the supply side. Jagan, do you want to answer the supply question.

Jagannathan CN : On the people supply side, your question was more on people supply side, right? So, the market has stabilized a little bit more now compared to what it was last year and we are continuously improving the process and the attrition levels have come down dramatically across the industry segment. There are particular segments, which is like a specialized segment where still there are some shortages and we are still looking out for hiring people. But it is far, far better than what it was in the last year, substantial improvement that we are seeing and that reflects in the attrition, that reflects in the headcount and all this area. So, we continue to invest in people and add people and these campus hires also, which are continuous process for us now. Last year, we have honoured the complete campus additions what we promised, we have completely taken them onboard.

Chirag Kachhadiya : Okay. Sir, I have 1 follow-up question on domestic business side. The margin profile of this business is relatively low compared to the international. So, what levers are there? And also, from 3 years' perspective, what's planned there for the domestic business?

Sujit Mohanty : This is Sujit this side. As you said rightly that obviously the margins are not comparable to international business, that's true. That is the characteristics of the business and that is known.

As far as the levers are concerned, see, there are 2, 3 things what we do to maintain or increase our margin. One is obviously to make sure that we get involved in the customer implementation process and the adoption process, which gives a little bit of advantage to us in terms of managing and increasing our margins or to run some of the transactions.

And the second thing what we do is that there are various skills which comes out from the OEMs, that means the hyperscalers or other OEMs whose product and technology we sell to the customers and we make sure that all our GTMs are aligned to these new skills and the new rebate programs which are there and that helps us in building our margin.

And the third thing what we do is that to enhance the competency level and to make sure that we are qualified and certified in the areas in which the OEMs are promoting their products. So, Sonata Software Limited

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these are the 3 things what we do to make sure that we maintain and increase our margins. And regarding the future view of the business, I think it's a growing market in India. And as Samir has already explained, we have put lot of effort to have a very large market share in terms of the annuity business. Currently, we are almost having 75% of our business as annuity business and that gives us the levers to have a much larger growth because once the base is there, we can focus little bit more on the new accounts and the new customer status and that is what we continue to do.

Moderator : The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Couple of questions. First question is about the international business outlook. We aspire to reach \$500 million by '26 end which maybe implies 4.5% kind of number. So, just want to get sense or overall thought process about M&A versus organic growth as far as in this 4.5% kind of number? Second question is about vertical-wise. You partly alluded about the challenges in high-tech in some of the accounts. So, what's your sense about that stickiness continuing or whether you expect it to be temporary or you think some of those things may continue or prolong?

Samir Dhir : So, let me take both the questions. So, the first one first. Yes, we have talked about \$500 million in about 4 years' time in October 2022, which is still our goal to get there and I think all the indications are we might get there slightly sooner than the 4 years that we had outlined. But keeping that aside from an M&A and organic perspective, our philosophy is right now to drive mostly organic. But if an inorganic acquisition comes through, we are not going to be shy of that. But our plan is at this point in time to drive this with all the acquisition that we've done to date and really set them out. But if there are some tuck-ins we need to do along the way, we'll

take them on and integrate them fast with the base business and move forward. That will be the philosophy that we'll follow, Dipesh, on that.

The second point about the high-tech. I think the trend we are seeing is the pipeline continues to be strong in high-tech. We are seeing some decisioning delays in few clients. Our sense is as far as we can see, we should start to see an uptick latter half of this current fiscal, mid part of Q2 to late part of Q2 I think the high-tech sector should come back to its original growth curve that we are anticipating. So, we think it's about a couple of quarters of the slowdown in decisioning delays at this point in time. It's hard to predict. But as far as I sit here right now, that's our current best estimate, Dipesh.

Moderator : The next question is from the line of Sameer from ICICI Prudential AMC. Please go ahead.

Sameer Dosani : Just 1 clarification. We have also highlighted that our total revenue on Sonata level is \$900 million. This will reach \$1.5 billion in next 3 to 4 years. So, if I look at the implied growth for domestic business, this is only 10% to 15% growth versus the 30% growth that we are currently growing. So, is there something I'm missing out on for the growth profile for domestic business for the next 3, 4 years?

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Samir Dhir : Sameer, good question. I think you should continue look at these 2 businesses separate.

Unfortunately, or fortunately, we provide consolidated numbers, but keep that consolidated numbers aside. The international business will get to \$500 million mark in 4 years from October 2022 or sooner and we're pretty bullish about the fact that that should happen. And we feel there is very low to limited risk unless the core market conditions do not change, we feel pretty strongly positive about getting to the point. On the domestic business, as we've always outlined and I think Sujit answered this question e

arlier as well, we should really look at the gross

contribution in absolute numbers perspective. Our focus is to drive DC gross contribution on an absolute number perspective. Of course, from a consolidated perspective, they will look at the overall revenue. But those are the 2 broad metrics that we continue to focus and drive as such.

Sameer Dosani : And secondly, I mean I think you would have answered, sorry if I missed it. Any indication around how should be the growth profile in the domestic business from a gross contribution point of view or any commentary around that? That would help.

Sujit Mohanty : So, if you see for the last 2 financial years, we have maintained a very healthy growth and this year also year-on-year, I think we are around 23% of gross contribution growth. And going forward, we believe that should be maintaining this growth momentum. Have I answered your question?

Sameer Dosani : Yes, it does. And Samir, if you can speak about the average size of these deals. We have seen 9 large deals excluding the 1 large deal that you have quantified already. What is the average size of the deals? That is one. And second, if I look at the large deal \$160 million deal that you have pointed out, is this margin diluted at the start because that's how large deals typically work? So, if you can comment around that line.

Samir Dhir : Sameer, so let me take the second question first and come to the first part. So, the large deal which we announced is a really marquee client in the retail space. They are highly profitable, double-digit profitability and a very strong cash flow. Our margin profile on the deal itself is actually accretive in the 10-year period, which is better than the average margin profile at Sonata. Having said that, in year 1, there will be dilution because we are doing transition and investments are there in the deal. But beyond that in second year onwards, it will pick up and as time progresses will continue to increase the margin profile in the deal. So, that's on the large deal. From the other deal that the 8 or 9 deals that we announced in the course of the year, Sameer, I think these are all multimillion contracts and it's hard to put a number because they start as modernization programs, but they are multimillion and multiyear contracts. And they are in multiple millions product and where we can share numbers, we shared with you. For example, the \$160 million we could share were very definitive under the clients end up with. But most of these are in that zone of couple of million a year, year 3 we see the deal turn slightly bigger, sometimes 3-year annual contract and 3-year deal. So, it's very hard to put a number, but it's in that zone of multiyear multimillion deals.

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Sameer Dosani : And if you can comment around the growth rate or the run rate that Quant is running at? We saw we had the CY '22 number that you disclosed. But if you can comment around the current growth rates in the Quant business, how it's trending right now?

Samir Dhir : It's pretty much aligned to what we outlined when we announced the acquisition 2-3 months back, Sameer. I think they are in that zone of low 30% growth rate and low 30% EBITDA, I

think that momentum will continue. There is a lot of synergy that we are driving on top of it, which will be on top of it that will drive collectively with them. Think of Quant on a stand-alone basis, which is although too hard to differentiate now because it's fully integrated at this some in time. But we are confident they will deliver low 30s growth on their own as it was.

Sameer Dosani : And lastly, just to clarify, our wage hike is behind us, right? Q4 was a wage hike quarter and that's behind us.

Samir Dhir : Jagan, you want to answer that, please?

Jagannathan CN : Pardon, your question again?

Sameer Dosani : Wage hike is already behind us, right?

Jagannathan CN : No. There is 1 part of wage hike we have done in the quarter 4. There is 1 more part of wage hike and that is for senior management is still there. It will be roughly half of the 50%, 60% of the wage hike impact of what we have done in January.

Moderator : The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on a good set of numbers. Largely I mean I wanted to understand the Quant Systems company that we acquired. There were 2 clients, I mean 1 on the health care side and on the BFSI side, these 2 large clients which we are looking at. So, just wanted to understand what is our strategy in mining these accounts specifically and what kind of mining are we going to have in these 2 large accounts? That was my first question.

The second question was on the EBITDA margins. I mean currently the international part of the business we are having 23%, 24% kind of EBITDA margins and we are mentioning about EBITDA margins looking at early 20s kind of a number when we are looking at \$500 million kind of a business. So, just wanted to understand what kind of investments are we going to make for this EBITDA margins to get compromised? And how are you looking at the trade-off between growth and margins specifically in that context? And my third question was on the domestic part of the business. I mean is the domestic part of the business seasonally weak in 4Q? So, I just wanted to have an understanding. I mean is 4Q a seasonality for domestic part of the business and why is it so? So, those were the questions.

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Samir Dhir : Maybe try and answer one by one. So, on the Quant side, there are more logos beyond the 2 or the 2 are very large logos. Our strategy is fairly simple. If you think of Quant, they are experts in enterprise data and data privacy. What we are doing is working with them to create larger deals, which are more end-to-end in nature to really bring Sonata capabilities whether it's in automation, whether it's on modernization, whether it is on front-end engineering. We're really taking the entire suite of Sonata capabilities into these 2 large accounts and other accounts with Quant as well in creating mid-sized and large deals both. And we're very happy with the progress that we have made. We put investments from Sonata side into Quant business to drive some of these deals as well to really integrate the go-to-market like I talked about earlier.

So, our strategy is fairly simple. Take our capabilities into all accounts of Quant and likewise the enterprise data and data privacy capabilities of Quant, take them into Sonata accounts and really drive a full end-to-end integrated business. And like I said, we are very pleased with the progress that we have made in the last 6, 7 weeks. At this point in time, the go to market is fully integrated. On the EBITDA side, I think we have talked in the call about this earlier as well. We will invest 1.5% to 2% of our EBITDA in terms of our go-to-market, large deals capabilities and general capabilities broadening for Sonata as well. It's something that we've outlined about 6 months back as well. And hence we believe fairly confident we can still deliver this type of investments low 20s EBITDA go forward as well. When you think of us, it will be a low 20s EBITDA company in about 3 years' time as we get to the \$500 million mark, I'm talking international business alone in that sense, which I think is a pretty good trade-off because we're really investing the cash we're generating and investing back in the business to really drive growth and take market share aggressively. But we know we've probably seen competition commentary. Most of the competition is declaring slowdown in the coming years, but we hopefully learned about what is in front of us in the year. And that's really driven

by our large

deals' investment, our M&A investments and another investment we made today broadened services. Of course, we are cautiously watching the high tech space and I alluded to this earlier.

The next 2 quarters we are seeing some softening in few clients in high-tech. But beyond that, it's a pretty solid momentum that we contribute to. That's the second part of the question.

On the third on domestic, I'll start and then Sujit can build on this. The business in itself has seasoned contracting and billing cycle, it generally comes around in Q3 of the fiscal year and Q4 seasonally also is a relatively different quarter compared to others. But if you really look at Q4

Y-on-Y, we have done very well in the domestic business as well. I think Y-on-Y our business will be 31% plus or higher. So, if you take the seasonality factor piece here, the business continues to be robust and we're feeling pretty bullish about it. With that, maybe Sujit wants to add a few points on that. Sujit?

Sujit Mohanty : Just to add what Samir said, yes, there is some kind of seasonality in the sense that especially on the revenue side what happened, there can be some quarters as we are seeing especially in the Q3, there are multiple very large contracts which are there in that particular quarter. And because our annuity business is so high, what happened year-on-year, the same large contracts get built in that particular quarter. And it also depends on our OEM with whom we were working. A lot
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of times what happened based on their financial year-end, lot many large deals can get concentrated on a particular quarter. So, that is what you see specifically between Q3 and Q4 what Samir was explaining. And in our business, we don't have too much of control in the revenue. So, what basically we try to make sure that we focus on the margin and return on capital employed because it is little bit difficult to control the size of the contract what you are getting, what the business what we really focus is having good contract and good margin. Hope I have answered your question?

Mihir Manohar : Sure, yes. That's really helpful. And best of luck for the overall journey.

Moderator : The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande : Sir, just wanted to understand on the acquisition side, are we looking to do more acquisitions and what is the timeline for the same?

Samir Dhir : Thank you for your question. I think our strategy is to really look for properties, which help us clear the white spaces in the modernization engineering space and we'll continue to do so. But at this point in time, like I alluded earlier, we've just done the largest acquisition ever in Sonata. We are head down making sure that we maximize the opportunity in front of us in the Quantum integration and go-to-market and that's really where our focus is. Having said that, if we do intersect a company which is of interest and helps us sell our white spaces and from a modernization engineering perspective or vertical point of view, we'll be happy to consider it. But that will be more whether it meets the need rather than we look for an acquisition proactively out there. We'll continue on that same strategy. Does that answer your question?

Pallavi Deshpande : Yes, that answers that question. I have a second question if I may. On the Generative AI side, you mentioned earlier the contract size. I was wondering if you could share what was it?

Samir Dhir : We're very excited about the Generative AI space. So, I think there are 2 ways to look about it.

First of all, we have implemented several use cases within Sonata on Generative AI ourselves working with some of our partners. But beyond that, we have had 2 significant wins in the Generative AI space. One, which is more on driving the productivity in our customer support

mer support

area for our customers to use Generative AI to drive high level of productivity using the Generative AI capabilities. That's 1 contract that we have won. And the second is in the health care space, which is what we call a safe GPT, which is really providing the security cover using the Generative AI content. So, that's the second one that we won in the course of the quarter.

Moderator : Next question is from the line of Dhvanet Savla from DN Trading. Please go ahead.

Dhvanet Savla : I have just 1 question. It's on our employee cost. As I heard earlier in the call that only a part of the increment has been processed in this results. I just wanted to know when will the other
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half be seen in the results, I mean which quarter and to what tune does it actually affect our margins or our productivity?

Jagannathan CN : Yes, I'll take the question. The increment for the second part of the senior management will be in Q1 of this year and it will be roughly about half of the impact what we have given for the -- what increment in Q4 what it had.

Dhvanet Savla : So, I mean apart from that, there are no out of the cycle increases in the employee cost which we are featuring right now, right?

Jagannathan CN : Yes, that's what I was mentioning also. The people supply side of it has improved dramatically compared to what it was last year. So, we are not giving out-of-cycle kind of thing at present. The people supply side and attrition has come down and people supply side has improved a lot this year compared to last year. So, there is no expectation of out-of-cycle increments for anybody now.

Dhvanet Savla : That's great. All the best for the coming quarters. Wonderful set of numbers.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand

the conference over to Mr. Samir Dhir for closing comments. Thank you and over to you, sir.

Samir Dhir : Thank you, operator. And thank you all of you for joining the call and for your valuable time.

Like I said earlier, we are very excited about the quarter that we just closed. So, some very exciting things happened in the quarter. We closed the largest contract, we closed the largest M&A and we continue to see good momentum. There are 2 strong tailwinds behind us based on the large deals and the M&A and then there is a small headwind of this high -tech for the couple of quarters will be in front of us. But overall, we continue to be very bullish about our business momentum both on the domestic side and the international side. And we really thank you for your support in the journey. Thank you. With that, you can close the call.

Moderator : Thank you. Ladies and gentlemen, on behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

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2nd February , 202 4

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street, Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosure dated 23rd January , 202 4 and 1st February , 202 4, please find enclosed Transcript of Analyst/Investor call of the Company held on 1st February , 202 4. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations/quarterly/results> .

Please take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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“Sonata Software Limited Q3 FY24 Earnings
Conference Call ”

February 01 , 202 4

MANAGEMENT : MR. SAMIR DHIR – CEO & MANAGING DIRECTOR ,
SONATA SOFTWARE LIMITED
MR. JAGANNATHAN C N - CFO, SONATA SOFTWARE
LIMITED

Sonata Software Limited
February 01, 2024

Moderator: Ladies and gentlemen, good day and welcome to Sonata Software Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Samir Dhir - CEO and Managing Director from Sonata Software Limited. Thank you and over to you, sir.

Samir Dhir : Thank you, operator. Good evening, everyone and we thank you for joining us today. We appreciate your valuable time and support for Sonata .

In today's call, we will discuss our "Strategy , the Progress on our Strategic Plan and the Financial Results " for the quarter ending December 31st , 2023 .

It is my pleasure to share our progress towards our vision and growth trajectory for Sonata , despite the macroeconomic challenges and geopolitical issues which are resulting in slowdown in tech spending across the globe. Our big bets and continued investments continue to deliver great outcomes for Sonata.

First, let me give you an update on our strategic goals and the progress we have made Y-o-Y on those goals :

As we stated in our earlier calls, our objective continues to be one of the fastest growing modernization engineering firm powered by a unique platform ation framework. We aspire to achieve revenue of 1.5 billion by the end of FY26 at an international EBITDA level of low -20s. From a growth point of view, we have outlined a few critical bets that we are making. Number one, win multiple large deals consistently every quarter; number two, over delivering our M&A ; number three, win new logos that can scale for Sonata to be the next large account for Sonata leveraging our partnerships with our key partners like Microsoft, AWS and other partners. And we wanted to achieve these goals in four verticals that we have called out are strategic verticals, which is Healthcare , Life Sciences ; Banking , Financial Services and Insurance ; Retail Manufacturing and TMT and the five geographies which is North America, UK, Europe, India and Australia.

In the past four quarters , I will provide an update for the last four quarters together, we have won 16 large deals. We significantly over performed in our Quant and En core acquisitions. We added 11 Fortune 500 clients in the last four quarters. Our Healthcare Life Sciences business, which was 9% of our revenue same time last year is now 12% of our revenue. So, as the platform grew, we added 3% more in Healthcare Life Sciences, which were a strategic bet for us. Our BFSI
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business, which was 7% of our revenue same time last year is now about 18% of our revenue now.

Our Modernization Engineering focus helped increase our cloud and data revenue contribution from 45% to 59%. Our teams have delivered these outcomes by sustaining EBITDA in the 20s. We are very proud to drive our top quartile both growth and EBITDA performance . It makes it special to drive this growth in this environment at a high EBITDA, which is almost in parallel at this point in time. Sonata software was just the fastest growing IT service provider in the most recent quarter as per HFS data viewpoint 2023 report.

Let me provide you an update on AI, which is a bit in investment we have made in the course of the year :

1. Sonata aims to lead the AI wave by modernizing tech and opts for a client. We are helping our clients on three dimensions , #1 leveraging AI to drive efficiencies for our clients , for example, our clients blended automation and AI to drive intelligent content generation with workflows to reduce manual effort.
2. The second

dimension in which we are driving AI is by leveraging AI to drive higher consumer experience and modernize sales as an example, our teams are delivering insight from Rs. 60,000 for a high-tech client to enable contact center sale staff to drive cross sell and upsell opportunities.

3. And #3 is driving innovative business models, for example, generating new content from existing content using AI. We expect 20% of our revenue from AI services in the next 3 years. We have over \$50 million pipeline on AI across 90 plus clients and prospects. In close collaboration with Microsoft, our teams are building solutions on Microsoft Fabric which is going to be infrastructure for AI as we move forward.

Harmony AI, the enterprise platform was responsible Gen AI adoption got listed on Azure and AWS marketplace and is now acknowledged by partners, industry bodies and our clients.

With that, let me provide an update on large deals and large deal pipeline :

We are delighted to report that our large deal pipeline is now 48% of our total pipeline, which is a 3x jump in dollar terms over last year. We now have 40 plus large deals under pursuit in the company.

Let me provide an update on the three large deals that we won in the most recent quarter :

Two of the three deals are for Fortune 25 clients :

1. Deal #1 this is a client in large home improvement retail corporation in United States.

The client faced challenges in modernizing their core systems and generating efficiencies across their inbound and outbound supply chain due to non-performance

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from an incumbent partner. The client evaluated multiple prospective vendors and chose Sonata as a strategic partner for standardization and modernization. This is a five-year tenure deal with continuous modernization to transform their supply chain operations.

2. Large deal #2 is for an American multinational technology corporation. The client was looking to improve and expand their end consumer experience and success using their products and services in modern data using AI and ML. Sonata partner with the customer to provide efficient solutions catering to the end user requirement leveraging strong domain and multilingual support for end customers.

3. Deal #3, the client is an American transportation services company specializing in shipping. The client was looking for reliable partners who could help maintain their applications and infrastructure footprint across all lines of business. Sonata will provide development and modernization services on cloud cutting edge technologies and automation. We are truly delighted to have yet another quarter with three large deals.

With that, let me provide you an update on the new logo wins :

During the quarter, we added marquee logos which include a Fortune 20 client, a Fortune 22 client and a Fortune 150 client, an update on scale with following a key bet to power us to scale up fast. Microsoft Fabric, which we outlined earlier is a data analytics platform for the era of AI. It went in general availability by Microsoft during the most recent quarter. During the event, Sonata was the only Indian SI among three other global partners explicitly mentioned in Microsoft Azure Data CVP in the launch note. Our team of over 300 data engineers enables the client to leverage this new end-to-end analytics platform paradigm. We continue to witness significant pipeline build for Fabric since its launch and we now have over \$50 million of pipeline across 100 plus clients.

Microsoft Dynamics for enterprises as they go through digital transfer journey and attempting to revamp how they operate, support customers and create business opportunities. Sonata continues to aim to transform such enterprises by undertaking complex migration as part of our modernization services for F&O, CE, power apps and power platform. Our joint GTMs with ecosystem p

artners and hyperscalers continue to make rapid progress.

We are proud to share during the quarter some outstanding awards and accolades our team won in the quarter. I am going to talk about four awards that we won in the course of the quarter :

1. We received the prestigious recognition in the form of "Most Preferred Workplaces for 2023 & '24" in IT and ITes by team Marksmen. This award is a testament to our ongoing commitment to creating a people-centric workplace.

2. We were adjudged as the "Best Governed Company" at the 23rd ICSI National Awards for "Excellence in Corporate Governance".

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3. Everest Group featured Sonata in their "PEAK Matrix Assessment " for blending IT services for 2023 , strengthening our BFSI presence in the marketplace. HFSH Research featured Sonata in their HFS Horizons for Generative AI Enterprise Life Sciences and Low Core Services for 2023. We continue to scale our India SITL business with a sharp focus on annuity revenue.

With that, let me provide you an update on talent :

Sonata is a people focused and talent conscious enterprise. We onboarded our engineer trainees for engineering campuses for FY2024 in December '23 . This batch consisted of 93% women engineers from campuses just going on to show our commitment to DNI diversity and inclusivity in the company. With that, let me provide you an update on our quarter performance. In the most recent quarter, our international services revenue grew by 3.5% quarter -on-quarter, 38.3% Y-o-Y.

In constant currency terms, we witnessed 3% quarter -on-quarter growth and 37% Y -o-Y growth . In Q3, we had a strong order booking of 1.24 book -to-bill in the International Services business. We have over 40 plus large deals in pipeline and a large deal pipeline continue to grow. We improved our utilization in the quarter by 1.6%. Our quarter -on-quarter headcount increased in international business by 42 people. We now have 17 clients with over 3 million annual revenue at Sonata . Same time last year, this number was 9 clients , so almost double the number of clients with more than 3 million revenue now in about a year's time. In addition, we now have 12 clients with more than 5 million revenue run rate. Our overall attrition for the quarter stood at 16%. In SITL , the domestic business, the gross contribution in domestic business grew 25.8% Y-o-Y, a very strong performance in a seasonal quarter in the SITL business. Q3 consolidated PAT grew by 3.5% quarter -on-quarter. Operating margins for the international business were at 22.6% before FX and other income.

As mentioned earlier, we are proud of the performance from our most recent acquisitions from both Encore and Quant. They both exceeded our expectations and really driven significant synergy revenue together. As you know, our acquisition premise was to drive synergy growth by leveraging deep Sonata offerings, our technical capabilities and resources, our corporate investments to accelerate growth. We are proud that both Sonata Quant and Encore is better together and our combined teams have delivered exceptional outcomes . Due to this over performance , both these acquisitions are now entitled for additional earn outs resulting in an exceptional item in our quarter P&L. Jagan will provide details shortly on these onetime exceptional items for Quant and Encore in the recent quarter .

In Summary :

We continue to remain optimistic about our long -term growth prospects . In the coming quarters, we will continue to have tailwinds and headwinds, the tailwinds of multiple large deals that we have announced and we continue to win and the headwinds in the short run due to softness in Sonata Software Limited

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BFSI vertical seasonally soft quarter from Quant and large deal decision delays that we have seen in the last one or two months.

Our focus on

moderation engineering and platform ation at the core of and our industry-lead approach is paying , helping us win large deals and opening new enterprise grade logos. Overall, we expect to continue to stay in the top quartile performance fueled by our strategic investments we continue to make in our business. We want to continue to drive this growth at the top end of the industry leading EBITDA performance from Sonata. Thank you.

With that, let me turn it over to Jagan for his comments on the financial performance.

Jagannathan C N: Thank you, Samir for the overview. Good morning, good afternoon, good evening all. We had a very exciting quarter and delivered yet another quarter of industry -leading performance. It is my pleasure to present the Q3 Financials along with covering the exceptional items .

As mentioned by Samir, we have acquired 2 entities , Quant Systems and Encore System. Both these acquisitions have outperformed in their performance than what was estimated by us last year. This has resulted in an exceptional situation for us, where the outperformance leads to revaluation of the acquisition cost, which has been at the accounting standard that we routed through the P&L , we can cover the details of the same .

For Quant, the target revenue for Calendar Year '23 they had, it is done on calendar year basis for them because we acquired them , their financials are on calendar year . Calendar year 23 and Calendar Year '24 , their revenue performance was expected to grow by 60% and 36% and EBITDA was supposed to grow by 32% and 33% in the two years . However, the revenue performance already happened in CY23 was 62% with EBITDA performance of 127%. Our estimate in the current or based on the current order book and the current year position, we expect them to grow by 65% in revenue for next year and 45% in EBITDA for next year. The revenue

projection has achieved 1.2 x of the target over the period of two years and EBITDA is 1.8 x of the target estimate over 2 years. Against the initial valuation of 160 million, we are estimating additional earn out of 17.1 million due to significant overperformance in their revenue and EBITDA enabled by the IP, work box IP has enabled this for Quant.

With regard to Encore, their target for revenue growth for three years, just to recollect, this was the acquisition during COVID period and post COVID their performance, they were expected to grow the revenue because it was acquired during COVID period their performance was expected to reach revenue to be growing at 10.3%, 9.8% and 9.6% for three years, and EBITDA was supposed to grow by 9.8%, 10% and 9.4%. However, they have outperformed from year one. Year one revenue performance was 87.2% compared to 10.3. The second year was 21.5% compared to 9.8% and the third year estimated 16.6% compared to 9.6% on revenue term and in EBITDA term, they had an 89% growth compared to 9.8% and 34% growth in second year compared to 10% and third year is 16.2% compared to 9.4%. The revenue production for them has achieved 1.9 x of the target achievement over the three years and EBITDA projection is 2x

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of the target achievement over the three years. Against the initial valuation of 13.75 million, we are estimating an additional payout of 3.9 million due to overperformance in revenue and EBITDA enabled by the timing of acquisition with the post COVID. With both these things, an expected payout of 21 million is taken to P&L as an exceptional item as per the accounting standards.

Here, coming to the quarterly performance now, the revenue has grown by quarter 3 PAT and post exceptional item although reported as negative our PAT for the current quarter grew to Rs. 128.5 crores, which was again a very healthy 3.5% quarter-on-quarter growth and 9.2% year-on-year growth. This Q3 international services EBITDA before

re Forex and other income as Samir

mentioned is 22.6% against 23.1%. Revenue for the quarter, international services, revenue grew by 3.3% quarter-on-quarter and 38.3% year-on-year. Rupee revenue grew by 4% quarter-on-quarter and 42.3% year-on-year. In constant currency terms, the international services revenue witnessed 3% quarter-on-quarter growth and 37% year-on-year. The other metrics here is consolidated EPS post exceptional item was a negative for this quarter; however, the consolidated EPS in Q3 before the exceptional item was Rs. 4.60 paisa per share. At console level, the ROCE has been very strong at 31.4% for this quarter.

The domestic business had a G P of Rs. 71.3 crores. It grew 14.2% quarter-on-quarter and 25.8% year-on-year. The PAT grew by 5.3% quarter-on-quarter and 17.4% year-on-year. The utilization for the quarter stood at 85.8%, we have added 30 new customers, the top 10 customers revenue has been 56% in this quarter compared to 61% last quarter. In this current quarter, the number of clients, more than 3 million is 17 customers as Samir mentioned last year, it was 8 at the same time. The TMT was 31% of our revenue. Retail manufacturing is 34. HLS is healthcare services is 11% and banking financial services is 17%. Emerging is 8% of time. We have also covered the various go to market, what we have achieved. Data is 24% for us, dynamics is 23% and cloud is 36% for us. The order book is 1.24 x of the revenue just book to bill what I covered in this. International DSO is 45 days and domestic DSO was around 35 days. The total headcount for the quarter is 6,494 in Q2 to 6,532 in Q3. We have an addition of about 42 employees in this quarter.

So, coming back to this point, this overperformance of what we have acquired, this is a testament of the acquisition strategy to drive this energy growth by leveraging deep Sonata offerings and technical resources and corporate investment. This is very positive for us. This led to a strong ROI and our payback period has halved during this quarter. This has also in a way increasing our return on capital employed continuously. This is very appreciable. As a CFO, I believe that the payback period for this acquisition of Quant is actually half, and last two acquisitions have been very successful. This reiterates our strategy and focus and drive. This quarter has been one of the best quarters for us, again this is the fifth quarter we are reporting industry leading revenue growth and a strong profitability. This has also helped us to get our growth stories intact and we are very confident of continuing to have the industry leading growth.

Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Baidic Sarkar from Unifi Capital. Please go ahead.

Baidic Sarkar: Couple of questions. Anecdotally, it looks like except Quant and perhaps the large deal ramp-up, the rest of the business that grew at about 2% sequentially, is it the right interpretation and

just triangulating your opening remarks Samir, is this the direction of growth expected say in the next few quarters? And secondly, in terms of closure of large deals, Samir, are the timelines moderately better than what they were say the previous 12 months, how are you reading this?

Samir Dhir : So, the way to think about this is this . In our core business as well as acquisitions, we really have been working to create these large deals momentum . As you quite have noted, I earlier mentioned about 40 plus large deals that we are chasing in pursuit right now and in the last one year, we have closed close to about 16 large deals and that just is in both organic side as well as the acquisition that we made, and it is becoming now most more or less the muscle memory of Sonata to go create

the se deals and win those deals comprehensively against the competition.

So, yes, I think if you back out the large deals, the growth rate has been largely driven by the large deals in the course of the year and that was our status strategy that in the year which is rather muted , most of the competition has grown in single digit or low single digit , we have outperformed the market really on the back of the large deal . So, I think that assessment is a fair assessment . As far as the deal cycle is concerned, I th ink in the marketplace it is quite unpredictable that there is no real systemic pattern. So, if you go back in time, I think we were seeing a good deal closure in Q1. We saw some slowdown in the beginning of Q2, but it picked back up in Q2 second half . Then in Q3, the early part it was pretty high. Then in Q3 later part and Q4 beginning part , it has been slow. It has been going a little bit like a sinusoidal curve. So, honestly, we don't see a trend, but the delays are about a couple of months, maybe 2 .5 months.

It is not indefinite delays, but you do see sometimes whe n you are ready to go, customers are delaying some of these deals by a month or two. So, that has been the general trend, and it happens once in a quarter here and there. I hope I answer the question , Baidic .

Baidic Sarkar : Yes, is there anything you woul d like to point out in the behavior, perhaps ramp up of our largest client, who is historically largest client in high -tech, like there has been some software's as we got into this fiscal year, any turnaround, what your conversations indicate and I am sorry in your opening remarks, did you say that we will continue to perhaps be acquisitive in the medium term?

Samir Dhir : Yes, I et me cover both the questions. So, I think from a high -tech industry in general, we are beginning to see green shoots now. We are beginning to see the turn around . If you notice my comments , now we are seeing some softness in banking, but the high -tech is back on the growth trajectory at this point in time, including the largest client, I think in the second half of the year is much stronger growth compared to the first half and at this point in time, we are in a ramp up mode. So, the reve nue full quarter effect will probably be visible from the next quarter, which is end of Q4 or Q1, b ut yes, absolutely the green shoots are visible, and we are in the ramp up mode in the high -tech side including the largest client , Baidic. As far as the acquisitions are Sonata Software Limited

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concerned, if you recall, we have always maintained that we will do acquisitions for the right reasons . We are not looking actively to acquire at this point in time, but if there is the right property that comes up which has the right reasons, we will not hesitate to make a decision , but our core motive continues to be the growth business organically and if something makes sense along the way we will make those acquisitions , Baidic .

Baidic Sarkar : Just one last bookkeeping question, if I may. Ja gan, in terms of margins, the last few quarters probably had the impact of ramp up in MS Fabric and of course, monetization and that might be two quarters away , as that perhaps comes into play in FY25, is it fair to expect that operating margins will inch up? And I also understand that we have had a few non -cash charges in the P&L that were acquisition related , I reckon they probably begin to come off this calendar year , could you please quantif y by how much and by when?

Jagannathan C N : Baidic, on the operating margin front , the large deals will have a benefit probably and now the benefit may come in Q1 of next year , but as mentioned to all of you, we will continue to do our investment . In the medium -term, we want to stick to the guidance of low -20s EBITDA margin without other income and Forex . We will continue to explo

re the opportunity for the growth ;

hence we n eed to continue to investment. That is my operating margin answer for that your question . The second element is yes, once the payout happens in this which is going to h appen in the month of April, first quarter of next year there will be a reducti on in the interest cost, it is not a bank interest cost or accounting interest. That amount will come down by roughly about half of it. So, this is going to benefit , we will get a benefit because of that.

Baidic Sarkar : So, our amortization run rate as we have reported will continue , there are no changes in that, right?

Jagannathan C N : Amortization run rate will come down from first quarter of next year.

Baidic Sarkar : Sorry, so did you say both interest cost and amortization will come off by Q1 FY25 ?

Jagannathan C N : There are three components in that . One is amortization that is on all your intangibles, there should be amortization that will continue.

Moderator : Thank you. We have our next question from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : First is as a follow up , so you are saying high -tech growth, we should expect to continue in Q4 as well , is that understanding correct?

Samir Dhir : Yes, so let me let me characterize a little bit more. So, as you know, the first half of the fiscal year was soft on high -tech, but in the second half , Q3, we closed deals and in Q4 we have ramp up mode. So, yes, in the second half compared to first half is going to be sequentially growth in first half , but we will see a full quarter impact of it going into Q1, because we are right now in the ramp up mode in high -tech.

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Mohit Jain : The second one was BFSI we saw this decline during the quarter , now is that something we are say ramped our project completions are behind this, or should we expect that to continue in Q4 as well?

Samir Dhir : I think from the current visibility, the news that we knew has been absorbed in the current run rate, but the banking is soft , at this point in time we do not expect any further impact in the current quarter, but it is a dynamic environment, Mohit, we will continue to monitor it closely.

Mohit Jain : And as a follow up like the top ten client revenue movement that we are seeing is that the reasons are same as because of that BFSI side and high -tech the same clients are showing up in top 10 ?

Samir Dhir : Yes, I think the top 10 by and large continues to be the same. We are ramping up on a few clients which will probably enter into the top 10 I would say in a couple quarter . There are some new clients if you see my earlier comments we mentioned there are some Fortune 20 companies , Fortune 100 companies that we recently acquired and are in a ramp up mode, so they will get full ramped up by Q1 or early Q2. So, they will break into our top 10 maybe 2 to 3 quarters from now.

Mohit Jain: So, broadly, we are looking at a similar kind of a growth outlook for the next quarter, but then we are expecting some ramp ups to happen in Q1 next year?

Samir Dhir : Yes, so I think overall the growth momentum is solid, but the rest is as I said earlier, this is a seasonally soft quarter for Quant while the Quant overall will do well in the calendar year, we run calendar year , but the current quarter is seasonally soft quarter for Quant , but the rest of the business will be on the same trajectory , but for Quant alone this will be a soft quarter, while the overall year will be fine.

Mohit Jain : And sir last, this is related to your opening remark. Did you say there is some delayed large deal ramp ups, or did you say large deal ramp ups are on time for us?

Samir Dhir : It is seasoning delays , so deals that we are winning they are which were supposed to close in December are now getting closed in end of January , so we are seeing like a 45

days to 60 days

decision delays some of the deals.

Mohit Jain : That is from pipeline to TCV or from TCV to revenue ?

Samir Dhir : Pipeline to TCV.

Moderator : Thank you. We have a next question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on good set of numbers, quite wonderful numbers in this environment. Sir, largely I wanted to understand on the TMT vertical, I mean you made a commentary that the ramp ups are expected to continue and the 4Q and coming quarters will also be strong. I just

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wanted to understand what is it driving the growth exactly over the large client that would be helpful ? My second question was on the large retail deal I mean we had a \$160 million deal, which was there last year . We were expecting a ramp up to happen in 3Q, so what is update over there because our retail number didn't move this quarter , so just wanted to get an understanding around that ? And the third question was around the cash outflow , so for the acquired entities that is both Quant as well as the other company I mean when is the cash outflow going to happen ? And should one consider any further increase in provisioning from here on or should one not considered that?

Samir Dhir : Sure, I will take the first 2 I will request Jagan to take the third one. So, on the TMT side really it is a manifestation of the investments we are making in AI. I think a lot of turnaround we have seen in the TMT side is because of our investments in AI and data. So, the ramp up that we are doing is essentially to leverage Gen AI and AI capabilities for these high -tech customers, including our largest high -tech customer. So, that is really helping us well. The investment

strategy that we have outlined 2 to 3 quarters back is paying us dividends and this business continues to ramp up from data and AI perspective both. So, that is really where the TMT question was. On the retail deal that we announced about a year back, let me just give you a perspective on that. If you recall, in Q1 we said we are in ramp up mode, our Q1 margins in the current fiscal year were dropped because we ramped up fully, but the full revenue didn't come. In Q2 we fully ramped up the deal and hence our margin picked back up again because the staffing was done in Q1 and the revenue started picking up in Q2. So, that large deal at this point in time was fully ramped up and it is in the numbers. So, in Q3 it was in a steady state. Of course there was some incremental revenue on that deal, but by and large the deal is fully ramped up at this point in time. The third question I request Jagan to take.

Jagannathan C N : Can you repeat the third question please?

Samir Dhir : Cash flow has fully absorbed.

Jagannathan C N : The cash outflow for the acquired entities, no, that will happen in April of this year and then July of this coming year and same way in the April of 2025 and the July of 2025 is one. Encore will also be closed, and it will happen somewhere in July of coming years.

Samir Dhir : The provisions fully done.

Jagannathan C N : Yes, provisions are all fully done. This is all done completed, everything is done.

Mihir Manohar : So, even if the performance, let us say, goes up from here and there will be no further provision which will happen?

Jagannathan C N : No further provision is required; we have considered all the performance and then made a once for all we have done for everything.

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Mihir Manohar : And just a clarification, sir, you also made a comment that the payback period for Quant has gone half versus what you were estimating earlier, so is this after considering the increased payout or is it before that?

Jagannathan C N : Yes, after considering the increased payout.

Moderator : Thank you. We have a

next question from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : My first question is towards Jagan, sir. Sir, in the beginning of the call, you had mentioned that the target for Quant was around 60% growth in CY23 and 36% growth in CY24, but it ended up, the expectations are much better than what you had earlier targeted. So, for CY24, if I am not mistaken, you said that the target is 64% revenue growth?

Jagannathan C N : Yes, CY25 also, CY24 also they were expected, the target was 36% growth, but the estimate of our achievement is going to 65%.

Mayank Babla : And in terms of EBITDA?

Jagannathan C N : In terms of EBITDA the target was supposed to be 33%, but the expectation is 45% achievement.

Mayank Babla : And could you please give us the contribution of Quant so far in 9 months FY24?

Jagannathan C N : The contribution from Quant right, you are expecting?

Mayank Babla : Yes.

Jagannathan C N : That is actually completely integrated Mayank, so we have a lot of synergy elements inside this, so have not disclosed this separately.

Mayank Babla : And my second question is to Mr. Samir sir, you earlier mentioned that the Fortune 20, 22 and 150 client that are there in your kitty, they are expected to ramp up by Q1 of FY25 and they will be added to the top 10 clients. So, how will this change the client pyramid in terms of \$3 million to \$5 million and \$5 million plus client?

Samir Dhir : Mayank, I think there are 2, 3 parts, so these clients that we are now winning will gradually ramp up and like as I said in Q1, Q2 of next year they will be fully ramped up for the business that we have won. And we are of course going to incrementally in business from here on because of the pipeline behind these clients as well. So, our long-term goal is to have the top 10 contribute in low 50% of our overall revenue. Today, that number is about 56% or 57% Mayank. We think it will be about 50% to 53% and even in 3 years out as we move forward. Now the name of the client will change because we are bringing in high quality logos, but the contribution of the top 10 will be in the 50% to 53% range even in couple of years out.

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Moderator : Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah : Congratulations for very good set of numbers. So, Jagan sir, would you repeat your comment regarding interest and depreciation for the coming years? I could not understand what will be the interest and amortization for the next 2 years?

Jagannathan C N : We have explained this amortization and interest in our earlier slides also we have given the details of it. What is that is there are 3 components are there one is the bank loan interest amount which is payable to the Bank there. The second is because we have a n earn out payment for next 2 years, as per the accounting standard, you have to discount it and bring it to the present value. The difference between the present value and amount what you pay accounted as an interest cost. The third element is amortization of Intangibles Assets , so the amortization of Intangible Assets will continue to be there for 7 years to 10 years next 7 years to 10 years because that is how the life of the asset is . The interest component to the bank will continue , but interest on which is the accounting entry for the payouts at the later payout, that portion will come down by half after the first-year payout. What we are going to do in the month of April and July once it is completed the interest amortization amount will come down. So, that is what I said at least it will come down by half. The details and information of how much is the amount , all these things we have given in the presentation last quarter also the details are available there.
Moderator : Thank you. We have a next

question from the line of Sanjaya Satapathy from Ampersand. Please go ahead.

Sanjaya Satapathy : Can you just tell me again that the margin decline in the international business on a sequential basis, what was the reason for that, sir?

Jagannathan C N : This is a quarterly small change as last time we had some benefits flowing through the utilization and the scaling up in the large deal . Samir was mentioning that last year last quarter the large deal what we won in March started taking off in the last quarter hence we got a benefit of that. That adjustment has come down in this quarter , hence, the margin looks like it has dropped by 50-60 basis points. What we have also mentioned is in the medium term we will continue to focus to achieve the EBITDA without other income and for us at low 20s, low 20 is between 20 to 22 we will continue to achieve in the medium term, but we still are doing well and compared to last quarter there was some benefit because of the large deal actually taking off last quarter.

Sanjaya Satapathy : And sir the second question that one clarification, you mentioned that this Quant business is slow in this quarter you were talking about Q4 or Q3 ?

Jagannathan C N: Q4.

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Sanjaya Satapathy : So, while Quant business will be slow because of your tracking a ramp up in your this high -tech vertical, you were confident of sustaining this kind of growth is what the guidance is. Is that correct?

Jagannathan C N : Yes, your understanding this right.

Sanjaya Satapathy : The last thing is that the payout, the fair value changes that you have made. So, essentially you have given part of the benefit of achieving better growth in your acquisitions back to the guys who sold it to you, and you are saying that still the payback has improved even after making this additional thing ?

Jagannathan C N : Yes, payback period has come down by half. The EBITDA to the fair value of that was almost like 10 to 11 when we acquired has come down to 6 and the payback period has also come down to half.

Sanjaya Satapathy : So, currently it is 6 times EBITDA?

Jagannathan C N : Correct.

Sanjaya Satapathy : As far as the payments are concerned you will continue to do that through your bank loans etc., that is there you still have not received the permission to use your cash reserve out here to make the payment for that?

Jagannathan C N : Yes, but as mentioned to all of you during the acquisition , due to some operational procedural RBI issue reason we are not able to utilize our money which is there in India majorly. So, we have borrowed some money in U.S. So, for that temporary purpose of this rollover we may take a short -term loan in U .S. for the acquisition, but in the long and the medium term once the RBI issue is fully resolved, we will be able to come out of that.

Sanjaya Satapathy : And very last question is like, if I can squeeze ? For the Q3, was there any kind of furloughs or any such things because of the number of working days or anything which were there and which will not be there in quarter 4 and when you are talking about that everything will fire beautifully in quarter 1, so are you definitely looking at a much better quarter 1 of FY25 ?

Samir Dhir : So, the furloughs were not any significant numbers Sanjaya a, I think in our business, we do not see that much candidly. However, having said that, last quarter, we did see distinct delays in some of the deals , so we did carry some people in the bench. But overall, our utilization has still moved in the right direction. And we believe that the momentum that if you are not generative in TMT, we are still in ramp up mode. And by March time, we should be fully ramp -up and hence we will see an uptake on those numbers in Q1 quarter fully loaded.

Moderator : Thank you. We have a next question from the line of Abhishek Shindadkar from InCred C a

pital.
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Abhishek Shindadkar : Congrats on a good quarter , sir. Just a clarification regarding the comments made earlier by Samir you mentioned about green shoots in the high -tech vertical and also for the large client. So, just wanted to clarify was there any challenge especially that we are calling out as a green shoot , because I remember in the last quarter we had mentioned that because of the fiscal year end for our large client, there was a delay in terms of the bookings and conversion?

Samir Dhir : Yes. So, Abhishek first of all thank you for complimenting us. I think in summary, we did see decision delays and in Q2 we did not book the order book to our satisfaction in the TMT vertical. But going into Q3, we started closing the deal as per the norm that was earlier. And the large client specifically started seeing some momentum. And what is happening is that we are winning the new work in the AI space, and that is what we are ramping up right now, which I did earlier. So, it wasn't like a pause, but the decision delays were holding us, given holding pattern for about, I would say, quarter and half or so. That is behind us and now we are in a ramp up mode .

Abhishek Shindadkar : Jagan, sir, if you can just clarify what you said about the payment challenges and because of which you are raising debt that would be helpful. Thank you again for taking my question and best wishes for you.

Jagannathan C N : You are asking about the payment challenges correct?

Abhishek Shindadkar : Yes.

Jagannathan C N : As mentioned towards all of you during the acquisition, we have some procedural RBI issue. So, we are not able to remit the money what we have in the parent to the subsidiary for the acquisition. So, we have borrowed money during the acquisition , and we may require to borrow money a little bit more for short -term reasons . However, the net debt will be positive , will have money in the parent book and so that is what I was explaining to you . Once the RBI issue is addressed and solved , we will be able to remit money from the parent to the subsidiary and the loans can be closed.

Moderator : Thank you. We have our next question from the line of Devang Bhatt from IDBI Capital. Please go ahead.

Devang Bhatt : Congratulations on a good set of numbers. Just one bookkeeping question , since you have increased your payout , so last quarter your unwinding of interest was Rs. 11 crores. So, now since your payout has increased, what would be your increased unwinding of interest , if you could?

Jagannathan C N : There is no increase in the unwinding of interest Devang because we have now taken the routed that has gone through the P &L fully, so there is no increase in that . After the amount is paid out in the quarter 1 in April and July of the coming year, the unwinding of interest will come down almost by half.

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Moderator : Thank you. We have a next question from the line of Tushar from InCred Capital, please go ahead.

Tushar : This question is for Jagan , sir. So, Jagan sir, last year we had a wage hike in Q4 and 1 Q of FY 24, so any color regarding the wage hike for this fiscal or in this calendar year?

Jagannathan C N : Yes, we are still evaluating Tushar . We are still evaluating, and we will do whatever is there in the industry norm we definitely will consider and then take a measure in that direction. But we are still in the process of evaluating and also we are now trying to bring in a performance management system which is benchmark to the industry. We are in the process of doing , once the performance management is launched and completed then we may consider the salary increment for the people. At present we are still in the process now.

Tushar : My next question is regarding the business in the European geography , any color

on that would
be helpful ?

Jagannathan C N : The European customer?

Tushar : No, European geography revenue we have seen business for the last 2 to 3 quarters, so any color on that will be helpful?

Jagannathan C N : Nothing specific on that Tushar . They were one of our leading customers, the couple of projects got over this is an abrasion for a couple of quarters. Otherwise, the European geographies will start recovering probably next quarter.

Moderator : Thank you . We will take our next question from the line of Prolin , an Individual Investor. Please go ahead.

Prolin : I have 2 questions. One is on Fabric and second is on our aspiration to have 20% of revenue coming from AI. So, firstly on Fabric , right I mean, I was reading the transcript of Microsoft,

and they are quite bullish, right they mentioned that in terms of data stored on Fabric Lake, there is a 46% increase Y-o-Y. And in the past conference call, we have also mentioned that we have been working with them to help them build the product or build Fabric and test the product and so on and so forth. So, just wanted to understand as Microsoft has now made Fabric available how will the ramp up in revenue take place over the next few quarters? And which are some of the other products which we are working on with Microsoft, especially on this whole Microsoft, focusing a lot on copilot and that being one of the key offerings when it comes to AI across their products way? Do we have any play when it comes to copilot or any other product that you want to specifically call out on?

Samir Dhir : Prolin, good question I think just let us take the questions 1 by 1. So, on the Fabric side we were with Microsoft on the engineering side and then testing their product in Sonata as a test bed as well about year and a year and a half back. So, we really had an early advantage and that is what we are capitalizing. They have just launched the product in November, their pipeline from a Sonata Software Limited

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scale perspective is just beginning to build up because right when they announced the product in November end, then there was Christmas period in January just started. However, having said that, we have built ourselves over 50 million all over the pipeline and that is largely coming from the new logos that we are able to get in because a very differentiated offering and most of these larger clients are very interested to understand the Fabric offering from our team specifically. So, early days candidly to give a forward-looking view on this, but we know as Microsoft is scale B, we will absolutely win the bus with them to maximize the revenue for Sonata, we will continue to provide an update to all of you in every quarter how the pipeline build is happening. And if you look at the commentary, I think about a quarterback we probably had about 25 to 30 clients. That number has gone up to about 50, but the scale is still in front of us. We are still in the process of building a pipeline. Of course, we have had about 7 or 8 customers which have signed up and we started the work. But the POC work itself lasts about 8 to 10 weeks. So, I think by a meaningful numbers will start to trickle into this in Q2, Q3 onwards of next fiscal year. That is the first part of your question. The second part of your question on Copilot, the short answer is absolutely, yes. The green shoots that I talked about in TMT, have largely come from our work in data and AI, and Copilot is an integral part of that. And all the work on data and AI one side, but even in traditional work on dynamic side, whether it is F&O or CE, we continue to leverage the power of copilot for our existing and new deals that we are winning on the dynamic side as well. As far as the new products that we are working with, we can't talk about that much because those are confidential products, but specifically

the 2 that we can talk about we will discuss and share the details with you.

Prolin : The second question is on AI, right. And you mentioned that overall you want 20% or 25% of revenue from AI in 3-years time and one of the offerings there is Harmony AI, right and which is where we have built a bunch of services, RPA services, Integration services, so on and so forth around the LLM and so just wanted to understand that and one of the unique selling points of Harmony AI as told responsible AI or for that matter privacy of customers data, so is that the only use case which we have in AI and can you help us understand which are some of the other things which are like an overlay over the existing LLM? And how do we ensure that some of these offerings are not inbuilt in any of these LLM in the future right so that our offerings stay relevant for the market?

Samir Dhir : So, if you go back to the comments I made earlier Prolin, I think there were 3 different dimensions of AI that I talked about earlier. Just making a quick recap for you. The first was to drive efficiencies for our clients and the example I quoted there was to use intelligent content generation with workflows to reduce manual effort. This is for automating a lot of manual efforts at customer's end are going. The second dimension of this is to drive modernized sales and consumer experience, and the example there is that they were used AI to glean information from 60,000 wikis, for a contact center implementation, and then provided information so that the cross sell and upsell can happen. And the third is to really generate new business models for our customer because now with Gen AI specifically, you can generate new data from existing data. So, as an example for one of the media clients we are in conversation with, they can generate new books from existing books that they have. So, those are some interesting use cases coming Sonata Software Limited

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out of it. And we are leveraging the power of our Harmony AI using that. Now our differentiation is not in building LLM as we have talked about earlier, our differentiation is to really build the wrapper services around LLMs which continue to provide responsible first framework from a

customer data privacy standpoint on one end. Second from a consumption and compute reduction , so that there it is environment friendly because AI services can be quite heavy on the compute r side and hence had to cost, that is the second side and then the third is really bring in industry flavored solution from an AI point of view whether it is a Healthcare AI or Banking AI or Contact Center AI to really bring in domain specific flavor to those is really what we are building out and that is not a native LLM capability just a wrapper services and that is where we are differentiating Prolin.

Prolin : Just an add on to it, I mean in future can some of these services be built in the core LLM and how do we ensure that our product then stays relevant even if that happens in the future ?

Samir Dhir : Well, I will be guessing if I can give you an answer in future, but I can tell you we will have to continue to innovate. We think we have about a year ahead of the competition. We will have to of course want ed to push ourselves to continue innovate , but some of these services might move to a different layer, which I can't predict honestly. But right now, we believe about a year advantage over the competition that is why we are winning in the TMT sector , so the green shoot I talked about earlier.

Prolin : What I was alluding to is that maybe a similar sort of transition happened during this whole cloud from one premise to cloud as well, right? Many of the services were inbuilt in the package with some of the hyperscalers provided , so that is where I came from. But I take your answer that we need to continue to innovate and

thanks a lot for that and all the best.

Moderator : Thank you. As there are no further questions, I now hand the conference over to management for closing comments . Over to you, sir.

Samir Dhir : Thank you, operator. W e want to just use this opportunity once again for your support and time for Sonata. We continue to be optimistic about our business like we have always said our aspiration is to be the top quartile growth company. Of course, there will be some seasonal variations like we talked about in Quant coming up in this quarter. But in general, we are very optimistic about the future and if you can see that last 4 or 5 or 6 quarters now, we have continued to hit in the top quartile performance both on the top line. And what is endearing to us is that we are also maintaining our EBITDA line, which is also industry leading , so both on top and bottom line, we continue to be in the top quartile, and we are very proud of the achievements of our teams globally. So, I use this opportunity to thank our team members globally as well for their outstanding work that they continue to do for us. And thank you to all of you.

Moderator : Thank you , sir. On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Sonata Software Limited Q3 FY24 Earnings
Conference Call "

February 01 , 2024

MANAGEMENT : MR. SAMIR DHIR – CEO & MANAGING DIRECTOR ,
SONATA SOFTWARE LIMITED
MR. JAGANNATHAN C N - CFO, SONATA SOFTWARE
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Sonata Software Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Samir Dhir - CEO and Managing Director from Sonata Software Limited. Thank you and over to you, sir.

Samir Dhir : Thank you, operator. Good evening, everyone and we thank you for joining us today. We appreciate your valuable time and support for Sonata .

In today's call, we will discuss our "Strategy , the Progress on our Strategic Plan and the Financial Results " for the quarter ending December 31st , 2023 .

It is my pleasure to share our progress towards our vision and growth trajectory for Sonata , despite the macroeconomic challenges and geopolitical issues which are resulting in slowdown in tech spending across the globe. Our big bets and continued investments continue to deliver great outcomes for Sonata.

First, let me give you an update on our strategic goals and the progress we have made Y-o-Y on those goals :

As we stated in our earlier calls, our objective continues to be one of the fastest growing modernization engineering firm powered by a unique platform ation framework. We aspire to achieve revenue of 1.5 billion by the end of FY26 at an international EBITDA level of low -20s. From a growth point of view, we have outlined a few critical bets that we are making. Number one, win multiple large deals consistently every quarter; number two, over delivering our M&A ; number three, win new logos that can scale for Sonata to be the next large account for Sonata leveraging our partnerships with our key partners like Microsoft, AWS and other partners. And we wanted to achieve these goals in four verticals that we have called out are strategic verticals, which is Healthcare , Life Sciences ; Banking , Financial Services and Insurance ; Retail Manufacturing and TMT and the five geographies which is North America, UK, Europe, India and Australia.

In the past four quarters , I will provide an update for the last four quarters together, we have won 16 large deals. We significantly over performed in our Quant and En core acquisitions. We added

11 Fortune 500 clients in the last four quarters. Our Healthcare Life Sciences business, which was 9% of our revenue same time last year is now 12% of our revenue. So, as the platform grew, we added 3% more in Healthcare Life Sciences, which were a strategic bet for us. Our BFSI
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business, which was 7% of our revenue same time last year is now about 18% of our revenue now.

Our Modernization Engineering focus helped increase our cloud and data revenue contribution from 45% to 59%. Our teams have delivered these outcomes by sustaining EBITDA in the 20s. We are very proud to drive our top quartile both growth and EBITDA performance. It makes it special to drive this growth in this environment at a high EBITDA, which is almost in parallel at this point in time. Sonata software was just the fastest growing IT service provider in the most recent quarter as per HFS data viewpoint 2023 report.

Let me provide you an update on AI, which is a bit in investment we have made in the course of the year :

1. Sonata aims to lead the AI wave by modernizing tech and ops for a client. We are helping our clients on three dimensions, #1 leveraging AI to drive efficiencies for our clients, for example, our clients blended automation and AI to drive intelligent content generation with workflows to reduce manual effort.

2. The second

dimension in which we are driving AI is by leveraging AI to drive higher consumer experience and modernize sales as an example, our teams are delivering insight from Rs. 60,000 for a high-tech client to enable contact center sales staff to drive cross sell and upsell opportunities.

3. And #3 is driving innovative business models, for example, generating new content from existing content using AI. We expect 20% of our revenue from AI services in the next 3 years. We have over \$50 million pipeline on AI across 90 plus clients and prospects. In close collaboration with Microsoft, our teams are building solutions on Microsoft Fabric which is going to be infrastructure for AI as we move forward.

Harmony AI, the enterprise platform was responsible Gen AI adoption got listed on Azure and AWS marketplace and is now acknowledged by partners, industry bodies and our clients.

With that, let me provide an update on large deals and large deal pipeline :

We are delighted to report that our large deal pipeline is now 48% of our total pipeline, which is a 3x jump in dollar terms over last year. We now have 40 plus large deals under pursuit in the company.

Let me provide an update on the three large deals that we won in the most recent quarter :

Two of the three deals are for Fortune 25 clients :

1. Deal #1 this is a client in large home improvement retail corporation in United States.

The client faced challenges in modernizing their core systems and generating efficiencies across their inbound and outbound supply chain due to non-performance

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from an incumbent partner. The client evaluated multiple prospective vendors and chose Sonata as a strategic partner for standardization and modernization. This is a five-year tenure deal with continuous modernization to transform their supply chain operations.

2. Large deal #2 is for an American multinational technology corporation. The client was looking to improve and expand their end consumer experience and success using their products and services in modern data using AI and ML. Sonata partner with the customer to provide efficient solutions catering to the end user requirement leveraging strong domain and multilingual support for end customers.

3. Deal #3, the client is an American transportation services company specializing in shipping. The client was looking for reliable partners who could help maintain their applications and infrastructure footprint across all lines of business. Sonata will provide development and modernization services on cloud cutting edge technologies and automation. We are truly delighted to have yet another quarter with three large deals.

With that, let me provide you an update on the new logo wins :

During the quarter, we added marquee logos which include a Fortune 20 client, a Fortune 22 client and a Fortune 150 client, an update on scale with following a key bet to power us to scale up fast. Microsoft Fabric, which we outlined earlier is a data analytics platform for the era of AI.

It went in general availability by Microsoft during the most recent quarter. During the event, Sonata was the only Indian SI among three other global partners explicitly mentioned in Microsoft Azure Data CVP in the launch note. Our team of over 300 data engineers enables the client to leverage this new end-to-end analytics platform paradigm. We continue to witness significant pipeline build for Fabric since its launch and we now have over \$50 million of pipeline across 100 plus clients.

Microsoft Dynamics for enterprises as they go through digital transfer journey and attempting to revamp how they operate, support customers and create business opportunities. Sonata continues to aim to transform such enterprises by undertaking complex migration as part of our modernization services for F&O, CE, power apps and power platform. Our joint GTMs with ecosystem partners and hyperscalers continue to make rapid progress.

We are proud to share during the quarter some outstanding awards and accolades our team won in the quarter. I am going to talk about four awards that we won in the course of the quarter :

1. We received the prestigious recognition in the form of "Most Preferred Workplaces for 2023 & '24" in IT and ITes by team Marksmen. This award is a testament to our ongoing commitment to creating a people-centric workplace.
2. We were adjudged as the "Best Governed Company" at the 23rd ICSI National Awards for "Excellence in Corporate Governance".

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3. Everest Group featured Sonata in their "PEAK Matrix Assessment" for blending IT services for 2023, strengthening our BFSI presence in the marketplace. HFSH Research featured Sonata in their HFS Horizons for Generative AI Enterprise Life Sciences and Low Core Services for 2023. We continue to scale our India SITL business with a sharp focus on annuity revenue.

With that, let me provide you an update on talent :

Sonata is a people focused and talent conscious enterprise. We onboarded our engineer trainees for engineering campuses for FY2024 in December '23. This batch consisted of 93% women engineers from campuses just going on to show our commitment to DNI diversity and inclusivity in the company. With that, let me provide you an update on our quarter performance. In the most recent quarter, our international services revenue grew by 3.5% quarter-on-quarter, 38.3% Y-o-Y.

In constant currency terms, we witnessed 3% quarter-on-quarter growth and 37% Y-o-Y growth. In Q3, we had a strong order booking of 1.24 book-to-bill in the International Services business. We have over 40 plus large deals in pipeline and a large deal pipeline continue to grow. We improved our utilization in the quarter by 1.6%. Our quarter-on-quarter headcount increased in international business by 42 people. We now have 17 clients with over 3 million annual revenue at Sonata. Same time last year, this number was 9 clients, so almost double the number of clients with more than 3 million revenue now in about a year's time. In addition, we now have 12 clients with more than 5 million revenue run rate. Our overall attrition for the quarter stood at 16%. In SITL, the domestic business, the gross contribution in domestic business grew 25.8% Y-o-Y, a very strong performance in a seasonal quarter in the SITL business. Q3 consolidated PAT grew by 3.5% quarter-on-quarter. Operating margins for the international business were at 22.6% before FX and other income.

As mentioned earlier, we are proud of the performance from our most recent acquisitions from both Encore and Quant. They both exceeded our expectations and really driven significant synergy revenue together. As you know, our acquisition premise was to drive synergy growth by leveraging deep Sonata offerings, our technical capabilities and resources, our corporate investments to accelerate growth. We are proud that both Sonata Quant and Encore is better together and our combined teams have delivered exceptional outcomes. Due to this over performance, both these acquisitions are now entitled for additional earn outs resulting in an exceptional item in our quarter P&L. Jagan will provide details shortly on these onetime exceptional items for Quant and Encore in the recent quarter.

In Summary :

We continue to remain optimistic about our long-term growth prospects. In the coming quarters, we will continue to have tailwinds and headwinds, the tailwinds of multiple large deals that we have announced and we continue to win and the headwinds in the short run due to softness in Sonata Software Limited

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BFSI vertical seasonally soft quarter from Quant and large deal decision delays that we have

seen in the last one or two months.

Our focus on

moderation engineering and platformation at the core of and our industry-lead approach is paying, helping us win large deals and opening new enterprise grade logos. Overall, we expect to continue to stay in the top quartile performance fueled by our strategic investments we continue to make in our business. We want to continue to drive this growth at the top end of the industry leading EBITDA performance from Sonata. Thank you.

With that, let me turn it over to Jagannathan C N for his comments on the financial performance.

Jagannathan C N: Thank you, Samir for the overview. Good morning, good afternoon, good evening all. We had a very exciting quarter and delivered yet another quarter of industry-leading performance. It is my pleasure to present the Q3 Financials along with covering the exceptional items.

As mentioned by Samir, we have acquired 2 entities, Quant Systems and Encore System. Both these acquisitions have outperformed in their performance than what was estimated by us last year. This has resulted in an exceptional situation for us, where the outperformance leads to revaluation of the acquisition cost, which has been at the accounting standard that we routed through the P&L, we can cover the details of the same.

For Quant, the target revenue for Calendar Year '23 they had, it is done on calendar year basis for them because we acquired them, their financials are on calendar year. Calendar year 23 and Calendar Year '24, their revenue performance was expected to grow by 60% and 36% and EBITDA was supposed to grow by 32% and 33% in the two years. However, the revenue performance already happened in CY23 was 62% with EBITDA performance of 127%. Our estimate in the current or based on the current order book and the current year position, we expect them to grow by 65% in revenue for next year and 45% in EBITDA for next year. The revenue projection has achieved 1.2 x of the target over the period of two years and EBITDA is 1.8 x of the target estimate over 2 years. Against the initial valuation of 160 million, we are estimating additional earn out of 17.1 million due to significant overperformance in their revenue and EBITDA enabled by the IP, work box IP has enabled this for Quant.

With regard to Encore, their target for revenue growth for three years, just to recollect, this was the acquisition during COVID period and post COVID their performance, they were expected to grow the revenue because it was acquired during COVID period their performance was expected to reach revenue to be growing at 10.3%, 9.8% and 9.6% for three years, and EBITDA was supposed to grow by 9.8%, 10% and 9.4%. However, they have outperformed from year one. Year one revenue performance was 87.2% compared to 10.3. The second year was 21.5% compared to 9.8% and the third year estimated 16.6% compared to 9.6% on revenue term and in EBITDA term, they had an 89% growth compared to 9.8% and 34% growth in second year compared to 10% and third year is 16.2% compared to 9.4%. The revenue production for them has achieved 1.9 x of the target achievement over the three years and EBITDA projection is 2x Sonata Software Limited

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of the target achievement over the three years. Against the initial valuation of 13.75 million, we are estimating an additional payout of 3.9 million due to overperformance in revenue and EBITDA enabled by the timing of acquisition with the post COVID. With both these things, an expected payout of 21 million is taken to P&L as an exceptional item as per the accounting standards.

Here, coming to the quarterly performance now, the revenue has grown by quarter 3 PAT and post exceptional item although reported as negative our PAT for the current quarter grew to Rs. 128.5 crores, which was again a very healthy 3.5% quarter-on-quarter growth and 9.2% year-on-year growth. This Q3 international services EBITDA before

Forex and other income as Samir

mentioned is 22.6% against 23.1%. Revenue for the quarter, international services, revenue grew by 3.3% quarter-on-quarter and 38.3% year-on-year. Rupee revenue grew by 4% quarter-on-quarter and 42.3% year-on-year. In constant currency terms, the international services revenue witnessed 3% quarter-on-quarter growth and 37% year-on-year. The other metrics here is consolidated EPS post exceptional item was a negative for this quarter; however, the consolidated EPS in Q3 before the exceptional item was Rs. 4.60 paisa per share. At console level, the ROCE has been very strong at 31.4% for this quarter.

The domestic business had a GP of Rs. 71.3 crores. It grew 14.2% quarter-on-quarter and 25.8% year-on-year. The PAT grew by 5.3% quarter-on-quarter and 17.4% year-on-year. The utilization for the quarter stood at 85.8%, we have added 30 new customers, the top 10 customers revenue has been 56% in this quarter compared to 61% last quarter. In this current quarter, the number of clients, more than 3 million is 17 customers as Samir mentioned last year, it was 8 at the same time. The TMT was 31% of our revenue. Retail manufacturing is 34. HLS is healthcare services is 11% and banking financial services is 17%. Emerging is 8% of time. We have also

covered the various go to market, what we have achieved. Data is 24 % for us, dynamics is 23% and cloud is 36 % for us. The order book is 1.24 x of the revenue just book to bill what I covered in this . International DSO is 45 days and domestic DSO was around 35 days. The total headcount for the quarter is 6 ,494 in Q2 to 6,532 in Q3. We have an addition of about 42 employees in this quarter.

So, coming back to this point, this overperformance of what we have acquired, this is a testament of the acquisition strategy to drive this energy growth by leveraging deep Sonata offerings and technical resources and corporate investment. This is very positive for us. This led to a strong ROI and our payback period has halved during this quarter. This has also is in a way increasing our return on capital employed continuously. This is very appreciable . As a CFO , I believe that the payback period for this acquisition of Quant is actually half, and last two acquisitions has been very successful. This reiterates our strategy and focus and drive . This quarter has been one of the best quarters for us, again this is the fifth quarter we are reporting industry leading revenue growth and a strong profitability. This has also helped us to get our growth stories intact and we are very confident of continuing to have the industry leading growth.

Thank you .

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Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Baidic Sarkar from Unifi Capital. Please go ahead.

Baidic Sarkar : Couple of questions. Anecdotally, it looks like except Quant and perhaps the large deal ramp -up, the rest of the business that grew at about 2% sequentially , is it the right interpretation and just triangulating your opening remarks Samir, is this the direction of growth expected say in the next few quarters? And secondly, in terms of closure of large deals, Samir, are the timelines moderately better than what they were say the previous 12 months, how are you reading this?

Samir Dhir : So, the way to think about this is this . In our core business as well as acquisitions, we really have been working to create these large deals momentum . As you quite have noted, I earlier mentioned about 40 plus large deals that we are chasing in pursuit right now and in the last one year, we have closed close to about 16 large deals and that just is in both organic side as well as the acquisition that we made, and it is becoming now most more or less the muscle memory of Sonata to go create

these deals and win those deals comprehensively against the competition.

So, yes, I think if you back out the large deals, the growth rate has been largely driven by the large deals in the course of the year and that was our status strategy that in the year which is rather muted , most of the competition has grown in single digit or low single digit , we have outperformed the market really on the back of the large deal . So, I think that assessment is a fair assessment . As far as the deal cycle is concerned, I think in the marketplace it is quite unpredictable that there is no real systemic pattern. So, if you go back in time, I think we were seeing a good deal closure in Q1. We saw some slowdown in the beginning of Q2, but it picked back up in Q2 second half . Then in Q3, the early part it was pretty high. Then in Q3 later part and Q4 beginning part , it has been slow. It has been going a little bit like a sinusoidal curve. So, honestly, we don't see a trend, but the delays are about a couple of months, maybe 2 .5 months. It is not indefinite delays, but you do see sometimes when you are ready to go, customers are delaying some of these deals by a month or two. So, that has been the general trend, and it happens once in a quarter here and there. I hope I answer the question , Baidic .

Baidic Sarkar : Yes, is there anything you would like to point out in the behavior, perhaps ramp up of our largest client, who is historically largest client in high -tech, like there has been some software's as we got into this fiscal year, any turnaround, what your conversations indicate and I am sorry in your opening remarks, did you say that we will continue to perhaps be acquisitive in the medium term?

Samir Dhir : Yes, let me cover both the questions. So, I think from a high -tech industry in general, we are beginning to see green shoots now. We are beginning to see the turn around . If you notice my comments , now we are seeing some softness in banking, but the high -tech is back on the growth trajectory at this point in time, including the largest client, I think in the second half of the year is much stronger growth compared to the first half and at this point in time, we are in a ramp up mode. So, the revenue full quarter effect will probably be visible from the next quarter, which is end of Q4 or Q1, but yes, absolutely the green shoots are visible, and we are in the ramp up mode in the high -tech side including the largest client , Baidic. As far as the acquisitions are

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concerned, if you recall, we have always maintained that we will do acquisitions for the right reasons . We are not looking actively to acquire at this point in time, but if there is the right

property that comes up which has the right reasons, we will not hesitate to make a decision, but our core motive continues to be the growth business organically and if something makes sense along the way we will make those acquisitions, Baidic.

Baidic Sarkar : Just one last bookkeeping question, if I may. Ja gan, in terms of margins, the last few quarters probably had the impact of ramp up in MS Fabric and of course, monetization and that might be two quarters away, as that perhaps comes into play in FY25, is it fair to expect that operating margins will inch up? And I also understand that we have had a few non-cash charges in the P&L that were acquisition related, I reckon they probably begin to come off this calendar year, could you please quantify by how much and by when?

Jagannathan C N : Baidic, on the operating margin front, the large deals will have a benefit probably and now the benefit may come in Q1 of next year, but as mentioned to all of you, we will continue to do our investment. In the medium-term, we want to stick to the guidance of low-20s EBITDA margin without other income and Forex. We will continue to explore

the opportunity for the growth;

hence we need to continue to invest. That is my operating margin answer for that your question. The second element is yes, once the payout happens in this which is going to happen in the month of April, first quarter of next year there will be a reduction in the interest cost, it is not a bank interest cost or accounting interest. That amount will come down by roughly about half of it. So, this is going to benefit, we will get a benefit because of that.

Baidic Sarkar : So, our amortization run rate as we have reported will continue, there are no changes in that, right?

Jagannathan C N : Amortization run rate will come down from first quarter of next year.

Baidic Sarkar : Sorry, so did you say both interest cost and amortization will come off by Q1 FY25?

Jagannathan C N : There are three components in that. One is amortization that is on all your intangibles, there should be amortization that will continue.

Moderator : Thank you. We have our next question from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : First is as a follow up, so you are saying high-tech growth, we should expect to continue in Q4 as well, is that understanding correct?

Samir Dhir : Yes, so let me let me characterize a little bit more. So, as you know, the first half of the fiscal year was soft on high-tech, but in the second half, Q3, we closed deals and in Q4 we have ramp up mode. So, yes, in the second half compared to first half is going to be sequentially growth in first half, but we will see a full quarter impact of it going into Q1, because we are right now in the ramp up mode in high-tech.

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Mohit Jain : The second one was BFSI we saw this decline during the quarter, now is that something we are say ramped our project completions are behind this, or should we expect that to continue in Q4 as well?

Samir Dhir : I think from the current visibility, the news that we knew has been absorbed in the current run rate, but the banking is soft, at this point in time we do not expect any further impact in the current quarter, but it is a dynamic environment, Mohit, we will continue to monitor it closely.

Mohit Jain : And as a follow up like the top ten client revenue movement that we are seeing is that the reasons are same as because of that BFSI side and high-tech the same clients are showing up in top 10?

Samir Dhir : Yes, I think the top 10 by and large continues to be the same. We are ramping up on a few clients which will probably enter into the top 10 I would say in a couple quarter. There are some new clients if you see my earlier comments we mentioned there are some Fortune 20 companies, Fortune 100 companies that we recently acquired and are in a ramp up mode, so they will get full ramped up by Q1 or early Q2. So, they will break into our top 10 maybe 2 to 3 quarters from now.

Mohit Jain : So, broadly, we are looking at a similar kind of a growth outlook for the next quarter, but then we are expecting some ramp ups to happen in Q1 next year?

Samir Dhir : Yes, so I think overall the growth momentum is solid, but the rest is as I said earlier, this is a seasonally soft quarter for Quant while the Quant overall will do well in the calendar year, we run calendar year, but the current quarter is seasonally soft quarter for Quant, but the rest of the business will be on the same trajectory, but for Quant alone this will be a soft quarter, while the overall year will be fine.

Mohit Jain : And sir last, this is related to your opening remark. Did you say there is some delayed large deal ramp ups, or did you say large deal ramp ups are on time for us?

Samir Dhir : It is seasoning delays, so deals that we are winning they are which were supposed to close in December are now getting closed in end of January, so we are seeing like a 45

days to 60 days

decision delays some of the deals.

Mohit Jain : That is from pipeline to TCV or from TCV to revenue ?

Samir Dhir : Pipeline to TCV.

Moderator : Thank you. We have a next question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on good set of numbers, quite wonderful numbers in this environment. Sir, largely I wanted to understand on the TMT vertical, I mean you made a commentary that the ramp ups are expected to continue and the 4Q and coming quarters will also be strong. I just

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wanted to understand what is it driving the growth exactly over the large client that would be helpful ? My second question was on the large retail deal I mean we had a \$160 million deal, which was there last year . We were expecting a ramp up to happen in 3Q, so what is update over there because our retail number didn't move this quarter , so just wanted to get an understanding around that ? And the third question was around the cash outflow , so for the acquired entities that is both Quant as well as the other company I mean when is the cash outflow going to happen ? And should one consider any further increase in provisioning from here on or should one not consider that?

Samir Dhir : Sure, I will take the first 2 I will request Jagan to take the third one. So, on the TMT side really it is a manifestation of the investments we are making in AI. I think a lot of turnaround we have seen in the TMT side is because of our investments in AI and data. So, the ramp up that we are doing is essentially to leverage Gen AI and AI capabilities for these high-tech customers, including our largest high-tech customer. So, that is really helping us well. The investment strategy that we have outlined 2 to 3 quarters back is paying us dividends and this business continues to ramp up from data and AI perspective both. So, that is really where the TMT question was. On the retail deal that we announced about a year back, let me just give you a perspective on that. If you recall, in Q1 we said we are in ramp up mode , our Q1 margins in the current fiscal year were dropped because we ramped up fully, but the full revenue didn't come . In Q2 we fully ramped up the deal and hence our margin picked back up again because the staffing was done in Q1 and the revenue started picking up in Q2. So, that large deal at this point in time was fully ramped up and it is in the numbers. So, in Q3 it was in a steady state. Of course there was some incremental revenue on that deal, but by and large the deal is fully ramped up at this point in time. The third question I request Jagan to take .

Jagannathan C N : Can you repeat the third question please?

Samir Dhir : Cash flow has fully absorbed.

Jagannathan C N : The cash outflow for the acquired entities, no, that will happen in April of this year and then July of this coming year and same way in the April of 2025 and the July of 2025 is one . Encore will also be closed, and it will happen somewhere in July of coming years.

Samir Dhir : The provisions fully done.

Jagannathan C N : Yes, provisions are all fully done. This is all done completed, everything is done.

Mihir Manohar : So, even if the performance , let us say, goes up from here and there will be no further provision which will happen?

Jagannathan C N : No further provision is required; we have considered all the performance and then made a once for all we have done for everything.

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Mihir Manohar : And just a clarification, sir, you also made a comment that the payback period for Quant has gone half versus what you were estimating earlier , so is this after considering the increased payout or is it before that?

Jagannathan C N : Yes, after considering the increased payout.

Moderator : Thank you . We have a

next question from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : My first question is towards Jagan, sir. Sir, in the beginning of the call, you had mentioned that the target for Quant was around 60% growth in CY23 and 36% growth in CY 24, but it ended up, the expectations are much better than what you had earlier targeted. So, for CY 24, if I am not mistaken, you said that the target is 64% revenue growth?

Jagannathan C N : Yes, CY 25 also, CY 24 also they were expected , the target was 36% growth , but the estimate of our achievement is going to 65%.

Mayank Babla : And in terms of EBITDA?

Jagannathan C N : In terms of EBITDA the target was supposed to be 33 % , but the expectation is 45% achievement.

Mayank Babla : And could you please give us the contribution of Quant so far in 9 months FY24?

Jagannathan C N : The contribution from Quant right, you are expecting?

Mayank Babla : Yes.

Jagannathan C N : That is actually completely integrated Mayank , so we have a lot of synergy elements inside this , so have not disclosed this separately.

Mayank Babla : And my second question is to Mr. Samir sir, you earlier mentioned that the Fortune 20 , 22 and 150 client that are there in your kitty, they are expected to ramp up by Q1 of FY 25 and they will be added to the top 10 clients. So, how will this change the client pyramid in terms of \$3 million to \$5 million and \$5 million plus client?

Samir Dhir : Mayank, I think there are 2, 3 parts, so these clients that we are now winning will gradually ramp up and like as I said in Q1 , Q2 of next year they will be fully ramped up for the business that we have won. And we are of course going to incrementally in business from here on because of the pipeline behind the se clients as well. So, our long -term goal is to have the top 10 contribute in low 50% of our overall revenue. Today, that number is about 56 % or 57% Mayank . We think it will be about 50 % to 53% and even in 3 years out as we move forward . Now the name of the client will change because we are bringing in high quality logos, but the contribution of the top 10 will be in the 50 % to 53% range even in couple of years out.

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Moderator : Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah : Congratulations for very good set of numbers. So, Jagan sir, would you repeat your comment regarding interest and depreciation for the coming years? I could not understand what will be the interest and amortization for the next 2 years ?

Jagannathan C N : We have explained this amortization and interest in our earlier slides also we have given the details of it. What is that is there are 3 components are there one is the bank loan interest amount which is payable to the Bank there. The second is because we have a net earn out payment for next 2 years, as per the accounting standard, you have to discount it and bring it to the present value. The difference between the present value and amount what you pay accounted as an interest cost. The third element is amortization of Intangibles Assets , so the amortization of Intangible Assets will continue to be there for 7 years to 10 years next 7 years to 10 years because that is how the life of the asset is . The interest component to the bank will continue , but interest on which is the accounting entry for the payouts at the later payout, that portion will come down by half after the first-year payout. What we are going to do in the month of April and July once it is completed the interest amortization amount will come down. So, that is what I said at least it will come down by half. The details and information of how much is the amount , all these things we have given in the presentation last quarter also the details are available there.

Moderator : Thank you. We have a next

question from the line of Sanjaya Satapathy from Ampersand. Please go ahead.

Sanjaya Satapathy : Can you just tell me again that the margin decline in the international business on a sequential basis, what was the reason for that, sir?

Jagannathan C N : This is a quarterly small change as last time we had some benefits flowing through the utilization and the scaling up in the large deal . Samir was mentioning that last year last quarter the large deal what we won in March started taking off in the last quarter hence we got a benefit of that. That adjustment has come down in this quarter , hence, the margin looks like it has dropped by 50-60 basis points. What we have also mentioned is in the medium term we will continue to focus to achieve the EBITDA without other income and for us at low 20s, low 20 is between 20 to 22 we will continue to achieve in the medium term, but we still are doing well and compared to last quarter there was some benefit because of the large deal actually taking off last quarter.

Sanjaya Satapathy : And sir the second question that one clarification, you mentioned that this Quant business is slow in this quarter you were talking about Q4 or Q3 ?

Jagannathan C N: Q4.

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Sanjaya Satapathy : So, while Quant business will be slow because of your tracking a ramp up in your this high -tech vertical, you were confident of sustaining this kind of growth is what the guidance is. Is that correct?

Jagannathan C N : Yes, your understanding this right.

Sanjaya Satapathy : The last thing is that the payout, the fair value changes that you have made. So, essentially you have given part of the benefit of achieving better growth in your acquisitions back to the guys who sold it to you, and you are saying that still the payback has improved even after making this additional thing ?

Jagannathan C N : Yes, payback period has come down by half. The EBITDA to the fair value of that was almost

like 10 to 11 when we acquired has come down to 6 and the payback period has also come down to half.

Sanjaya Satapathy : So, currently it is 6 times EBITDA?

Jagannathan C N : Correct.

Sanjaya Satapathy : As far as the payments are concerned you will continue to do that through your bank loans etc., that is there you still have not received the permission to use your cash reserve out here to make the payment for that?

Jagannathan C N : Yes, but as mentioned to all of you during the acquisition , due to some operational procedural RBI issue reason we are not able to utilize our money which is there in India majorly. So, we have borrowed some money in U.S. So, for that temporary purpose of this rollover we may take a short -term loan in U .S. for the acquisition, but in the long and the medium term once the RB I issue is fully resolved, we will be able to come out of that.

Sanjaya Satapathy : And very last question is like, if I can squeeze ? For the Q3, was there any kind of furlough s or any such things because of the number of working days or anything which were there and which will not be there in quarter 4 and when you are talking about that everything will fire beautifully in quarter 1, so are you definitely looking at a much better quarter 1 of FY25 ?

Samir Dhir : So, the furloughs were not any significant numbers Sanjay a, I think in our business, we do not see that much candidly. However, having said that, last quarter, we did see distinct delays in some of the deals , so we did carr y some people in the bench. But overall, our utilization has still moved in the right direction. And we believe that the momentum that if you are not generative in TMT, we are still in ramp up mode. And by March time, we should be fully ramp -up and hence we will see an uptake on those numbers in Q1 quarter fully loaded.

Moderator : Thank you. We have a next question from the line of Abhishek Shindadkar from InCred C a

pital.

Please go ahead.

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Abhishek Shindadkar : Congrats on a good quarter , sir. Just a clarification regarding the comments made earlier by Samir you mentioned about green shoots in the high -tech vertical and also for the large client.

So, just wanted to clarify was there any challenge esp ecially that we are calling out as a green shoot , because I remember in the last quarter we had mentioned that because of the fiscal year end for our large client, there was a delay in terms of the bookings and conversion?

Samir Dhir : Yes. So, Abhishek first of all thank you for complimenting us. I think in summary, we did see decision delays and in Q2 we did not book the order book to our satisfaction in the TMT vertical. But going into Q3, we started closing the deal as per the norm that was earlier. And the large client specifically started seeing some momentum. And what is happening is that we are winning the new work in the AI space, and that is what we are ramping up right now, which I did earlier.

So, it wasn't like a pause, but the decision delays were holding us, given holding pattern for about, I would say, quarter and half or so. That is behind us and now we are in a ramp up mode .

Abhishek Shindadkar : Jagan, sir, if you can just clarify what you said about the payment challenges and because of which you are raising debt that would be helpful. Thank you again for taking my question and best wishes for you.

Jagannathan C N : You are asking about the payment challenges correct?

Abhishek Shindadkar : Yes.

Jagannathan C N : As mentioned towards all of you during the acquisition, we have some procedural RBI issue. So, we are not able to remit the money what we have in the parent to the subsidiary for the acquisition. So, we have borrowed money during the acquisition , and we may require to borrow money a little bit more for short -term reasons . However, the net debt will be positive , will have money in the parent book and so that is what I was explaining to you . Once the RBI issue is addressed and solved , we will be able to remit money from the parent to the subsidiary and the loans can be closed.

Moderator : Thank you. We have our next question from the line of Devang Bhatt from IDBI Capital. Please go ahead.

Devang Bhatt : Congratulations on a good set of numbers. Just one bookkeeping question , since you have increased your payout , so last quarter your unwinding of interest was Rs. 11 crores. So, now since your payout has increased, what would be your increased unwinding of interest , if you could?

Jagannathan C N : There is no increase in the unwinding of interest Devang because we have now taken the routed that has gone through the P &L fully, so there is no increase in that . After the amount is paid out in the quarter 1 in April and July of the coming year, the unwinding of interest will come down almost by half.

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Moderator : Thank you. We have a next question from the line of Tushar from InCred Capital, please go ahead.

Tushar : This question is for Jagan , sir. So, Jagan sir, last year we had a wage hike in Q4 and 1 Q of FY 24, so any color regarding the wage hike for this fiscal or in this calendar year?

Jagannathan C N : Yes, we are still evaluating Tushar . We are still evaluating, and we will do whatever is there in the industry norm we definitely will consider and then take a measure in that direction. But we are still in the process of evaluating and also we are now trying to bring in a performance management system which is benchmark to the Indus try. We are in the process of doing , once the performance management is launched and completed then we may consider the salary increment for the people. At present we are still in the process now.

Tushar : My next question is regarding the business in the European geography , any color on that would be helpful ?

Jagannathan C N : The European customer?

Tushar : No, European geography revenue we have seen business for the last 2 to 3 quarters, so any color on that will be helpful?

Jagannathan C N : Nothing specific on that Tushar . They were one of our leading customers, the couple of projects got over this is an abrasion for a couple of quarters. Otherwise, the European geographies will start recovering probably next quarter.

Moderator : Thank you . We will take our next question from the line of P rolin , an Individual Investor. Please go ahead.

Prolin : I have 2 questions. One is on Fabric and second is on our aspiration to have 20% of revenue coming from AI. So, firstly on Fabric , right I mean, I was reading the transcript of Microsoft, and they are quite bullish, right they mentioned that in terms of data stored on Fabric Lake , there is a 46% increase Y-o-Y. And in the past conference call, we have also mentioned that we have been working with them to help them build the product or build Fabric and test the product and so on and so forth. So, just wanted to understand as Microsoft has now made Fabric available how will the ramp up in revenue take place over the next few quarters? And which are some of the other products which we are working on with Microsoft, especially on this whole Microsoft, focusing a lot on copilot and that being one of the key offering when it comes to AI across their products way? Do we have any play when it comes to copilot or any other product that you want to specifically call out on ?

Samir Dhir : Prolin, good question I think just let us take the questions 1 by 1. So, on the Fabric side we were with Microsoft on the engineering side and then testing their product in Sonata as a test bed as well about year and a year and a half back. So, we really had an early advantage and that is what we are capitalizing. They have just launched the product in November, their pipeline from a Sonata Software Limited
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scale perspective is just beginning to build up because right when they announced the product in November end , then there was Christmas period in January just started . However, having said that, we have built ourselves over 50 million all over the pipeline and that is largely coming from the new logos that we are able to get in because a very differentiated offering and most of these larger clients are very interested to understand the Fabric offering from our team specifically . So, early days candidly to give a forward -looking view on this, but we know as Microsoft is scale B, we will absolutely win the bus with them to maximize the revenue for Sonata, we will continue to provide an update to all of you in every quarter how the pipeline build is happening. And if you look at the commentary, I think about a quarterback we probably had about 25 to 30 clients. That number has gone up to about 50, but the scale is still in front of us . We are still in the process of building a pipeline . Of course, we have had about 7 or 8 customers which have signed up and we started the work. But the POC work itself lasts about 8 to 10 weeks. So, I think by a meaningful numbers will start to trickle into this in Q2 , Q3 onwards of next fiscal year. That is the first part of your question. The second part of your question on Copilot, the short answer is absolutely , yes. The green shoots that I talked about in TMT , have largely come from our work in data and AI, and Copilot is an integral part of that. And all the work on data and AI one side , but even in traditional work on dynamic side, whether it is F&O or CE , we continue to leverage the power of copilot for our existing and new deals that we are winning on the dynamic side as well. As far as the new products that we are working with, we can't talk about that much because those are confidential products, but specifically

the 2 that we can talk about we will discuss and share the details with you.

Prolin : The second question is on AI, right. And you mentioned that overall you want 20 % or 25% of revenue from AI in 3-years -time and one of the offering there is Harmony AI, right and which

is where we have built a bunch of services, RPA services , Integration services, so on and so forth around the LLM and so just wanted to understand that and one of the unique selling points of Harmony AI as told responsible AI or for that matter privacy of customers data , so is that the only use case which we have in A I and can you help us understand which are the some of the other things which are like an overlay over the existing LLM? And how do we ensure that some of these offerings are not inbuilt in any of these LLM in the future right so that our offerings stay relevant for the market?

Samir Dhir : So, if you go back to the comments I made earlier Prolin , I think there were 3 different dimensions of AI that I talked about earlier. Just making a quick recap for you. The first was to drive efficiencies for our clients and the example I quoted there was to use intelligent content generation with workflows to reduce manual effort. This is for automating a lot of manual efforts at customer 's end are going . The second dimension of this is to drive modernized sales and consumer experience, and the example there is that they were used AI to glean information from 60,000 wikis , for a contact center implementation, and then provided information so that the cross sell and upsell can happen. And the third is to really generate new business models for our customer because now with Gen A I specifically, you can generate new data from existing data. So, as an example for one of the media clients we are in conversation with, they can generate new books from existing books that they have. So, those are some interesting use cases coming Sonata Software Limited
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out of it. And we are leveraging the power of our Harmony AI using that. Now our differentiation is not in building LLM as we have talked about earlier, our differentiation is to really build the wrapper services around LLMs which continue to provide responsible first framework from a customer data privacy standpoint on one end. Second from a consumption and compute reduction , so that there it is environment friendly because AI services can be quite heavy on the compute r side and hence had to cost, that is the second side and then the third is really bring in industry flavored solution from an AI point of view whether it is a Healthcare AI or Banking AI or Contact Center AI to really bring in domain specific flavor to those is really what we are building out and that is not a native LLM capability just a wrapper services and that is where we are differentiating Prolin.

Prolin : Just an add on to it, I mean in future can some of these services be built in the core LLM and how do we ensure that our product then stays relevant even if that happens in the future ?

Samir Dhir : Well, I will be guessing if I can give you an answer in future, but I can tell you we will have to continue to innovate. We think we have about a year ahead of the competition. We will have to of course want ed to push ourselves to continue innovate , but some of these services might move to a different layer, which I can't predict honestly. But right now, we believe about a year advantage over the competition that is why we are winning in the TMT sector , so the green shoot I talked about earlier.

Prolin : What I was alluding to is that maybe a similar sort of transition happened during this whole cloud from one premise to cloud as well, right? Many of the services were inbuilt in the package with some of the hyperscalers provided , so that is where I came from. But I take your answer that we need to continue to innovate and

thanks a lot for that and all the best.

Moderator : Thank you. As there are no further questions, I now hand the conference over to management for closing comments . Over to you, sir.

Samir Dhir : Thank you, operator. We want to just use this opportunity once again for your support and time for Sonata. We continue to be optimistic about our business like we have always said our aspiration is to be the top quartile growth company. Of course, there will be some seasonal variations like we talked about in Quant coming up in this quarter. But in general, we are very optimistic about the future and if you can see that last 4 or 5 or 6 quarters now, we have continued to hit in the top quartile performance both on the top line. And what is endearing to us is that we are also maintaining our EBITDA line, which is also industry leading , so both on top and bottom line, we continue to be in the top quartile, and we are very proud of the achievements of our teams globally. So, I use this opportunity to thank our team members globally as well for their outstanding work that they continue to do for us. And thank you to all of you.

Moderator : Thank you , sir. On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

Sonata Software Limited - SSL

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5th August , 2024

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street, Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosures dated 25

th July, 2024 , 29th July, 2024 and 31st July, 2024, please find enclosed

Transcript of Analyst/Investor call of the Company held on 31st July, 2024 . The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations/quarterly/results> .

Please take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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“Sonata Software Limited

Q1 FY 25 Results Update Conference Call ”

July 31 , 2024

MANAGEMENT : MR. SAMIR DHIR – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SONATA SOFTWARE LIMITED
MR. JAGANNATHAN CHAKRAVARTHI NARASIMHAN –
CHIEF FINANCIAL OFFICER – SONATA SOFTWARE
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Sonata Software Limited Q1 FY '25 Results Update Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Samir Dhir, MD and CEO, Sonata Software Limited. Thank you, and over to you, sir.

Samir Dhir: Thank you, moderator. Welcome to the conference. We will discuss our strategy, the progress we have made in the recent quarters, our strategic plan and the financial results for the quarter Q1 FY '25 that just ended on 30th of June 2024. I thank you for joining us today. We appreciate your valuable time and support.

It is my pleasure to share our progress regarding our vision and growth trajectory for Sonata, despite the macroeconomic challenges, geopolitical issues and slowdown of tech spending and decision delays across some of our verticals. Let me cover an update on our strategic goals first, and then I'll cover the progress we made in Q1 FY '25.

The first on strategic goals. As you know, our objective is to be one of the fastest-growing modernization engineering firms powered by our unique Platformation framework. We aim to achieve revenue of 1.5 billion by end of FY '26 for the international business with an EBITDA of low 20s. From a growth point of view, we outlined a few critical bits. We want to continue to win large deals. If you recall, we announced 14 large deals in FY '24, and we're making good progress in that direction.

We want to deliver strong M&A performance, and our most recent acquisition on Quant has been successfully integrated with our core business, and we want to leverage our partnership ecosystem with Microsoft, AWS and other key partners and continue to win new clients that can scale to 10 million, 25 million, 50 million clients for Sonata in time to come.

We want to achieve these three goals of winning large deals of doing successful M&As, and building strong partnerships in four verticals that we have called out, Healthcare Life Sciences, Banking, Financial Services, and Insurance, Retail, Manufacturing and Hi-tech TMT. With investments in Healthcare Life Sciences and BFSI verticals, we incubated these verticals in the second half of 2022, and we also have to focus on the five geographies, which is North America, UK, Europe, India and Australia.

As you know, we modernize our clients' technology infrastructure using our differentiated lightning tools, IP and offerings. We're pleased to report that we're making significant progress towards our stated goals. However, we will need a few more quarters to reach our goal of 1.5 billion, as we outlined earlier, we probably will need two to four more quarters to reach to those goals given the macroeconomic slowdown.

With that, let me provide an update on each of the strategic vectors I just talked about. So, let's talk about the large deal first. Our large deal pursuits are a significant part of our strategy, with Sonata Software Limited

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47% of our active pipeline coming from this high-value opportunities across our four verticals and geographies.

Let's take a moment to celebrate the three significant victories we had in Q1 FY '25. First deal is for a U.S.-based premier healthcare provider, Sonata will enable an optimum global delivery model and modernize their technology stack using hyper automation and AI. Our teams will deliver cloud infrastructure modernization services and operations in our managed services model. This is an AI model-driven deal for us to modernize their tech

nology infrastructure. As

the client starts to move to a more managed model, we will move work from on-site to offshore in the coming two to four quarters.

The second win we had is in the manufacturing and services industry in Australia. We have been chosen by the client as a partner to migrate legacy systems to the latest Microsoft technology platform for standardization and modernization, a move that will benefit the client in the long-term.

The third deal is for our banking financial services customer. We're very excited about this win. It's one of the top financial corporation in the U.S., Sonata has been chosen as a strategic partner

to migrate on-prem-based applications to platform on Cloud. This is also a modernization deal.

These three wins of large deals in this quarter underscore our commitment, our investments, both in the Modernization Engineering space and AI. The deals of Manufacturing and BFSI, I just talked about, are margin accretive for Sonata, both in the short and long-term.

The Healthcare deal is not dilutive long-term, but will have a short-term margin impact for the next two to four quarters, as we complete the transition and make the upfront AI investment needed for the deal. If we go to the second strategic vector that as we have talked about is an

update on AI, if you recall, we expect 20% of our revenue to come from AI services in the next three years.

Currently, we have 65 million pipelines across 110 clients and are excited to have new wins towards an order book of about \$1 million in the most recent quarter. In parallel, we're also driving AI adoption within the Sonata function from finance to CSR to operations to sales and presales. We have invested in an AI cross-functional organization led by Sharmila Sherikar, who drives AI across Sonata and partners with CTO and sales organization to accelerate our go-to-market strategies, partnerships, research and continued strategy refinement as GenAI technologies are maturing.

To give you an example for the most recent win in healthcare for our Health-Tech client, we are harnessing the power of AI to ensure comprehensive and representative demographic coverage in clinical trials. Our clients aim to eliminate bias on the sample of people covered during clinical trials. We will use AI to ensure regulatory adherence for the client, drive demographic coverage, using GenAI to gather new regulations and automate the adherence process with requisite approvals in-built.

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Our Harmoni.AI infrastructure was pivoted enabling the deal win and subsequent AI model implementation. Our responsible first approach prioritizes ethics, trust, privacy, security and compliance and continues to empower our clients to make the right decisions.

Across several clients, we are enabling GenAI driven engineering scale, especially with our IntelliQ Solution Accelerator, which drives efficiencies in the software development life cycle. Approximately 67% of Sonatians are now GenAI Level one trained, demonstrating our commitment to upskilling and potential to up AI across our operations.

With that, let me move to the third update, which is an update on scale. As you know, we have been focused on driving accelerated outcomes for our client's using modernization. Within that, cloud and data are a significant bet that we made. We have continued progress in the cloud and data pipeline. And that now stands at 52% of our pipeline. To put this in perspective, more than half of the pipeline of Sonata is now from cloud and data. That number was about 15% two years back.

Microsoft Fabric, as you know, Sonata is proud of being a feature and large part of Microsoft Fabric, a data analytics platform for the era of AI, which was made generally available in November 2023.

Our expertise and unwavering endeavor helped us win nine deals in Q1 of FY 2025. We continue

to witness significant pipeline build for Fabric since its launch with a 46 million pipeline across 80-plus clients. A team of 450 plus Microsoft certified Azure data professionals, and 150-plus DP-600 certified professionals, enables our clients to leverage this new end-to-end analytics SaaS platform paradigm.

Microsoft Dynamics, which has been the cornerstone of our success for many years, we won five midsized deals in the most recent quarter. The quarter witnessed success in continuous modernization in Dynamics and green shoots are seen in the cloud-space and power platform pipelines.

For one of our clients with operations across 17 countries, 20,000 farmers members and 21 large retail stores, our CTRM.AI IP, we will modernize their Agri platform, resulting in 27% more efficient operations, and 15% reduction in Farm-to-Fork time to consumer as part of Agro 365 Vision that we jointly created with the client.

Our second business, with its focus on annuity business, continues to deliver consistent strong growth with industry-leading ROCE of 47.3% in Q1. In the most recent quarter, Sonata made its debut in the Brand Finance India 100, 2024. We were adjudged as one of the top three fastest-growing Indian brands with an 83% increase in our brand value. Brand Finance is the world's leading independent brand valuation and strategy consulting firm.

Update on talent. We continue to focus our focus on attracting, engaging and developing high-caliber talent to help achieve our business goals. Sonata University has been at the forefront of our capability building, initiatives and saw increased usage in the acquisition of new skills such as GenAI.

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We're very proud of the progress we made on gender diversity. We have now reached 31%, an increase of 2% in the last four quarters on gender diversity. Our employee engagement and D&I programs have been recognized by SHM in the most recent quarter.

With that view of the strategy and update on our strategic choices and investments, let me now

provide an update on the Q1 FY '25 performance. We are proud to be quickly bouncing back to growth after a decline in Q4 in FY 2024 due to large deal delays and associated costs. In Q1, the International Services business grew 1.3% quarter-on-quarter. In constant currency terms, we have witnessed 1.4% quarter-on-quarter growth.

In the most recent quarter, we saw book-to-bill of 1.24 factors in the International Services business. We are still pursuing another 49 large deals, which is in addition to the three deals we closed in the most recent quarter. In Q1 FY '25, the three deals we closed had one of the Fortune 500 companies in the banking space.

Our EBITDA, before other income and forex grew sequentially 1.4%, a significant improvement from last quarter EBITDA, from 17.3% in Q4 to 18.7% in Q1. In SITL, our gross contribution in domestic business grew 7% quarter-on-quarter from INR 64.8 crores to INR 68.5 crores.

Utilization remained steady at 87%. Quarter-on-quarter, our headcount increased by 198 FTEs with an overall accretion for the quarter being around 16%.

We have now at 21 clients, who have a run rate of more than 3 million annually at Sonata. Last year, same time, that number was 16, so increased by 5. We moved from 16 to 21 clients with more than 3 million annual revenue run rate. In addition, we now have 12 clients with more than 5 million revenue run rate.

In summary, we have diverse capability and are optimistic about our long-term growth prospects. In coming quarters, we'll continue to face tailwinds and headwinds. The tailwinds will be due to the large deals and top client and HLS, Healthcare and Life Sciences. We are very bullish about the progress we are making in large deals. We're very positive about the progress we're making in our top line and Healthcare and Life Sciences.

There are

headwinds too. On the headwind side, the deal decisioning continues to be delayed. The project completion at our clients in the U.K., Europe and retail manufacturing remain slow

in the upcoming quarters. In addition, the large healthcare deal we just won will be dilutive for the first two to three quarters and will get the company profitability by end of the fiscal year.

Team Sonata remains committed to judiciously accelerate the growth curve and build scale in terms of large clients, deals, market, partnerships and talent. I want to take this moment to thank all Sonatinas globally for their commitment and hard work, work ethics and quality of outcome they deliver for our clients.

Thank you. And with that, let me turn it over to Jagan for his comments. Jagan?

J. C. Narasimhan: Thank you, Samir, for the overview. Good morning, good afternoon, good evening, all. Let me start with the update on International Services business for the quarter 1, 2025. International business revenue for Q1 was \$82.7 million. Q-on-Q grew by 1.3% and year-on-year, it was Sonata Software Limited

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6.9%. In Q1 rupee revenue stands at INR 688 crores, which is also 1.3% quarter-on-quarter growth and year-on-year 8.5%. In constant currency terms, the revenue witnessed 1.4 percentage quarter-on-quarter growth and 7.5 percentage growth year-on-year.

Coming to profitability, International Services EBITDA before forex and other income stands 18.7% against 17.3% in Q4 2024. This reflects the 1.4% improvement in the profitability in the current quarter. The profit for international services stands at INR 65.2 crores, which was mainly influenced by a forex loss and a change in the taxation because of SEZ moving from first 5 years to second 5 years bracket, resulting in impact on the overall profitability of the company also.

The growth driven by top client and the Quant profitability offset by transition and the AI investment in the large deal in the new healthcare deal, what Samir mentioned. At the international services level, the Q1 2025 ROCE stood at 18.8%, Q4 was 24%. And Q1 2025 RONW stood at 21.6% compared to 26.7% last quarter. This major impact is because of borrowings have increased for us from \$43 million to \$75 million. That was the reason for the impact. The returns have not reflected in spite of increasing the profitability because of the loan amount increase in this quarter.

Now I will talk about the domestic business. Our revenue for Q1 stands at INR 1,849.4 crores, grew by 22.1 percentage quarter-on-quarter and 32.9% year-on-year. The gross contribution in Q1 '25 stands at INR 68.5 crores grew 5.8% quarter-on-quarter and 10.7% year-on-year. PAT for Q1 was INR 40.5 crores, which grew 0.9% Q-on-Q, at 0.6% year-on-year.

The DSO continues to be very strong in domestic business, it is 35 days compared to 36 days previously. The ROCE for domestic business has increased to 47.3% percentage from 41.7% mainly because of improved profitability as well as one of the loan amount, which was taken for a working capital purpose has been repaid. In the consolidated business, our revenue for Q1

stands at INR 2,527.4 crores. It grew by 15.3% quarter-on-quarter and 25.4% year-on-year.

PAT at consolidated business stands at INR 105.6 crores. It reflects a degrowth of 4.3% quarter-on-quarter and 12.1% year-on-year. Consolidated EPS for the quarter 1 was INR 3.81 per share compared to INR 4.33 per share last quarter. At consol level, ROCE stands at 23.5% and RONW

stands at 27.7% this quarter.

Moving on to some important operating metrics. Total head count moved from 6,416 in Q4 '24 to 6,619 in Q1 '25. Net addition for the quarter has been 203. This head count addition comprises of campus addition of 150 people in offshore and ramped up on-site towards a large health care deal.

Utilization in Q1 '25 stood at 87 percentage, last quarter it was 87.

4%, drop in utilization is mainly due to campus additions, added 14 new customers in quarter 1, 2025. Top 10 clients contributed revenue share of 50 percentage compared to 52% last quarter. The number of clients, more than 3 million run rate in quarter 1 '25 is 21 customers compared to 16 last quarter. The vertical mix in Q1 '25 is as follows: TMT's 36 percentage. Retail and manufacturing are 34%. HLS is 10% and BFS is 16% and emerging is 4%. Revenue by top GTMs, data is 16 percentage, dynamics is 25% and cloud is 39%.

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As mentioned by Samir, our data and cloud also occupy more than 50 percentage of our pipeline opportunities. The Q1 '25 order books stood at 1.24 times of International Services revenue. Our International Services DSO for Q1 was 45 days, it is same as the last quarter. In summary, we continue to remain optimistic about our long-term growth prospects. Thank you.

With that, let me turn to moderator for questions.

Moderator: The first question is from the line of Dhiraj Dave from Samvad Financial Service. Please go ahead.

Dhiraj Dave: Yes. So, my one question is basically, we've seen this healthcare deal kind of resulting into EBITDA margin and management also suggested that it would like margins would be resuming to normal by end of FY '25. Can you basically say what are the factors basically why we have seen the decline in profitability? And by what time we shall expect previous levels, whether we are striving to reach that. Management gives some color. Maybe what is the basis point decline in EBITDA margin, which can be explained by new deals?

J. C. Narasimhan: This is Jagan here. This is a large 7-year deal. It is one of the largest deals in the recent time.

What we have agreed with the customer is to do modernization, and this involves the development of AI platform in the initial period and that will be deployed in -- continuously in their system for some time and then hand over the IP to them. In this model, secondly, they have their own employees also. We are re-badging their Onsite employees, in the initial period.

And over the next few quarters, we will be doing more offshoring. So, these two components of more on-site in the initial days, and the investment for the AI platform development is going to decrease the profitability from this deal. It will recover back towards the company average after the three or four quarters. Overall, the deal is very much above the company's average margins also.

Dhiraj Dave: And secondly, Jagan, basically, we do get the C-suite link also and there we find a couple of slides which are not appearing in presentation. So, my suggestion would be if you can integrate and give one presentation because every time I get confused in finance income, we have four or five slides, which are not part into the main debt.

So rather than having two presentations in two ways, why can't we have a consolidated presentation, and that will make everyone basically we can focus on con call as well. Otherwise, we are looking at one presentation, something like data points, which you talk, they come in second presentation, but that's not available in the main presentation. So, my request is if you

can integrate one and give only one presentation, that would be good. Wish you all the best.

J. C. Narasimhan: Thank you, definitely we'll consider that.

Moderator: Next question is from the line of Akshada from Vivog Commercial.

Akshada: Hi. I have a couple of questions. So first, your international growth has still kept, and it's been a little under what we would -- or I would have expected. So why is that the case? I do understand

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there were some deferments, but are we expecting those to continue? And my second question is regarding the guidance. Do we maintain the guidance for FY '26?

J.

C. Narasimhan: Okay. I want just to give a clarification on that. I'll start with the guidance for the year. Our guidance has been -- our growth will be more than the industry growth. We have not given any specific numbers for the growth in this year.

Akshada: No, I mean the FY '26 guidance.

J. C. Narasimhan: Meeting of 0.5 billion and 1.5 billion target.

Akshada: Correct.

J. C. Narasimhan: That will be delayed -- I've been telling for the last one quarter that the achievement of our goal

will be delayed at least by a couple of quarters more. That is our expectation now.

Akshada: Okay.

J. C. Narasimhan: Coming to the question of momentum and the revenue growth, pipeline is strong Order book is strong, as we've said, the revenue momentum particularly for BFSI and for healthcare will bounce back, but BFSI will take a little while. So, we expect the momentum in the revenue growth to come by Q3 of this year. But it will be a positive growth for Q1 and Q2.

Samir Dhir: Akshada, let me just add to what Jagan said. So, if you recall back in May, when we talked about, we guided that will be between 1% to 3% for Q1 and Q2, which was our expectation, and I think we come within the range of what we have guided for in the first half of the year. We fully expect to come back on growth to our old growth rates by the third quarter of this year. I think that's something that we're working on. We're very excited about the pipeline and the order book that we have.

For the first two quarters of the year, we had seen that back in January, March quarter that these will be a little softer quarter for us. That's point number 1. Point number 2, when we guided for

being a \$1.5 billion company that was about two years back that time the market scenarios were different. So, we do expect about two to four quarters delay on the original plan. But we are still very much pushing and working towards getting to the 1.5 billion with maybe about two to four quarters delay on the overall run rate, we talked about earlier, Akshada.

Akshada: So, as we are able to book more contracts, it's just that we are facing a little bit of delay in order to start those said contracts and because we're also making expenditure to fulfill the contract. That's why margins have also been a little hampered and revenue has been pushed back a couple of quarters at least, as in the -- it has been what you've been facing so far?

Samir Dhir: That is correct. So, if you recall, our earlier large deals were closing in about one to two quarters, average was about two quarters. This time for closing has now become about three to 3.5 quarters. So, we are definitely seeing that decision delays impacting our ability to close large deals from a longevity perspective or duration point of view. However, because we have, like I

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said earlier, we have 49 large deals. So, we're still very optimistic about the momentum to keep catching up as we address this decision delays that we have been seeing in the marketplace. So that's what is explaining the Q1, Q2 softness that we have seen compared to our own run rate. That's what we guided earlier. We have seen that coming. That's why we guided the market for two quarters, we'll see slightly lower -than-expected growth of our own run rate. As far as the margins are concerned, clearly, the healthcare deal that Jagan alluded to, this is a transformation deal with AI built in.

So, we're going to make an investment in the deal itself in the next three quarters to make sure that we can transform the AI built -in state, and also, this is a largely on-site deal right now and work to move from on-site to offshore. And as we move the work from on-site to offshore, our profitability will kick back in latest by Q4 of this year. That's what our expectation is right now.

Akshada: So, what is the expected revenue for the U.S. based

healthcare deal that you were just talking over?

Samir Dhir: We can't disclose, unfortunately, the revenue size of the deal, but in our parlance, it's a large deal, Akshada.

Akshada: Okay. Can you...

Samir Dhir: Important just one more quick point. It's a very important deal. It's a 7-year program. We took a conscious call to take a short -term hit for the long-term benefit of the company. We think it's a strategically important deal. It's one of the key premier providers in the U.S. market. So, it opens up the whole provider market for Sonata as we move forward.

As you know, healthcare vertical was incubated by us about two years back. For us to open a 7-year large contract, it's very significant step for us. Yes, it's a dilution for three quarters, maybe two to three quarters, but we fully expect this will be accretive to company by Q4 and definitely Q1.

J. C. Narasimhan: This is the largest deal in the recent past for us.

Akshada: Okay. That's great. My last question is the decision delay that you've been facing, and the industry has been facing. Do we have any data or any momentum that can tell us that in the next two quarters things would get better? Or is it more of an industry assumption so far?

Samir Dhir: It's largely the industry headwind -- it basically drawn some -- for the markets and the industries that we operate in, the verticals we operate in, which is healthcare, banking, retail and hi tech.

We're definitely seeing some delays. And we think in the client base and verticals that we operate in, is catching up -- the delay cycle is catching up. And as the pipeline builds up, we'll be back on our old growth rates.

Akshada: Okay. Okay. Thank so much.

Moderator: Next question is from the line of Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Can you maybe provide what is the employee expense --

Samir Dhir: Suraj, can you speak a little louder, please.

Suraj Malu: Yes. Can you please share the -- for the domestic business what is the employee expense, other expense and other income for this quarter?

J. C. Narasimhan: There is no exceptional other income or other expenses for this quarter in domestic business. It's a regular one, normal investment income and forex gains or losses .

Employee expenses is in line with the business growth. We have added a few more people in the business. So, this cost is in line with the revenue growth normally.

Suraj Malu: Got it. Is it possible to share the absolute amount?

J. C. Narasimhan: Difficult. We don't share it outside because that -- for one quarter if I share, I have to share for every quarter. There is nothing to hide, but for that business, the product cost is more important than the employee cost. So, we continue to hold that stand.

Suraj Malu: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead. Mihir, may I request you to unmute your line and go ahead with your question please.

Mihir Manohar: I mean, sir, I wanted to understand on the absolute EBITDA. I mean, when I see the press release, are the press release for international business, the EBITDA is INR143 crores. The EBITDA for 1Q FY '25 for the international business in the press release is INR129 crores. So, in that context there appears to be a 9.9% growth versus the 9.5% growth that you have mentioned in the press release. So how to understand it, is there any typo or anything like that?

J. C. Narasimhan: Can you come again on the question?

Mihir Manohar: Yes. So basically, I mean, when we see 4Q '24 press release, the international business EBITDA is INR143 crores. And this particular quarter, international business EBITDA is INR129 crores?

J. C. Narasimhan: Okay. That is one important change we have done, we have put a star and given that. This is what we have started giving EBITDA before other income and forex, because everywhere else, we disclose only EBITDA before other income and forex . We synchronized this in line with all other presentations. Hence, we changed this also.

Mihir Manohar: Okay. Understood. So last quarter, INR143 crores had other income and forex.

J. C. Narasimhan: Other income and forex . This quarter, it doesn't have.

Mihir Manohar: Okay. Understood. Sure. Second question was on the fact last time there were -- we were saying that there were some undeployed resources, which were there on the on-site because of the healthcare deal, one of the healthcare deals that did not ramp up on the expected lines. So, I

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mean, have we deployed resources which were there? Or is there any some part of the impact still pending?

Samir Dhir: So let me take that. And just on the first point as well, Mihir, the EBITDA for international business is up by 1.4% quarter -on-quarter. So, in terms of percentage, we definitely gained ground on EBITDA, just to clarify that point.

On the point about the deal in itself, so while we have closed the healthcare deal, there was another healthcare deal that we mentioned in the last quarter. That deal has actually gone on hold at this point in time. So, customer is not taking any decision at this point. So, we have withdrawn all the investments on the deal. And those investments have been redeployed into other areas, including this new large deal that we just announced.

Mihir Manohar: Sure. Understood. Just I mean just two questions. one -- I mean, is the wage hike impact there for the full part of the year? I mean, when will the wage hike be given?

And last question was on the margins for the domestic business. Now when we see margins in domestic business, as I said, 2.6% which is like close to, I mean, 11, 12 quarters low. So how to understand the margins in the domestic business, why they have corrected this particular year, when you see the absolute EBITDA for domestic, it was 16% down . So how to see margins for domestic? And, yes, those are the questions.

J. C. Narasimhan: Yes. Please don't measure the business as a percentage of margin, you have to take the absolute amount of gross contribution. It was around INR 64.5 crores last quarter, and at INR 68.4crores this quarter. The absolute contribution has grown up. So that is the way we measure the business. We don't see the percentage of margin for this business, absolute amount of margin will grow only with volume.

So, if you see last quarter, the revenue was somewhere around INR1,515 crores. Now this is INR1,849 crores we have got. So, you have to measure this business only on the absolute amount of gross contribution. We don't see a percentage of profit. This is volume -driven, high-volume

business with low margin. So, depending on the mix of the product, each quarter, margin should vary. You can't measure it exactly with percentage of margin .

Mihir Manohar: Sure. Sure.

J. C. Narasimhan: Other question?

Mihir Manohar: Yes. Wage hike, when is the wage hike effective from?

J. C. Narasimhan: Pardon.

Mihir Manohar: For wage hike?

J. C. Narasimhan: In Q2, we are planning for wage hike for the junior management and Q3 will be for middle managers and senior managers.

Mihir Manohar: Sure, sir. Understood. Okay. That's it from my side.

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Moderator: Thank you. Next question is from the line of Chirag from Ashika Institutional Equities. Please go ahead.

Chirag: Hi. Just one question. You mentioned that three years down the line, we are expecting 20% of the revenue from generative AI and all. So, what sort of margin and operating profile of work we are looking in this area?

Samir Dhir: Yes. So, I think the margin for the current wins and the pipelines that we have is accr

etive to the

average margin. So, we are definitely seeing an uptick because these are generally speaking, more business -driven deals and IT -driven deals because most of the sale and projects that we're winning is really working with the business stakeholders directly. Example I talked about, the HealthTech client is also sell into the business side of the house. So, margins are accretive to the average and other margins.

Chirag: Okay. And one more question. As we expect H2 is likely to be better than H1 which vertical and geos do you think will push the growth or accelerate the recovery in comparison to H1?

Samir Dhir: There are two points. I think we expect H2 the growth to be higher than H1 based on our recommendation, but we'll see gross margin pressure because of the large deal we just talked about, we'll see some pressure on that for only for two, three quarters, like we mentioned earlier, but revenue definitely will be higher than the first half is our current estimate at least.

As far as the verticals are concerned, we are seeing very good momentum in the high- tech vertical. I think overall, in the high-tech, especially with the largest client of Sonata, we're seeing good momentum there. I think the momentum, we fully expect to continue going into the second

half of the year as well. The healthcare vertical is definitely in the up right now for us. We had a good successful first quarter. We expect it to continue to grow as we move forward.

And then banking and financial services, not insurance so much, but the banking side of the business, we are definitely beginning to see some green shoots there. I think that will kick up us again. On the not -so-good side, like I said earlier, the retail business is going to be soft in the next two quarters to three quarters.

Chirag: So generally, what I've seen in the commentary of the other years in the market that more experience a stability kind of trending from -- stable kind of spending from an insurance set of client and where we see some sort of muted sort of vision in your commentary. So why such divergence is there?

Samir Dhir: Because our portfolio on insurance is relatively small. If you look at our BFSI portfolio, I think the insurance portal will be of 20% of it. So, we are not a very scaled insurance provider. So, our comment is very specific in that sense. But banking side, we're definitely seeing the momentum coming back up, including the large deal we just announced.

Chirag: And within banking, can you highlight the...

Samir Dhir: Sorry, you're breaking up.

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Chirag: I mean within banking which areas do you think accelerate the momentum?

Samir Dhir: Within banking the bulk of the work we're doing from a technology perspective is in the data and cloud side, but on the -- if you look at the division of banking, it's largely the retail banking side of the equation.

Chirag: Okay. Thank you.

Moderator: Thank you. Next question is from the line of from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yes. Hi, Samir and Jagan. Few questions. So, when you say this new deal is margin dilutive for first few quarters, what is the base that you are assuming to be margin dilutive from? Because in last two quarters, we are trending at a lower than Sonata's average in terms of margin in our international business. And this quarter, you have changed the definition of EBITDA margin as

well the way you report it. So, when you say dilutive, are we looking at dilutive from mid -- sorry, low 20% kind of a number or from the current levels of margins, if you can clarify that?
J. C. Narasimhan: Yes. See couple of points I have to share with you. We have not changed the way that EBITDA is reported. EBITDA was reported in all the places investor presentation earnings presentation everywhere, it was reported as EBI

TDA before forex and other income. This was also an input from couple of analysts like you, who earlier gave us the input that we measured only by EBITDA before other income and forex. So, we started reporting in that way. It is almost like more similar to EBIT, what you people measure on that. So, we are synchronized. We thought that press release alone is having after other income and forex, so we've standardized that. The second point is, we have headwinds in the Q2 and Q3 due to salary increase, The third point is, this deal is also a little dilutive on the margin compared to company margin. It's not a loss-making deal, but it is a little dilutive compared to the company average margin level. Hence, we said there will be an impact of it. Coming to the EBITDA margin, we said the last quarter margin will be muted till end of this financial year we have improved this quarter, and we are trying to be in this range of margin. But we may not be at early 20s margin, we will reach there by end of this financial year, that how we have committed earlier, and we are still positive towards that plan. The EBITDA will be a range between what we reported in Q4, and early 20s.
Prolin Nandu: Jagan, that clarifies. Now coming to the point of -- you mentioned there are some green shoots in BFSI domain, retail banking. This is a thing that most of the other of your peers have also highlighted. They have also highlighted that there are some green shoots even in discretionary spend.

But going by your comment, it feels like the decisiveness in terms of closure of deal is pretty much at a similar level where it was in last quarter. So, is there any reason for this divergence, one is that? And secondly, related to BFSI, we had a deal in Quant also, which -- fintech deal, if I'm not wrong, which was delayed, so where are we on Quant? And are we completely on top of how the seasonality works in that acquisition? So yes, a few questions, but you'll get the gist of it.

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Samir Dhir: Yes. Let me see if I can answer each of them one by one. So, the large deal that we just announced is the joint Quant and Sonata bill. To answer your question, that's the one that we just announced the third deal. We're very excited about it. Now as far as your question is concerned of seasonality, I think, yes, absolutely, we have factored in seasonality. If you recall, in Q4 January, March quarter, we did see softness in the Quant business, and that's a largely seasonality driven.

And I think even in the next Q4, our Q4, January, March, we'll see a seasonality effect in Quant again. That's just the cycle of the business at Quant run. So that's on the seasonality side. The third question that you had was on the discretionary spend. So, the growth that we're seeing in banking is largely on the discretionary side.

What my comment was on the large deals. So large deals are taking still longer time across verticals, but the discretionary spend is opening in small to mid-sized projects. But we still continue to see large deals taking time as much as it's not closing as fast as they were probably closing earlier. So, it's consistent to that extent from industry, the discretionary spend has definitely opened up, may not be in big deals, but definitely, the signs are there, it's opening up in banking.

Prolin Nandu: Great. Last question is on Microsoft, right? I mean, that's one of the biggest clients for us in terms of selling to and selling through Microsoft. Now if I listen to the conference call of Microsoft, I see a 20% kind of a jump in terms of Fabric paid customers for Microsoft on a quarter-on-quarter basis.

So, when we think about monetization of this relationship that we have specifically on Fabric, how should we look at these paying customers for Microsoft and monetization opportunity for us? That is one. And on the Dynamics also, if I'm

not wrong, what happened last quarter was the F&O vertical, which is finance and operations, there were some headwinds there while sales are doing better, what is the situation there? If you can highlight some bit on Microsoft, that would be very helpful.

Samir Dhir: So let me take the second part of the question, then come to the first part. So, the Dynamics as far as F&O is concerned, we're definitely seeing a stronger order book in Q1. And I think that will reflect in our coming quarters in Q2 and Q3, both. So, I think the business is back on the growth rate if we had anticipated. So, we are not concerned about the Dynamics part per se. As far as the question is concerned on the Fabric side, now what Microsoft has done is they are really combined their Power BI and Fabric businesses largely, and the number that you're seeing

is a combination of Power BI and Fabric. What we are talking about is the Fabric on its own, not Power BI included. And we have continued to see some good momentum in the Fabric side. So, some of the new logos that we opened recently, we announced a few last quarters, even this quarter, we opened several new logos, Fabric is helping us open those logos with very differentiated Sonata offering at this point in time. So, it is helping us scale it out. Now with Fabric, what happens as you get into a client, a new client, you do a proof of concept, it takes about two to three quarters. And then you start to piece up to a larger deal of data

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transformation overall. So, we're still in the phase of the first part of the data projects coming up. In fact, we just closed another midsized deal on Fabric, which is a multiyear contract on data modernization because of Fabric. So, the Fabric initial momentum is beginning to build up. To be honest, I would not say that we are seeing very large deals on Fabric right now, but it's beginning to see some deals coming up of midsize at this point in time for us.

Prolin Nandu: Great. Thank you. That's it from my side. And all the best.

Moderator: Thank you very much. Next question is from the line of Vipul Kumar from Sumangal Investments. Please go ahead.

Vipul Kumar: Hi, thanks for the opportunity. So, my question is what should be a sustainable margin for the company because we are trending lower and lower as far as margin is concerned from low 20s.

Now we have reached around 18.5%. So, what should be the sustainable margin for the company?

J. C. Narasimhan: First, we have clarified this that the medium-term outlook is low 20s only. We will continue to aim to achieve the low 20s. We are expecting that by end of this year, our plan continues to be there for that. The second point is, we are not trending lower compared to last quarter, we have improved by 140 bps this quarter, which is like a significant jump for the EBITDA front. And we have been telling from last quarter that it will take two to three quarters for us to improve the margin.

This year, because of a couple of large deals as well as the investments for our long-term growth and our continued investment in AI and Microsoft Fabric, it has impacted the margin over a period of time, plus the softness in the growth of Quant, particularly with the high-margin customer, it was also not helping us in improving the margin. However, like in the past, just to give a confirmation for you, the company margin will be in low 20s only and in couple of quarters we will see it scale.

Vipul Kumar: And sir, how do you define a large deal, it is more than \$5 million...

J. C. Narasimhan: Yes. More than \$5 million is what we have internal metrics for large deals. That's the criteria.

Vipul Kumar: Would it be possible to share total TCV like all your large share.

J. C. Narasimhan: No, we have not disclosed, but we said out of the total pipeline, more than 49 percentage is constitute

d by large deals. And what we have announced at the healthcare deal, it's the largest deal in the recent past.

Vipul Kumar: Okay. And lastly, sir, I mean, I think that if you leave out Quant, we have degrown organically. Is that observation, correct?

J. C. Narasimhan: Not exactly. We have told multiple times that you cannot take Quant separately. That's a legal entity reported for the purpose of this earnout calculation. However, we have integrated both Quant and Sonata very, very tightly now. There are project papers signed in Sonata delivered by

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Quant and Quant papers signed and delivered by Sonata. It is very difficult to split this and then measure the growth in the revenue.

Vipul Kumar: Okay. Thank you, sir and all the best.

J. C. Narasimhan: Thank you.

Moderator: Next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Yes. Thanks for the opportunity. A couple of questions. First about the healthcare deal, which you referred. So just want to understand ramp-up plan because it is fairly large on a 7-year deal kind of thing. So how one should look from a ramp-up perspective because it is rebadging, obviously, it would be immediately revenue contribution kind of thing.

But as we develop AI platform, how do you expect revenue model to be on that platform side for us, and then subsequent how you expect it to trend? Second question is about the large deal, so overall TCV, which we said 1.24 times, considering healthcare deal might be disproportionate to the way we give order book 1.24 times. Any adjustment made pertains to it or it is including that healthcare deal in the number? Third question is about Quant. Now Quant has some one out linked performance, right? That is how we have taken some hit in the last year, whether it is striking those expectations? Thanks.

J. C. Narasimhan: I'll take the third question first. Quant has come back to the growth trend now compared to last quarter. However, we have the major growth as in past years is in the second half of the calendar year for them. So quarter two and quarter three, we expect them to bounce back in the growth trajectory. your second question was on order book of 1.24 times of revenue, what we do is any deal beyond \$25 million, we take only the annual revenue for the purpose of calculating book-to-bill. In this 1.24 times also, we have factored only that much for the purpose of calculation. The first question, Samir will take that.

Samir Dhir: Yes. So, I think your question about large deal ramp up. It was a rebadging deal. So, the rebadging activity has happened in late June and early July. So that is behind us at this point in time. But we are ramping up offshore now and ramping up the AI delivery model for them so that we can build the engine out for them. So that ramp-up is happening. I would say a large part of the deal is going to be fully baked into the Q2 run rate as we move forward.

Dipesh: My question was about because I think, subsequently, you are supposed to develop AI platform for the client. What would be the revenue model for us? So, it is like any T&M kind of project and then we will not benefit from the activity on the platform, or we have some upside to the platform activity?

Samir Dhir: We have upside to the platform. That's why the margin will accrete in about two to three quarters from now because we are investing upfront, but come Q1 of next year, that will be accretive to the company, so it will accrete. For two reasons, one, we are moving work from on-site to offshore, that's one vector. And second point is that the AI power will kick in, and hence, we'll be able to do the work more efficiently. So, both the factors will then benefit Sonata.

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Dipesh: Understand. And in seven years, any other subsequent uptick

is expected or then it would be more steady state deal kind of?

Samir Dhir: There is an uptick expected because they are a part of their business being hived off to a new entity. So, we are in conversations with them to be a service provider to the new height of entity as well, but that will probably take another couple of quarters to materialize. Yes, there is upside.

Dipesh: Understand. Thanks.

Moderator: Thank you. Next question is from the line of Mayank Babla from Enam Asset Management. Please go ahead.

Mayank Babla: Good evening, Samir and Jagan sir. Thank you for taking my question. Hope you're doing fine.

First question is to Samir, regarding your comment on retail and manufacturing. So, you said we are expecting some softness for the -- quarter. I wanted to understand the softness will be with respect to -- in perspective with the Q4 -- and/or Q4 FY 2024 growth...

Moderator: Mayank, sorry, we are losing your audience in between.

Mayank Babla: Your comment on year-end manufacturing. I wanted to understand the softness in growth will be if you meant that it will be softer compared to Q1 2025 growth or Q4 FY 2024 growth?

Samir Dhir: Yes. So, I think there are two parts. It's not with reference to one particular quarter, Mayank. I think we -- our other businesses are, like, especially in high-tech and healthcare are in a nice pace growing up. We are seeing sometimes flattish; some quarters are declining. Some quarters are marginally up.

So, we're now seeing the kickback of growth in retail and manufacturing at this point in time.

The comment was not respect to one quarter or two quarters, a general trend that we are seeing.

Retail, if you recall, four quarters back, was one of the strongest growing vertical for us, but has definitely slowed down since. But the good news is TMT and Healthcare are back on the growth sides.

Moderator: Next question is from the line of Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Sir, for the international services business, if we look at EBITDA, including other income, it's around INR138 crores and the net profit after tax is INR 65 crores, can you help reconcile these numbers, like the line items between this EBITDA and net profit, can you just give -- help with the numbers for those?

J. C. Narasimhan: Yes, there will be definitely forex and other income will be there. The amortization of intangibles is there, then depreciation is there, and tax is there. So, amortization and intangibles, we have given in our earnings presentation every quarter, we give that how much is the amount is there.

You can take it from there. That is a major portion because its acquisition related because of Quant acquisition and earlier acquisition, the amortization amount will be there. It's almost like a INR55 crores, of amortization will be there apart from depreciation tax and forex and other

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income. This quarter, forex and other income would have been -- other income will be positive, but forex will be a negative impact.

Suraj Malu: And net -net, that total other income will be around INR 9 crores, right?

J. C. Narasimhan: Other income was, I don't remember offline the number. But the forex, there is a loss for this quarter. One second, I'll just tell you. The total other income and forex together is about INR 9 crores, correct.

Suraj Malu: Got it. Okay. Got it. Thank you.

Moderator: Thank you. Next question is from the line of Tushar from Incred Capital. Please go ahead.

Tushar: Sir, regarding the AI engagements with the top client. So, it is predominantly with the sell to?

Or are you seeing engagement with the sell with segment also? And regarding the rebadging. So most large part of the rebadging is done in the monthly employee days, or some rebadging will be coming in 2Q?

Samir Dhir: Yes. So let us take the AI question first will then

answer the Healthcare deal question. So, on

the AI side, we're seeing good momentum both on the sell to and sell with. On the sell to side, we are helping our clients transform their customer support operations using AI and enabling the efficiency of the customer support desk of our customers. We're also helping them move other data sources and enabling from a Microsoft AI perspective, the other data sources are

coming up and enabling that whole infrastructure for them. So, it's a significant part of the work.

A significant volume of work being done with -- from a sell -to perspective at this point in time.

From a sell with perspective, like I said, we work with both AWS and Microsoft will sell with the clients on an AI and the HealthTech example that we just talked about earlier, the travel

example, if we have talked about in prior quarters, they are all examples of the telecom is granted the quarter before. They are all examples that the sell with is kicking in to help us transform the

customer estate using AI again. That's on the AI side of the question. On the rebadging side, like

I said earlier, the large part of the rebadging is behind us at this point in time. There might be a few pieces left, but largely late part of June and early quarter July, the rebadging is done.

Tushar: That's it from my side and best of luck.

Moderator: Thank you. Next question is from the line of Vikrant Gupta from ICICI Prudential Life Insurance. Please go ahead. Vikrant, may I request you come in a better reception area, your voice is raising. Vikrant, we are unable to hear you. May I request you to come in a better reception area please. We have the next follow-up question from the line of Mayank Babla from Enam Asset Management. Please go ahead.

Mayank Babla: Yes. Thanks. I got the answer to the first part of my question. Samir, if you could highlight which subsegments are you seeing softness in the retail and manufacturing, please?

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Samir Dhir: Yes. So, I think on the retail side, generally, consumer-facing retailers, mostly online, is where we have seen the softness, Mayank. And manufacturers, I would say, across the board, we have seen some softness.

Mayank Babla: Okay. Okay. Sure. And sir, my second question was to Jagan sir. There was a loan taken for the Quant acquisition, and we had planned to gradually pay it off through FY '25 and '26. Could you give us an update on that?

J. C. Narasimhan: Yes, we have taken a loan of around \$55 million, when we acquired Quant. We were expecting the RBI issue, which is a procedural issue to be completed, but it is still going on and it may take a couple of quarters more for us to come out of that issue for us. Hence not able to use the corporate pool of money here in India to repay the loan.

So, we are continuing the loan, and we have to take an additional borrowing now in the month of March 2024 to pay second installment of earn-out, which is about, very close to \$55 million.

So, we have increased the loan. \$55 million was paid, The net balance was \$43 million by end of Feb last year when we converted the loan to a \$75 million loan, which helped us to pay the earnout and the balance amount was funded internally.

Mayank Babla: Okay. Fair enough. Sir, thank you for taking my question. Best of luck.

Moderator: Thank you. Next question is from the line of Jay Daniel from Entropy Capital Advisors. Please go ahead.

Jay Daniel: Yes. So, you have given your long-term vision of going from \$1 billion to \$1.5 billion. Earlier, you said you'll get there by FY '26. But your presentation now says it will be three to four years, which means FY '28. That is just a 10% CAGR over four years. So, I mean can you reconcile these two numbers?

J. C. Narasimhan: No, it was three to four years, sometime back. Originally, when we put that slide, we have not amended it. The FY '26

target and what we have updated it, it will be delayed by a couple of quarters.

Jay Daniel: Okay. And sir, in respect of your pipeline, what is the total value of your pipeline?

J. C. Narasimhan: We have not disclosed the total value of pipeline.

Jay Daniel: Yes. Because last quarter, I think you said \$60 million was your pipeline for AI, right?

J. C. Narasimhan: Correct.

Jay Daniel: And that was some 20% of your total pipeline. So, the pipeline comes to around INR 1.1 billion.

J. C. Narasimhan: We have not given the percentage as such. Neither we have given the absolute value of the pipeline. And that pipeline has grown a lot this quarter. It definitely has been growing. This quarter, we have mentioned that more than 52 percentage of our pipeline in data and cloud, we have not mentioned the value for the same.

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Jay Daniel: And your conversion rate is 35% to 40%.

J. C. Narasimhan: Conversion rate is 35% to 40%, correct.

Jay Daniel: Okay. And in respect to the salary, you're saying there's going to be a hike in Q2 and Q3 of this year, correct? But your salary is already up 13% Q oQ and 11% YoY, 11% QoQ and 13% YoY.

J. C. Narasimhan: So, the total salary increase for the year, as we mentioned, we have added 150 campus additions during the quarter as well as the attrition replacement plus the on -site rebadging of the people. So, all these things have added to the cost of salary for us.

Jay Daniel: So now in Q2 and Q3, this will go up from the INR 369 crores that you mentioned?

J. C. Narasimhan: It will go up depending on the salary increase is one component, and also on how much addition we have, attrition we have, various other factors also play a role, but it will go up.

Jay Daniel: Okay. And in respect of the deals that got delayed, one was a large healthcare deal, which now you're saying it's put on hold and not likely to be revived. There were other deals also which had got delayed in Q4. Any updates on that?

Samir Dhir: Those are some of the deals that converted this quarter. So, the healthcare deal just announced today, while the second healthcare deal got parked right now, it's not lost, but it's parked. Further deals that we announced are in the pursuit in Q4, they got closed in Q1. And like I said, there are other 49 deals that we are still in pursuit for.

Jay Daniel: Okay, sir. Thank you. Thanks.

Moderator: Thank you very much. As there are no further questions, I'll now hand the conference over to Mr. Samir Dhir for closing comments.

Samir Dhir : I just want to take this moment to thank all of you for joining us today. We appreciate all the support and your time today. And I also want to take this moment to thank all the Sonatians globally for their commitment and hard work to keep moving Sonata in the right direction in terms of our strategic vision. Thank you all for joining us today. We'll speak to you in a quarter's time.

Moderator: Thank you very much. On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

Sonata Software Limited - SSL

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12th November , 2024

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street, Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosure s dated 31st October , 2024 and 6th November , 2024 , please find enclosed Transcript of Analyst/Investor call of the Company held on 6th November , 2024. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations/quarterly/results> .

Please take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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"Sonata Software Limited Q2 FY'24-25 Earnings Conference Call"

November 06, 2024

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Sonata Software Limited Q2 FY '24-25 Investor Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the Management from Sonata Software Limited. Thank you and over to you, sir.

Samir Dhir: This is Samir here from Sonata Software and I have the Management Team along with me on this call. We all welcome you to this conference.

Today, we will share our "Strategy," the "Progress we have made in the Recent Quarters," our "Strategic Plan" and the "Financial Results for the Q2 FY'25 that ended on September 30th, 2024."

I thank you for joining us today. We appreciate your valuable time and support. It is my pleasure to share our progress regarding our vision and growth for Sonata despite the macroeconomic challenges and geopolitical issues which are resulting in a slowdown that expanding across some of our verticals. I will update you on our "Strategic Goals" and post that we will discuss our Progress in Q2 FY'25."

So, let's talk about our "Goals" and "Strategy" first.

As you know, our objective is to be one of the fastest growing "Modernization Engineering Firm" powered by a "Unique Platformation Framework." We aim to achieve revenue of 1.5 billion by the end of FY '27 and international business at an EBITDA of low 20s.

From a growth point of view, we outlined a few critical bets:

1. We will continue to win multiple large deals building on a successful track record. If you recall in H1 of this fiscal year, we have closed six large deals.
 2. We will deepen and diversify our partnership with Microsoft, AWS and other partners and continue to win new logos, working alongside with them and really create the next \$10 million, \$25 million, \$50 million, and \$100 million clients for Sonata through that channel.
 3. Continue to scale the business through deeper capabilities, build out on delivering business results on M&As and diversify our client base by successfully integrating them.
- And we want to achieve these goals in our four focused verticals, which is Healthcare Life Sciences, Banking Financial Services, Retail Manufacturing Distribution and Technology, Media, and Telecom and in the five geographies which are North America, UK, Europe, India, and Australia.

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Leveraging our differentiated lighting tools, IP and offerings, we are steadfast in our pursuit of our 1.5 billion goal, assuring our clients of our commitment to their modernization needs.

With that, let me provide you "Update on the Large Deals first":

Our large deals pursuits are a significant part of our strategy, with 49% of our active pipeline dedicated to these high value opportunities across all our verticals. 36% of our large deal pipeline are with Fortune 500 clients.

I am delighted to share three significant wins we had in Q2 with all of you:

- The first one is with one of the top financial corporations in the US. Sonata has been chosen as a strategic partner to deliver its data modernization program, including migration from Netezza to Snowflake. This is a key multi-year data and cloud modernization program for this large US bank, which is in the top 10 of the US banks.
- The second large deal is with a US technology giant. Sonata will enable an optimum global delivery model to deliver on AI, cloud, and data services from our global delivery centers, including in India, Mexico, and Malaysia. We are absolutely thrilled about this win.
- The third win is with

with our client who is a leader in a personal facility in food safety systems, Sonata will be a strategic partner for designing, building, managing and continuously modernizing their consumer-facing automation platform using a combination of Microsoft, Android, and iOS technologies.

Apart from these three wins, we also had two strategic mid-sized deals. I am happy to share a summary of them:

- While they are mid -size deals, they are also net new logos for Sonata. The first one is our client is an Australia based wholesaler. We have been awarded a multi -year data modernization program as a strategic partner. And to note, this is our largest TC V-based Microsoft Fabric win in the data transformation space to -date. We are very excited about this win.

- And the second mid-sized deal is for a client which is the leading food service company in the US . Sonata has been awarded their multi -year ERP modernization and integration program. This is the second logo we closed in the quarter, which is also a mid -size deal. We are excited that our differentiated capabilities are now helping us win new logos along with mid -size deals.

With that, let me provide you an update on AI, which is our strategic bit:

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If you recall, we had talked about the fact that 20% of our revenue will come from AI -enabled services by end of C Y'27. We have now USD 67 million of our pipeline across 110 customers and are overly excited about the new wins that we have won in the quarter .

Happy to share with you, we closed a large pharma customer as our net new client using our G enAI capabilities in the course of the quarter. In addition , we exceeded our order booking in AI in the quarter compared to Q 1.

We are enabling our clients to leverage AI in three ways :

1. Driving efficiencies for them.
2. Driving higher consumer experience and modernizing their sales platforms .
3. Driving innovative business models for them for better outreach for a larger number of consumers to increase their revenues .

For one of the health tech clients, we are harnessing the power of AI to ensure comprehensive and representative demographic coverage in clinical trials. Our client aims to eliminate bias from the sample of people covered during clinical trials. We are using AI to ensure regulatory compliance for the customer. Our Harmony.AI . AI infrastructure is critical to our recent deal wins and subsequent AI model implementations. By leveraging Harmony. AI across multiple clients, we enable GenAI -driven engineering scale and test acceleration. Our teams are truly at the forefront of this technology revolution.

With some of the Healthcare, Life Sciences and Banking customers, we are making significant progress in implementing GenAI using small language models for cost efficiency, which also results in fine -tuning of their cloud spend and we are also implementing an agentic AI approach in these clients.

We have invested in AI Cross -Functional Org led by Sha rmila Sh erikar to drive AI across Sonata and partner with technology, delivery , sales to accelerate our GTM efforts across our partnership, research, and continuous strategy refinement in GenAI. Approximately , 83% of our engine are now GenAI trained, which is a significant increase from 67% that we shared with you last quarter. This improvement demonstrates our unwavering commitment to upskilling and the immense potential AI has across our operations and our customer operations.

With that, let me provide you an update on the scale that we are building :

For our investment verticals, which are Healthcare, Life Sciences and Banking, they now contribute 32% of our revenue, which is up from 13 % 10 quarters back , let that sink in, HLS and B FSI now contribute 32% of revenue, which was about 13 % 10 quarters back. So, our strategy to invest in these verticals has really pa

id dividends quite significantly in our growth journey. These verticals added

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nearly 18% of our client revenue, which did not exist 2 .5 years back. We expect our invest verticals of Healthcare, Life Sciences and Banking to reach about USD 250 million revenue in three to five years from now. We are very excited about the growth that we are seeing in front of us in these two verticals .

The following key be ts are helping us scale our offerings in the modernization stack :

1. On Cloud and Data – We have continued to progress in the cloud and data pipeline which is now 51% of our overall pipeline. To remind you, this pipeline was about 15% of our pipeline about two and a half years back, has now jumped to 51% of our pipeline. We are seeing an increased demand for our data-driven deals. This has now grown more than 120% over the previous year. So, we had 120% increase in our order book in data -driven deals YoY. Our revenue from data modernization has grown up from 13% to 23% in the last 10

quarters. Overly excited about the progress, our teams are making in our growth Journey from a data modernization perspective.

2. Microsoft Fabric, which is a strategic bet we made working with Microsoft and we are a featured and launch partner for Microsoft Fabric. From Microsoft perspective which this is the data analytics platform for the AI and went to GA in November '23. Since this launch, we have witnessed a significant pipeline build of our Fabric which is now USD 91 million pipeline across 110 clients of Sonata. We are overly excited again with the progress we are making on the Fabric platform working alongside with the partners.

3. Microsoft Dynamics has been the core pillar of our growth for many years. In Q2 FY'25, we won one large deal with the hi-tech customer and one mid-size deal with the Retailer. During the quarter, we witnessed continuous modernization success, and we are now seeing green shoots in the Dynamics CE space to take out the competing SaaS platforms and the Power Platform space to take out competing RPA platforms for our customers. We are overly excited again on our growth in Dynamics CE and Power Platform combined.

4. Our Sonata Information Technology Limited (SITL) business continues to deliver solid performance quarter-on-quarter and in this quarter delivered a ROC of 78.4% in Q2. On a normalized basis, it will be 45.2%, but we had some exceptional item in the quarter.

5. Now coming to the Awards:

We were recognized as a major contender by Everest Group for a "Low Code Application Development Area," and we were recognized by HFS as the "Fastest Six Service Provider" from a growth point of view in Q2 over FY'24. We are overly excited about our progress in our capability build and the fact that we are the fastest six growing company in the market today.

Update on Talent:

Sonata University has been at the forefront of our capability build initiatives and it saw increased usage and acquisition of new skills such as GenAI. Our active headcount in the quarter increased to Sonata Software Limited

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6,908 people, which is compared to 6,619 a quarter before. So, we added about 289 people net in the quarter. The last 12 month trailing 12-month attrition was at 13% and a gender diversity is at 31%. We continue to make satisfactory progress on our gender diversity initiatives.

During the quarter, we also implemented salary increase for a junior management effective July. We are planning to implement another increase for a mid and senior management effective Q3. In addition to that, we continue even in these times on our campus hiring programs and we onboarded 150 campus graduates during the course of the quarter, goes on to show that we continue to build up scale in the current environment as well.

With that,

let me provide you an "Update on the Q2 FY'25 Performance":

The key outcomes for the Q2 FY'25 despite the industry headwinds. For international business, our revenue grew 2.3% QoQ much in line with our forecast that we gave at the beginning of the year of 1% to 3% growth, it came in at 2.3%. We had a strong order booking of 1.23 book-to-bill for the international business. In Q2 FY'25 we won three large deals and six mid-size deals, this is a very noticeable achievement. We now have eight clients which do more than USD 10 million revenue on a run rate basis annually for Sonata. That number was about four, less than two years back. Our EBITDA remained at 18.2% in Q2. Our utilization remains steady at 87%. For the SITL business, the domestic business, our gross contribution in the business grew 2.5% sequentially.

Before I conclude, I want to take this moment to thank all our Sonatians globally for the commitment, hard work, and the quality of outcomes they deliver to our clients day in and out. We are immensely proud of our team members. Thank you to the team Sonata.

With that, let me turn it to Jagan for his Comments on our "Financial Performance." Jagan?

Jagan Nathan CN: Thank you, Samir, for the overview. Good morning, good afternoon, good evening, all.

Let me start the "Update on International Business Services for Q2 2025":

In international Services, Revenue was \$84.6 million with QoQ it grew by 2.3% and YoY by 4.6%.

In rupee term, the revenue stood at 708 crores which was 2.9% QoQ growth and YoY 5.7%. In constant currency terms, revenue grew by 1.5% QoQ and 3.7% YoY.

Now, the "Comment about the Profitability in International Business":

EBITDA before FOREX and other income stood at 18.2% against 18.7% in Q1 2025. The major reason for this was the salary increase given during this quarter had an impact by about 1.1%; however, we were able to compensate that through the savings achieved through operational

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improvements and SG&A leverage what we got during this quarter. Hence, our EBITDA dropped only by 50 bps in this quarter .

The PAT for international Business stands at INR 62.2 crores. It had a 4.4% degrowth QoQ from the last quarter . The revenue growth driven by the main top clients and Quant customers . In international Services , the Q2 ROCE stood at 20.3%, Q1 was at 18.8% and Q2 RONW stood at 23.5% compared to 21.6% for the quarter.

Now, the "Update about the about the Domestic Business" :

Gross contribution in Q2 stands at INR 70.2 crores grew by 2.5% QoQ, 12.4% YoY. PAT for domestic business in Q2 was 44.3 crores, grew by 9.5% QoQ and 9.5 % YoY. The DSO in domestic business stood at 35 days, same as last quarter. The ROCE in domestic business is 45.2% compared to 47.3% last quarter. The reported ROCE was much higher due to the one-time factors impact that happened during this quarter. The DSO of international business continues to stand at 45 days.

Comment about the " Consolidated Business" :

PAT for consolidated business stood at Rs. 106.5 crores, growth of 0.8% QoQ and 14.3% degrew by YoY. The consolidated EPS for the quarter stood at 3.84 per share compared to 3.81 per share last quarter. At consol level Q2 '25 ROCE stood at 24.7% and RONW stood at 28.4%.

Now, the comment about the " Cash Flow" :

This quarter there were major movements on the cash payout. The first one was earn-out paid to Quant . The second payment to Quant after the acquisition was INR 116 crores . The second one was paid for Encore , the third year and final earnout payment of INR 59.4 crores. We have also paid the incentive and the increments for the employees during this quarter . We had repaid the loan to the extent of INR 48.9 crores during this quarter. We also had the final dividend payout for the shareholders in this quarter

. The benefit positive cash inflows for us were, we had a decent amount of IT refund coming for us against the old assessment which were pending for long time.

Moving to "Other Some Important Operating Metrics" :

The total headcount moved from 6,619 in Q1 to 6,908 in Q2, the net headcount addition of 289.

Utilization of Q2 stood at 87% compared to the same level of Q1 '25.

We have added eight new customers in Q2 . The top 10 clients contributed revenue share of 63% compared to 50% last quarter. The number of clients more than USD 3 million run rate in Q2 were 22 customers compared to 21 customers' last quarter.

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The vertical mix for Q2 is as follows :

TMT is 32%, Retail Manufacturing is 31%, HLS is 10%, BFS is 22 %, and emerging is 5%.

Revenue by top go-to-market was Data was 23%, Dynamics was 23% and cloud was 41%. The Q2 order bookings stood at USD 104 million, which is 1.23x of the international services revenue . Our international business continue to have a good collection of about \$86.7 million in this quarter .

In Summary:

We continue to remain optimistic about the long-term growth prospects and thank you all for attending this call.

With this, I hand over the call to the moderator for a question-answer.

Moderator: We will now begin the question-and-answer session. Our first question comes from Rakesh Agarwal from Rakesh Mangal & Co. Please go ahead.

Rakesh Agarwal : What is the reason for degrowth in domestic business? This is a 21% reduction , Q1 was 1,849 crore s whereas Q2 was 1,461 crores.

Jagannathan CN: We have always mentioned to you that in domestic business you should not see the turnover , you should always consider the gross contribution . Gross contribution has grown from INR 68.5 crores to INR70.2 crores this quarter. Turnover depends on the contract what we sign and contract what we close. Some of these contracts may be large, some contracts may be less. So, please don't see the revenue or turnover of this business , just measure it only on the absolute amount of gross contribution.

Rakesh Agarwal: Sir, I don't follow it. Can you throw some light , even if the revenue has been dropped, how this gross contribution had been increased?

Jagannathan CN: . It depends upon what is the kind of deals we have . In this quarter , we have a couple of deals where the gross contribution percentage was better for us. Average we run between 3.9 % to 4.1 % of the gross contribution as a percentage of revenue. But some of these deals we had a higher contribution in this quarter. Hence, the gross contribution amount grew, despite turnover degrowth. This business, we will have a bumpy ride in in terms of turnover.

Rakesh Agarwal: What is the revenue impact of these new major three deals we have finalized this quarter in international ?

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Jagannathan CN: These are large deals for us and these deals which have between three to five years timeframe. So, with the large deals coming in, we will have a good impact on the revenue growth in the coming quarter but may not be immediate all large deals will take a little time of transition because most of the deals have transition impact also. Once the transition is done, the revenue will come on a normalized mode on the. We cannot particularly give about a particular contract, we do not disclose that, but we will have a positive impact on our revenue growth.

Rakesh Agarwal: From which quarter are we expecting this will impact our revenue?

Jagannathan CN: It depends on each of the contract and what is the tenure of the contract, what is the complexity of the deal and all these things. So, on a, very large deal or a mega deals we generally give how much impact will happen and which quarter normalize revenue flow will happen. These are all regular l

arge

deals. There will be more and more large deals coming every quarter. Always we win three to four deals every quarter. Hence, I cannot specifically talk about how much impact this will give. We will continue the process of winning the large deals and it will continue to help us to grow the revenue quarter-on-quarter.

Moderator: The next question comes from Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Samir, wanted to understand, having the deal pipeline overall which has been there quite good, cloud, data pipeline or even on the M S Public and Dynamics side, the breakup indicates that it is happening quite strong. You mentioned 51% of our pipeline is now cloud and data versus 15% three years back. But how should we see this particular part of the business translating into revenue growth, should we see any historical growth rate that we used to have, 3% to 5% kind of growth, which was like one of the top quartile growths among the industry, should we see that growth coming back given the deal wins which have and the growth in the pipeline?

Samir Dhir: So, there are two things happening in the market, Mihir. So, these deals that we are winning are helping us incrementally take our revenue up. If you recall, we had said when we had a degrowth in Q4, that first half of the year we will see 1% to 3% growth and the second half will be better than the first half. These deals are all adding up to us to deliver a better second half of the fiscal year compared to what we had in the first half of the year, this is point #1. Point #2, as you know, there are headwinds in the market right now, especially in the Retail and Manufacturing side, because that is about 30% of the business which is under pressure because of the industry headwinds. So, these deals are in some ways offsetting the pressure that is getting created and Sonata deliver higher than industry average industry growth rates about which we are talking. So, that is a two way to think about it. Our second half will be better than the first half comparatively and second, this is also offsetting us to take to take the headwinds from the Retail and the Manufacturing sector and offset the downswing.

Mihir Manohar: How do we see these deals come from a larger perspective given the fact that there's I think will be more on the discretionary side, data, cloud. So, how should we see margins from there on?

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Samir Dhir: So, if you think of the mid-size deals, they are at par with our standard margins of the company, they are overall at par and they will start at par and they will stay at par. Some of the large deals while their overall margin profile in the term of three or five years will be at par with the company. For the first few quarters, there might be some impact because we are ramping up, etc., But in general, there's not any negative headwind expected from any of these large deals. The one that we announced in May-June timeframe had an impact and we told you all that that will have an impact in Q2, Q3 and Q4, but that's already baked into our numbers, right. These we do not expect to have any significant impact even in the short run. They will be at par or slightly accretive.

Mihir Manohar: Second question was on the finance cost. You have given particularly good bifurcation of the finance cost in the presentation this time. So, I think if we can get an understanding as to how should one see each of these components of the finance cost for the balance part of the year, because I believe we were expecting that unwinding to come down and even the interest on acquisition going to come down, how should we see these three components for the balance part of the year?

Jagannathan CN: So, this unwinding has already come down. If you see the investor deck in slide #24, we have given

it, how much is the unwinding has come down compared to Q1 and last year what was the Q2 number and what is this year's Q2 number. And next year when the next payment happens, it will be fully closed, Interest costs on acquisition loan what we have, it's SOFR plus the margin is what we have taken from the bank. SOFR is quarterly reset hence it will come down from next quarter by 50 bps. Then our interest costs also will start coming down.

Mihir Manohar: When are we going to repay the loan which we have taken for acquisition?

Jagannathan CN: The loan what we have taken till now , will be repaid by Financial Year 2027.

Mihir Manohar: Should we building 5 crores from next year onwards?

Jagannathan CN: You are talking about interest costs, right?

Mihir Manohar: Interest on acquisition loans.

Jagannathan CN: Interest on acquisition loan , it is not 5 crores. It is interest on deferred consideration that has already come down by 5 crores from Q4 to Q1 and then Q2. Interest on loan will come down by 50 basis points, but that impact will happen from Q3.

Mihir Manohar: So, 50 basis points would be, I mean 2.5 crores kind of reduction per quarter ?

Jagannathan CN: 50 basis point s and the loan amount were 75 million , we are repaying that . Now whatever was outstanding the interest cost will come down on it . To clarify, it will not have a 50-basis point s

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impact on profitability. I am talking about interest rate . SOFR plus margin in this SOFR is coming down by 50 bp s.

Mihir Manohar: Last question was on the quarterly variation. I understand that you have a small company when we see international business. But however, the quarterly variation for us across verticals and across segments , TMT or Retail for that matter is quite stark when we compare that to others , BFSI 15% growth, last quarter, this quarter 30% growth . So, why there is such a stark variation which is there for us versus the others ?

Samir Dhir: I think it's really a function of the deals that we are pursuing. See, on a small base, we closed two mid or large deals. We see a strong percentage jump and that is what is really happening. And I think that's part of the strategy we are building out because we want to build scale in these. But if you look at a slightly longer duration, which is what I shared earlier , our Healthcare and Banking business together were about 13% of our business ten quarters back , they are about 32% of our business now. So, over the last 10 quarters, as Sonata has grown, these businesses have grown faster than the rest of Sonata , which just gives you the sense of how this business is looking like for us. That's why we are excited, and it was part of the strategy to diversify the business because Retail , Manufacturing was about 30 % to 35% of the business and that's pretty much flat line for the last four quarters , large deals are actually helping us offset that. But on a secular basis, we think this business will continue to grow faster than the rest of Sonata.

Mihir Manohar: You mentioned the second half to be better than first half . Given the deal wins which are there, should we expect the second half to be better than first half?

Samir Dhir: Well, it is a relative word , substantial, but we do expect the second half to be better than the first half. Look let's not forget it, we still have some headwinds in the business because of Retail and Manufacturing . But I think it will be better than the first half. How better , we will report back when we come to the next quarter.

Moderator: The next question comes from Dh iraj Dave from Samvad Financial Services L LP. Please go ahead.

Dhiraj Dave : Basically, I have a Retail investor for almost like eight years with Sonata Software . This is the first time when company is doing everything good, at least cash flow wis

e , acquisi tion wise we have paid

something which is incentive toward the companies which we acquire, we have paid to employees, but we find there is no dividend declaration. Is there any change in policy?

Jagannathan CN: There is no change in policy as such, but the Board has decided to evaluate the dividend payment in the coming quarter s. The reason is because of our loan repayment and many other reasons, but the board is going to evaluat e in the coming quar ters.

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Dhiraj Dave: Does it not sound something which i s kind of when we were looking at acquisition funded by debt and we are paying incentives and we are paying increment when acquisition rate is 13% to employees, which is fine , We are a manpower company, we should pay more to that part. We have liquidity and we are paying dividend in fact from the turnaround time. We have started paying two dividends . Today we are in great shape, and we are still deliberating. So, are you looking at acquisition or something that you need to hold back the cash reserve? Otherwise, it's not making sense. Why change the policy. In fact, there was no communication. If you check discussion sometime back whatever last 5 -6 quarterly discussion, categorically I ask if there is any change in dividend payout policy, it will say no , it will not increase because we have done acquisition, but it would be maintai ned. And basically, what happens is this gives discomfort to the investor community because we are used to certain kind of pattern with the company. And if you are changing that and without any communication, it's not fair, right?

Jagannathan CN: Sir, this is not a change in the capital allocation policy -

Dhiraj Dave: Yes, there is no change, but the point is that you are paying every six months, and you are the CFO . Since how long Sonata paying six months dividend? It is almost 5 -6 years.

Jagannathan CN: Everything is subject to evaluation by the board on the business condition and our strategic priorities and decisions are taken at the board level . This is not a decision by the management alone.

Dhiraj Dave: Please pass on the feedback how it is concerned. And at least it should be communicated to the investors that henceforth you will be getting or not because IT companies have tendency , good companies have tendency. So, that is fine. Your board have certain consideration. Second part I like fail to understand is that we did acquisition, we are paying incentive to acquisition company, we have IT refund which is giving us a 10 crores of extra dollar in the other income in that kind of thing which was not there in last quarter and despite that we find all these revenue growth and all that is coming , why there is no cash flow or cash growth? In fact, you see the condition of the company , we have 700 crore s cash and marketable equivalent which is reduced to 500 crores . Why is that happening? See, the growth is fine to talk about all these big numbers . Why are you not saying that we will be paying X amount of dividend or we will have a free cash flow target ? Why to look at growth if growth is not as remunerative? In fact, if you look at the ten quarters result, the dividend has been paid, which has remained the same for last 10 quarters . It was Rs.7.5 or something, it has remained that only. So, all this growth , while it makes sense for all the stakeholders as a financial investor, it does not make sense for me. It is fine, we must look at long term growth, I appreciate all that. But at the same time, you need to balance all stakeholders with growth and cash flow distribution, free cash flow needs to be taken into consideration. We cannot tell in isolation , okay, we will grow 1.5 billion. What is the point? Your margins are coming out in the pressure. If you look at IT service business in the international market , even

in the reason given by Samir that we have got 30% Retail and Manufacturing which has a headwind, but you've got B FSI which has increased by 6% and Healthcare also increased by that. So, basically what it means is that we have taken a lower margin
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business, or we have some one-time cost in building up for this. So, if that is the case, please explain what is the kind of one -time cost about the new deals which will help us over a period of time because that will help us elaborating because for the last four quarters we have been constantly getting that things will improve, things will improve, things will improve , but we don't find any kind of results.

Jagannathan CN : We take your feedback . We have explained to you about the margin in the large deals that three to four quarters impact will be there because we are doing an investment and we have also done a rebadging of people onsite , that impacts our margin , and we also told about salary increase in this quarter because we are an employee-oriented company, we need to compensate our employees. So , considering these two, we talked about the impact on margin until Q4 of this year. Secondly, when the acquisition happens, we disclose what is the total acquisition price and what is the amount we have to pay and based on what is the performance. we have also given a clear clarity last December when they exceeded the performance , we have given all the details of that , we are giving breakup of all these payouts in our investor deck every quarter . We have taken your input, sir. Thanks for your input. We will definitely take it up and discuss internally sir.

Moderator: The next question comes from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Sir, my question is on the demand environment . You mentioned that we have won three large deals in the quarter and the large deal pipeline continues to remain strong . But especially, we have also maintained our long-term FY'27 target of 1.5 billion for the IT services business. But that assumes a significant acceleration in our revenue growth from what we have been doing in the last two or three quarters. So, if you can explain how the large deals will help us in achieving that and also your comments on post the like US elections is now behind, how the demand environment is shaping up especially after the elections, and in terms of the ask rate for achieving the 1.5 billion, like is it totally organic or is there some inorganic compound also into it?

Samir Dhir: There are multiple parts of your question. So, let us just talk about the macroeconomics. So , I think like we said earlier, the industry that we service, the four industries we serviced, it is duality in those two regions. So, for example, Healthcare and Banking are doing well for us , Retail and Manufacturing is not doing that well for us because of the current consumer discretionary spend slowdown that has had and hi -tech while the large client has done well for us, but the other part of the hi -tech has not done that well for us. So, that is really two parts of the equation that we are balancing out right now. As far as the large deals, how they are helping us ? Really, like I said earlier, it's helping us offset some of the reductions that we are seeing in Retail , Manufacturing side. These deals are helping us compensate and still deliver (+ 2%) the type of growth that we just announced in this most recent quarter. What is the third part of the question? I missed one part of the question.

Amit Chandra: After the US elections, do you see changes that would help us?

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Samir Dhir: Look, it's very, very, very recent right now. But if you look at all the industry analyst's forecasts, they are all talking about US inflation will still be high, go

forward as well. Very early to say whether

it will happen or not. But the election results till yesterday the messaging was the industry inflation will be high. So, all consumer-facing industries, Retail and Manufacturing included, we don't think there will be any uptick for at least two or three quarters, but our diversification strategy to help grow in Banking and Healthcare is really what is offsetting that slowdown.

Amit Chandra: On the margins part, obviously, we had the impact of wage hike, but there was also the impact of rebadging from the large deal that we won last quarter. So, like if you can quantify the impact of what was the rebadging and has the rebadging has been completed or is it still like work-in progress?

Samir Dhir: Rebadging is fully baked-in into our current quarter, so all rebadging is fully behind us, it's fully baked into the quarter numbers now.

Amit Chandra: And the margin aspirations, obviously what we have is of like low 20s and we are currently at 18%, 18.5%. So, the margin expansion like mostly will happen with these large deals coming or is there some like more headwinds that are still there in terms of margins? And, if you can also explain the Quant seasonality because Quant is having like better margins and in terms of seasonality Q3 is the strongest quarter for Quant, so how to see the margins and the growth in like context of Quant?

Samir Dhir: Let us talk about the seasonality of Quant and I will come to the margins right after that. So, the Quant, the current quarter, the Q3 is one of the stronger quarters and the Q4 is the weakest quarter of the year. So, Q3 will be very strong for them and Q4 will be muted for them. So, that's how we see the business which is what we have shared with you earlier also and now we are reinforcing that point. So, we are not worried about the current quarter, but we do expect Q4 will be soft, but they will come back on track in Q1 again, which is our April-June quarter. That is how the revenue cycles work. And the reason that the way it works, that because they work in the Banking space and the new year contracts take effect from January and they don't get signed till end of January and then the ramp up for the new deals takes time. So, really the full quarter impact comes in April timeframe. That is how the Quant business cycle works. I hope that answers the one part of the question. Second part of the question, from about 18.5% or so of our EBITDA to getting to 20%, I think there are two levels at play, and we talked about it earlier also. So, we expect close to about half a percent to come back slightly more as we get over the large deal hump that we have invested in for the next two quarters. Jagan talked about it earlier that by end of Q4 we expect those large deal-related investments to come out of the business and we will be back on track nearly about 60 to 70 bps coming back from the large deal impact. And second, the wage hike we have done, has a cumulative effect of about a 1.1%, somewhere in that zone, and that takes us typically about two quarters to recover that. So, by end of Q4, early part of Q1, we should be able to get to our aspiration number that we have always talked to you all about.

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Amit Chandra: Like just to understand, obviously when we acquired Quant it was an extremely high margin business and after we have seen very strong growth coming from Quant and most of the deals that we are winning is Quant-led. So, like despite that the margins have come off significantly from say 22% to 18%, so is it fair to assume that the core margins which was ex-Quant has come down quite substantially?

Samir Dhir: So, let me just qualify some of the statements you made. So, while Quant has been a significant growth driver, the deals that we announced even today, not all of

them are Quant, in fact, most of

them are not Quant-related. So, the Retail deal we just talked about, the Fabric deal we just talked about, the hi-tech deal we talked about, they are all in the organic business, just to clarify that point first. Having said that, in the base business, the organic Sonata business, the greens are happening in Healthcare, Life Sciences and the hi-tech space, we have not seen any big wins in the Retail space after the mega deal we announced a year and a half back. So, that is on that point. On the margin side, if you go back, we had EBITDA of about 22%, we diluted EBITDA by about 2% to 3% and we had shared with you all because we want to invest in the newer capabilities. And what are these newer capabilities? We invested in Fabric, we invested in AI, we invested in leadership in sales across geographies, we invested in newer areas within Microsoft Stack vis-a-vis Power platform and within Dynamics also in the CE side. So, we made some strategic bets to invest in these areas because the F&O space was working well for us, but we wanted to open up new doors from a growth investment perspective. So, part of that 22% dilution to 20% was a very planned dilution. The other 2% that we diluted was because of the large deals which we expect fully to recover by Q4 and Q1 timeframe.

Moderator: The next question comes from Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: I just want to clarify one thing like since there is seasonality from Quant side, so the ideal way to look at the business is YoY, right, for example, if I look at the revenue from top ten clients, it has grown 29% QoQ, but YoY it is 8%, so just want to confirm the right way to look at it.

Samir Dhir: I think your point is right. The way to look at the business is YoY basis not only Quant even for Sonata also. But I think on the top ten clients, Suraj, keep in mind that the top ten clients that we had last year are not the same this year. We have had new additions in that mix. So, we added new customers in that mix and some of the older clients of Sonata are no longer in the top ten because they have fallen off the run rate basis. If you recall some time back, I just shared with you that about eight customers are more than 10 million in Sonata on a run rate basis. So, our mix of top 10 is changing. So, YoY is not a like-to-like comparison to what you are seeing YoY basis, not an apple-to-apple comparison because the base clients are different now.

Suraj Malu: One thing I just wanted to understand is on the sharp increase in employee expense like because for the past two quarters it has jumped like 10%, 11% QoQ. So, I just want to understand the split like how much is due to wage hike and like what is the reason for such high jump?

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Jagannathan CN: I have explained to you that the wage hike has impacted about 1.1% at the EBITDA level for us this quarter.

Suraj Malu: If you can explain, why in the absolute terms the increase in employee expense?

Jagannathan CN: The absolute number, it is difficult to share details. It is confidential numbers now. But what happened is it had a 1.1% EBITDA level for us. Normally the total increase with junior management, mid management and senior management will be 1.6% to 1.75% every year. This year we have done only junior management now; hence it is 1.1% of the EBITDA.

Suraj Malu: And will the balance impact be in the next quarter as you had mentioned?

Jagannathan CN: Yes, balance impact will be in the next quarter.

Moderator: The next question comes from Chirag Kacharia from Ashika Institutional Equities. Please go ahead.

Chirag Kacharia: I have a couple of questions. So, in the second half you mentioned you are expecting to be better than H1. So, which vertical do you think to drive better performance in comparison to

H1? And second,

what furlough impact you are expecting in third quarter?

Samir Dhir: I will take the first part; Jagan will take the second part. On the vertical side, we continue to expect our Healthcare business will grow, we are expecting the Banking business to grow. So, those are the two businesses from a vertical perspective we think the growth will from. In addition, from a geography perspective, we think the US geography will grow faster than the other geographies as well. So, that is the two ways to think about it from a growth perspective.

Jagannathan CN: The furlough will have a very, very minimal impact for us, we do have an impact, but it is not going to be very substantial. Impact for us, except for one or two customers in the Banking space, it is not expected to have much bigger impact on the other customers for us.

Chirag Kacharia: From a capability perspective as you mentioned we are investing and there will be some margin band from a quarter perspective. So, in H2, the margin band will be on the lower side, or one should consider margin be like what we had witnessed in H1?

Jagannathan CN: I did not get your question. Can you repeat your question?

Chirag Kacharia: What I am asking here in H2, the margin band will remain in the same range as H1 or slightly better than H1?

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Jagannathan CN: Q3 will have an impact of salary increase, but operational improvements will also come in there. We will have an improvement in the second half compared to H1, but to reach back to the early -20% level what we were mentioning, it may happen only by Q1 of next year.

Chirag Kacharia: And at consol level what is point margin impact we are expecting due to wage hike in the third quarter?

Jagannathan CN: This quarter it was 1.1 percentage, normally the total impact in a year will be about 1.6 to 1.75 percentage because of the total increase on a normal year when the increments are given, this year balance impact will come in the Q3. We are yet to finalize the total number, but around that number can happen for mid managers and senior managers,

Moderator: The next question comes from Harsh Chaurasia from Valium Capital. Please go ahead.

Harsh Chaurasia: Sir, I have two, three questions. So, first is when I see your Retail segment vertical, it has been degrowing from the last couple of quarters. I know there is a business condition, but when you speak about your deal pipeline, so can you give us some idea about like what percentage of the deal pipeline

is contributed by Retail and Manufacturing, so what I am implying is so when the overall business condition improves, the run rate in the Q oQ growth will be much faster than our peers? My second question is from a margin perspective. This is a clarification. So, when I see on Y oY basis, your cloud and IMS revenue has been the major contributor in the international business. So, are we doing a lot of pass-through revenue type of deals which is impacting our margins? And third is basically when you say the 22% to 20% margin dilution was planned, so can you give the breakup of 200 bps which we have invested in business, so like what have we done investment on the large deal size and on the geographical expansion side from that perspective?

Samir Dhir: Multiple parts of the question. So, on the Retail large deals, they are in line with other verticals, Harsh. However, the difference in Retail and other verticals is that we are seeing closure than other verticals, we are not seeing the closures come through in Retail vertical and Manufacturing vertical. The clients are delaying the decisions that the cycles are longer. Our ability to close is limited not because our capabilities are just because the way the business cycles are with customers. They are delaying every quarter, the next quarter the discretionary

you spend side of the equation. So, from a pipeline perspective, do we have the same pipeline as other verticals? The answer is yes from a large deal point of view. But are we seeing closure? The answer is no. The second part of the question where we have grown in the cloud, I think is on the data on cloud. These are not pass-through deals, these are all data-enabled deals through the cloud platform which are hybrid deals which has some components of cloud and some components of data inside, but these are not pass-through deals by any measure, they are not the impact from a dilution perspective, the only dilution we have in the business from a gross margin perspective is because of the large deal we have already shared with you guys, that will continue for two, three quarters and then will get normalized again. And the third point of your question about from 22% to 20%, that investment was baked in, if you recall, even two
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years back we shared with you, it's largely in the capability side of the company because we are trying to create new capabilities of GenAI, Fabric, newer sales team members in some of the geographies that we invested especially in Europe, especially in the Banking and Healthcare vertical, especially in the newer areas that we outlined to you as part of our strategy. So, that is where the investments of 2% have gone in from 22% to 20%, which is our target end state we want to get to from a margin point of view.

Moderator: The next question comes from Prolin Bharat Nandu from Edelweiss Public. Please go ahead.

Prolin B Nandu: Couple of questions and let me start with where the previous question ended on this 200-bps investment that we had done two years back. Now, if I see we have already won a mid-size, not a large deal but a decent size deal in data, fabric as well and AI is something that we have been investing in, we have been winning deals in BFSI domain as well. So, when do you think that this 200 bps of investment, we will recover, I mean would it be '26 or when do you think this you know we can plough back some of the investments that we have made.

Jagannathan CN: So, this investment will continue for at least another three years' time. The reason is because we have to bring in a scale for continuing the growth that can come in for the business. Secondly, there is a big technology changes and with the opportunities are unfolding in front of us, unless we invest and bring the scale to this, we may not be able to capture the opportunity for growth that can emerge in the market in the coming future. So, we have to continue to invest this 2% and at least for three years, we may not be able to recover this.

Prolin B Nandu: Jagan, you mentioned this technology change, right? So, what we have typically seen is that whenever technology changes happened, it happened at DevOps at that time, whenever the implementation happened or whenever the benefits of that technology change percolated down to IT services company, it become more of a commodity, right, everybody started doing it and right now also the same thing is happening, everybody's talking about AI, right, in some sense and investment there and deal wins also happening. So, do you think that this AI and we talk about Harmony, we talk about our very esteemed partnership with Microsoft, do you think that that will give us an advantage and going forward when it comes to the service part of the GenAI thing, would it accrue to only a few players or all the service players will benefit and there how do we differentiate ourselves versus the rest of the pack?

Samir Dhir: I think look, for every time there is a technology change that has happened in the market. There are two, three companies which gained. If you go back 15- years back, you can see when the digital came, few companies came from

behind and took the marketplace. Of course, everybody got a part of it, but some companies benefited more from this than the others. And what we are trying to do in the modernization space is exactly that. We are trying to capitalize that investment. Large will depend upon how well we execute as a team and the company. From the excitement perspective and the opportunity perspective it is in fact there, but we have to execute well. We made the investment; we

are executing to our strategy and some of these journeys are not very linear. So, some quarters will be better than the others, some years will be better than the others, some years will be worse than the others. We are building a long-term business, and we believe what our teams are doing is really the right thing to do for building a long-term viable business out. And as you know, Sonata has many waves of growth, and we really want to make sure that the AI wave that is in front of us we capitalize on that as we move forward.

Prolin B Nandu: So, just to conclude, right, I mean our top quartile growth is something that we want to come back to in the second half of FY '25 and the margin that we were let's say before the start of this year, 20 %-odd is something that we aspire to reach in Q1 FY'26 is that the fair conclusion on growth and margin ?

Samir Dhir: Let me just qualify a little bit. I think we will have a better second half than the first half. We may not end up in the top quartile, just in the second half, it might be H1 of next fiscal year, but time will tell how we deliver to that, but that's how our current calibration, but second half will be better than first half for sure from a growth perspective. As far as the margin is concerned, as Jagan said, by end of Q4 or Q1 timeframe, we do expect to be 20% EBITDA company.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Samir Dhir: Well, thank s all of you for joining us today and listening to the prepared comments from the management team and for your questions. We just thank you for your continuous support and cooperation with Team Sonata and we take this opportunity to thank all the S onatians globally for their untiring efforts to scale the company. Thank you, all.

Moderator: On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Sonata Software Limited - SSL

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13th February, 2025

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street, Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosures dated 31st January, 2025 and 6th February, 2025, please find enclosed Transcript of Analyst/Investor call of the Company held on 6th February, 2025. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations>.

Please take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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"Sonata Software Limited

Investor Conference Call "

February 06, 2025

MANAGEMENT : MR. SAMIR DHIR – MANAGING DIRECTOR AND CHIEF

EXECUTIVE OFFICER – SONATA SOFTWARE LIMITED

MR. JAGANNATHAN CN – CHIEF FINANCIAL OFFICER

– SONATA SOFTWARE LIMITED

Sonata Software Limited

February 06, 2025

Moderator : Ladies and gentlemen, good day, and welcome to the Investor Conference Call of Sonata Software Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Samir Dhir, CEO and Managing Director from Sonata Software Limited and Mr. Jagannathan, C N, CFO from Sonata Software Limited. Thank you, and over to you, sir.

Samir Dhir : Thank you Chorus Team . Good evening to all the participants. I welcome you to this conference.

Today, we will share our strategy, the progress we have made in the recent quarters, our strategic plan and the financial results for Q3 FY '25, the quarter that ended on December 31, 2024.

Thank you for joining us today. We appreciate your valuable time and support. It is my pleasure to share our progress regarding our vision and our growth trajectory for Sonata. First, I will provide you an update on our strategic goals and then we will discuss our progress for Q3 FY '25.

So let's talk about strategy and goals first. We aim to be one of the fastest -growing modernization engineering companies, powered by a unique platformation framework and AI. In the current context, while there are macroeconomic challenges, a slowdown of tech spending and decision delays, we continue to build for scale and drive towards our key bets. And our bets include number one, to continue to win large and mid-sized deals, building on our successful track record, YTD FY '25, we have won eight large deals so far.

Number two, deepen and diversify our partnership with Microsoft, AWS and other key strategic partners and to help win new logos of Sonata and scale those logos to be the next \$10 million, \$25 million accounts for Sonata. YTD FY '25, we have added 16 new enterprise -grade logos that will scale over the next 2 to 3 years.

And number three, scale our capabilities and continue to build out modernization engineering capabilities with the AI, across all our competency areas consistently. And we want to achieve our goals in our four verticals, which is Healthcare/Life Sciences, Banking, Financial Services, Insurance, Retail Manufacturing Distribution and TMT , which is Telecom Media and HiTech.

With investments in Healthcare, Life Sciences and Banking Financial Services verticals, which we incubated in the second half of 2022. And we want to do this across by geographies, which is North America, U.K., Europe, India and Australia. With our differentiated Lightning tools, IP and our offerings , we are steadfast in our pursuit of delivering value to our clients and their modernization needs.

With that, let me provide an update on large deals. Our large deals pursuits are a significant part of our strategy. 44% of our large pipeline is from Fortune 500 clients. I'm delighted to share with you two significant wins we had in Q3 FY '25. The first win is from a Finland-based mining and construction technology leader. Our teams will drive modernization and transformation by

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leveraging AI, Dynamics and our integration capabilities. Sonata will deploy the solution across 26 countries over the next 3 years.

The second large deal, we won in the quarter, where our client offers technology solutions for transportation and voice management data management and network optimization. We will be a strategic partner for modernizing our client's 20 -plus year old SaaS -based platform through an AI-powered Cloud and data modernization stack. This is a net new client and a large deal for Sonata book.

In both these deals, our teams have leveraged Sonata's deep AI

capabilities for process

transformation, modern AI engineering tools and platform -driven data modernization. Let me provide an update on AI, which is our big bet. As stated earlier, we expect 20% of our revenue from AI-enabled services in the next 3 years. We have 58 million pipeline across 100- plus clients on AI.

We enable our clients to leverage AI in three different ways: number one, driving efficiencies for them. number two, driving higher consumer experience and modernizing sales for them; and number three, driving innovative business models for our clients.

Our Harmon i.AI platform is critical for our recent deal wins and subsequent AI model implementations. For Banking Financial Services and Healthcare, we're making significant progress in implementing GenAI, using Small Language Models for cost efficiency from fine tuning, we're implementing Agentic AI for driving hyper automation in our transformation programs.

Some of the key programs we are delivering include, for Healthcare client, we are building their

GenAI platform, including forming their enterprise-wide CoE. On our travel clients, we're building a co-innovation AI lab and implementing modern engineering across their software development life cycle. For our financial services client, we're building AI-enabled intelligent document processing capabilities. We are delighted that Sonata has achieved AWS' Generative AI Competency.

By harnessing AWS' GenAI technologies and advanced AWS DevOps services, we are well positioned to elevate customer experiences and provide hyper personalized content. We are also a proud partner of Microsoft's Partner AI Council. In partnership with the Victorian government, we announced our commitment to set up an AI Center of Excellence in Melbourne, Australia to meet the growing demand for GenAI and Data Solutions. The center is expected to create around 100 skilled jobs in Melbourne over the next 3 years.

Approximately 87% of our organization is now GenAI trained. This improvement demonstrates our unwavering commitment to upskilling and the immense potential of AI across our operations, ensuring that we are well prepared for the future.

The fourth update on scale, and scale to build our capabilities in our verticals and technology capabilities. Our invest verticals of Healthcare, Life Sciences and Banking contribute now to 35% to 40% of our revenue up from 13.5%, 11 quarters ago. So in 11 quarters, we moved the

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dial on close to about 14% to close to about 40%, a significant movement, and that's above when Sonata has grown in the last 2 years significantly as well.

We expect our investment verticals to reach 250 million in revenue in the next 3 to 5 years' time.

The following are the key bets to help scale our moderation offerings. Number one, Cloud and data. We have continued to progress in the Cloud and data pipeline. Now Cloud data is about 44% of our overall pipeline. We are seeing increased demand for our data-driven deals. Our revenue from data modernization has grown from 13% to 26% in the last 11 quarters.

Second, Microsoft Fabric, which we have talked to you about in earlier forums as well. Sonata is proud to be Featured and Launch Partner for Microsoft Fabric, a data analytics platform for the era of AI, which we call as infrastructure for AI, and it was made available in November '23. Since its launch, we have witnessed a significant pipeline build for fabric, which is at around about \$70 to \$75 million now from across 70 clients.

Dynamics in Q3 '25, we won one large deal, one I just now talked about earlier, is on Dynamics platform. And we are seeing a good momentum buildup in Dynamics, F&O, CE and Power platform across. SITL. our India business at ITM, which focus on annuity sales, continues to deliver strong, consistent growth and an industry-leading ROCE of 48

.5% in Q3 FY '25.

Let me share with you some of the awards and accolades our team got in the course of the quarter. Sonata is now recognized as a Disruptor in HFS Horizons Azure Ecosystem Service Providers. Sonata is now also recognized as Disruptor in the HFS Horizons Quadfecta Services for the Generative Enterprise 2024. We're also recognized as an Aspirant in the AI Engineered Services in PEAK Metrics Assessment of 2024. We are also proud to share with you that recognized a disruptor in HFS Horizon, Best Service Providers for Commercial Banks in 2025.

With that, let me provide an update on talent. Our active head count increased to 7,000-plus up from Q1 FY '25 for 6,600, and we are pleased to cross the 7,000 mark. It's a significant moment for us to cross a 7,000 headcount mark globally. We added 182 people in the quarter. The last 12 months attrition was 14% and our gender diversity is at 31%.

During the course of the quarter, we implemented a compensation increase for our mid and senior management effective Q3. In addition, we continued with our campus hiring plans despite the market conditions and onboarded nearly 100 campus graduates during the quarter. Sonata University, which has been at the forefront of our capability building initiatives and continues to enable increased usage and acquisition of new skills such as GenAI.

Sonata SPARK Hackathon, our annual event to celebrate technologists at Sonata continues to celebrate creativity, collaboration and innovation at our firm. After months of hard work, our talented Sonatians, brought game-changing ideas to life using the power of AI and modernization engineering to drive value for our clients.

With that, now let me provide an update on our Q3 '25 performance. Let me start with the International Services business first. In constant currency terms, we have witnessed 4.4% Q-on-Q growth. Dollar terms, revenue grew by 2.8% quarter-on-quarter. Order booking for the quarter, book-to-bill is at 1.23 for the International business.

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In the Q3 quarter, we have witnessed a tale of two cities for us. On one hand, we're delighted with the 4.4% constant currency Q-on-Q growth and robust broad-based growth in sectors like

BFSI, HLS, and US. As a percentage of our overall revenue, BFSI and HLS have grown significantly Q2 to Q3.

However, on the other hand, during the quarter, we had unplanned ramp downs and one -time discounts for a large high-tech client. As a result, our TMT vertical de-grew due to sudden ramp downs and one -time discounts. This TMT large client ramp down and one -time discount has two impacts on our performance, and I want to share that with you.

First, on our Q4 revenue growth, we will have a full quarter impact of these ramp downs which happened during the course of the quarter. In prior quarters, we have indicated to you that Q3 and Q4 would grow strongly. While Q3 has been a strong growth quarter for us, we now expect Q4 to be a de -growth quarter for Sonata due to sudden ramp downs in this high-tech client and Quant seasonally weak quarter.

The second impact of this sudden ramp down is on our Q3 margins. Our EBITDA for Q3 quarter has a negative 3.5% one -time impact due to sudden ramp downs, one -time discounts, and the severance payoffs which we had to make. These costs are related to one-time discounts, and we do not expect them to occur in the upcoming quarter.

Let me provide an update on EBITDA. We talked about EBITDA earlier. EBITDA has sequentially declined to 14.6% in Q3. Utilization remained steady at 87%. Quarter -to-quarter, our headcount increased by over 150 FTEs in International Services. SITL business, the gross contribution in our domestic business grew 16.7% quarter -on-quarter. We are very pleased with our performance in SITL business.

The newly formed security operations center in our

SITL business will be 20% of our gross

contribution in the next three to five years' time. In summary, we were and are very optimistic about a long-term growth prospect. In the coming quarters, we will continue to face the tailwinds and headwinds, the tailwinds due to our large deals, our success in healthcare life sciences, banking, and the headwinds due to the sudden ramp down in the high-tech customers, specifically in Q4, and general slowdown in retail manufacturing.

Team Sonata remains committed to judiciously accelerating the growth curve and building scale for Sonata. I want to thank all the team members globally for their commitment, hard work,

work ethic, and the quality of outcomes they delivered to our clients day in and out. Thank you.

With that, let me turn over to Jagan for his comments on our financial performance. Jagan?

Jagannathan CN: Thank you, Samir, for the overview. Good morning, good afternoon, good evening to all of you.

Let me start to update with international services business for Q3 '25. Our International Services revenue for Q3 in terms of dollar stood at INR87 million, which is quarter -on-quarter growth of 2.8 percentage, and in constant currency terms, it is 4.4 percentage. Our rupee revenue stood at INR731.7 crores, which is quarter -on-quarter growth of 3.4 percentage.

Coming to profitability, International Services, EBITDA before forex and other income stood at 14.6 percentage, down from 18.2 percentage in Q2 '25. The 360 basis point decline was mainly Sonata Software Limited

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explained with the following factors. Large tech client, sudden ramp down in Q3, and one -time discount given to them. Impact of salary hikes was offset by SG&A savings and leverage we got in this quarter.

EBITDA after forex and other incomes stood at 16.1 percentage in Q3 '25. PAT for International Services stood at INR 56.9 crore, against INR62.2 crore in Q2 '25. International services PAT decline was mainly explained by the following factors. EBITDA dropping by 360 basis point.

Benefits include forex one -time tax benefits, unwinding of interest on debit consideration, and volume increase. At International Services level, Q3 2025 ROCE stood at 16.9 percentage, Q2 was 20.3, and Q3 RONW stood at 19 percentage, Q2 '25 it was 23.5 percentage.

Now moving on to the update on domestic business, our revenue in Q3 2025 stood at INR 2,111.1 crore, which is 44.4 percentage quarter -on-quarter, and 17.3 % year-on-year. Gross contribution for Q3 -25 stood at INR 81.9 crore, with 16.7 percentage Q -on-Q growth, and 14.9 percent year -on-year growth. PAT for Q3 2025 stood at INR 48.1 crore, against INR 44.3 crores in Q2, with 8.5 percentage quarter -on-quarter, and 12.8 percentage year -on-year growth.

The DSO for Q3 '25 is 41 days, compared to 35 days in Q2. DSO increased due to 28 % of invoicing being in the last month of the quarter. ROCE for Domestic business improved to 48.5 % in Q3, compared to 45.2 % in Q2 '25. Consolidated EPS for Q3 '25 was INR 3.78 per share, Q2 was INR3.84 per share, decreased by 1.5 percentage quarter -on-quarter. At console level, Q3 '25 ROCE stood at 23.1 %, compared to 24.7 % last quarter, and RONW stood at 26.3 %, compared to 28.4 % last quarter.

Now coming to cash flow updates, this quarter we delivered exceptional collection of INR 3,138 crores, including 100 dollar million and in INR842 crores. Collection was achieved in the international services. As a result, our gross cash balance stood at INR672 crores and the net cash balance stood at INR176 crores.

Coming back to the update on operational metric. Total headcount moved from 6,908 in Q2 '25 to 7,090 Q3 '25, net headcount addition of 182. Utilization in Q3 '25 stood at 87%. Q2 was also 87%. We added 11 new customers in Q3 '25. Top 10 clients contributed 66 percentage in this quarter compared to 63% last

quarter. Number of clients greater than 3 million run rate in Q3

'25 is 21 customers compared to 22 last quarter.

Vertical mix is as follows. TMT is 29%, retail and manufacturing is 25 %, HLS is 11%, BFS is 30% and emerging is 5%. Revenue by top go-to-market, our data is 26%, Dynamics is 24% and Cloud is 37%. Q3 '25, order book bookings stood at 114 million and 1.23x of International Services revenue. Our International Services DSO for Q3 '25 is 47 days compared to 45 days last quarter. In summary, we remain optimistic about long-term growth prospects.

Thank you. With that, let me turn back to the moderator for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take our first question from Mihir Manohar from Carnelian AMC.

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Mihir Manohar : So I wanted to understand this. I mean when we see the international revenue , the CC growth is at 4.4%. Now there is a client ramp down, which has happened this quarter because of which the margins are in effect . So how to understand this? I mean, why is the revenue not down despite the ramp -down being there and there is only margin impact?

Jagannathan CN: Yes, the ramp down happened towards the end of the quarter. And this is going to have a one month impact we had in the customer for this quarter in revenue terms. But we had a cost impact because for the actions we have to take to reduce the cost. This will have a full run revenue impact in the next quarter.

Mihir Manohar : Okay. But the margin impact was for the full quarter?

Jagannathan CN: No, the margin is one time because we have to do a settlement to the employees.

Mihir Manohar : Understood. Okay. Because 350 basis points kind of an impact , I mean , more closely, INR20 crores kind of a number as an impact was there. Is that understanding correct?

Jagannathan CN: Yes. The revenue growth had a one month impact, and next quarter is going to be a full quarter impact. Margin had one-time because of the one-time cost we incurred in -- particularly in the nearshore location. We had an impact on the margin.

Mihir Manohar : Okay. Also if you can just broadly...

Jagannathan CN: We had a salary increase also.

Mihir Manohar : How Large would be this accounting with geography, what kind of challenges are there in this account? I don't know why is it ramping down? Is it completion of a program or some vendor change ? How do you understand that?

Jagannathan CN: No, this is a decision taken by the customer to cut down their cost due to the AI implementation and optimize it like 25 percentage, 30 percentage of cut -- bringing down the cost , they have taken an action on that.

Mihir Manohar : Okay. Understood. And my last thing was just on when you see...

Moderator: Can you use the handset mode, please? Line is not very clear.

Mihir Manohar : I wanted to broadly know , I mean when we see the healthcare at the start of the year, the June quarter, healthcare vertical had a client ramp down, now TMT vertical is facing some challenge.

So what broader set of learnings or how to understand that we will try to mitigate such kind of ramp downs going ahead? So if you could provide some clarity around that?

Jagannathan CN: Yes, these are all very large -- the healthcare client was a new client, and we were investing to get the customer and then we had a challenge on that. But this is like an existing customer, one of the largest customers. So because of the size and because of our size, the impact is felt immediately for us.

Mihir Manohar : And what could be the impact in 4Q from... ?

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Jagannathan CN: These kind of events in the uncertainty in the market and uncertainty with the customer can happen if it is , but very rarely . It's not that it has happened in the -- regular

ly, it happens , but the

TMT customer is like a one-time happening.

Mihir Manohar : Sure. And what sort of impact should we consider for 4Q for this account?

Samir Dhir : Mihir, this is Samir. I think there are multiple questions here -- part of your question. So this is a client that we are going pretty steady in the first half of the year. And in second half of the year, they decided to take some cost optimization efforts for their own budgetary reasons. And hence we had an unplanned ramp -down.

Mihir Manohar : I am sorry, Samir. You are not audible. If that's the problem with me only, I'm sorry .

Samir Dhir : Is this any better here or no?

Mihir Manohar : Yes, this is better, yes.

Samir Dhir : Okay. So I was saying that for this large customer, we were in a pretty good growth trajectory in the first half of the year. In the second half of the year, we started seeing some ramp down, which is due to largely because of their cost containment effort that they wanted to do to manage their own cost. So we had a ramp down mid to late November, early December timeframe. And now we'll see a full quarter impact.

This is a very stable customer, but we're going through sort of a seasonal change with them at this point in time. We think this effect will last fully for Q4. It might spill over to Q1, but we can't comment on it today. But this will come back on growth trajectory in a couple of quarters back again. This is not a permanent damage. This is a short-term blip that we're facing right now.

Mihir Manohar : Sure. So point taken. What could be the impact in 4Q because of this account?

Samir Dhir : Like we said, I think we'd expect a degrowth right now because this customer is still in a very much decision-making mode. So, it's very hard to predict how much is the impact.

Jagannathan CN: Yes. Overall, we are expecting about 2.5 percentage to 3.5 percentage of degrowth next quarter, including a seasonal impact.

Mihir Manohar : Okay. At the company level?

Jagannathan CN: Company level, correct.

Mihir Manohar : For the international IT services?

Jagannathan CN: Yes, yes, yes.

Moderator: We'll take the next question from the line of Hasmukh Devji Vishariya from Tata Mutual Fund.

Hasmukh Vishariya: Thanks for the opportunity. Just to follow up on the previous question, right? So here, if we look at all these high-tech customers are spending huge money on AI, right? So in that case, how one Sonata Software Limited

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should predict all letdowns coming in -- this looks like one time, but probably because of future investment, we may ask for further discounts or cost rationalization. So how one should think about that?

Samir Dhir : Yes, thank you. Hopefully, I'm audible . So this customer, like I said earlier, was going quite well for us in the first half. Very stable customer, one of the large -- it is the largest customer for us in the high-tech space. We don't anticipate this effect to last long. We think it's one or two quarters' discussions that they're having.

And then post that, the growth will resume in this customer. But having said that, the reality remains in this current market, industries are going through cyclical effects. If you recall 1 year back, banking was in a slowdown. Now banking is up. 1 year back, TMT or high-tech customers are doing well, not TMT is down.

So we are definitely seeing in a year cyclical effects of some of these industries. And that's 1 of the reasons that we have diversified Sonata over a period of time, so we can have multiple bets in the market. That's why the 4 verticals that we have talked about is really important and core part of our strategy.

But right now, the impact because it is the largest client of Sonata, the impact is pretty deep for 1 or 2 quarters for us from a growth perspective. But are we worried about long-term prospects of the growth from this acc

ount? Absolutely no. We know we'll bounce back to growth either in later part of Q4 itself or maybe sometime in Q1, hard to predict exact timeline , but in the next 4 to 5 months, we should be back on growth.

Hasmukh Vishariya: Got it. So because let's say after DeepSeek these high-tech customers or large high-tech customers might have been taken back , as far as the huge amount they are spending on, let's say, Gen AI . So in that case, there may be in future a possibility of rationalization of costs , additionally, to what they have done in last 1 or 2 quarters .

Samir Dhir : It is possible. I mean, what you said is absolutely right, but it's also possible that they can decide to ramp up and fight the DeepSeek democrats harder. So it's really hard to predict, Hasmukh, to be honest, but it is possible. That's why the industry is going through technical cycles right now, because as you know, the innovations are happening literally every 1 or 2 months. So people are adjusting and adapting their strategies in almost real time basis right now.

Hasmukh Vishariya: Got it. Thanks a lot.

Moderator: Thank you. We'll take our next question from the line of Vipulkumar Anopchand Shah from Sumangal Investment. Please go ahead.

Vipul Shah : Sir, employee cost has also gone up substantially quarter-to-quarter and year-over-year also. So that is due to -- it is attributed to this client. So what explains that?

Jagannathan CN: Exactly. This explains to the one-time settlement to the employees for this client. And also, there is a salary increases there.

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Vipul Shah: So can you quantify both the factors, sir, if it is possible?

Jagannathan CN: Yes. Salary increase had an impact of around 75 bps in this quarter in our EBITDA, the rest comes from this onetime settlement.

Vipul Shah: So onetime shuttle management, the employees, which were earmarked for this project -- so you let them go with onetime payment? I mean how it worked?

Jagannathan CN: Yes. They are in a different geography, near shore geographies. So as per the regulation, we have to give a notice period for them, and we have to pay the money for them in one time. To rescue the impact of the downtrend, we have settled with the employees and giving them the money.

Vipul Shah: So in fourth quarter, employee costs will normalize?

Jagannathan CN: Yes. Except for the salary increase impact, other things will normalize.

Vipul Shah: Okay sir. Thank you very much.

Moderator: Thank you. We'll take our next question from Surabhi Saraogi from Smifs Capital. Please go ahead.

Surabhi Saraogi: Sir, my question is, can you quantify the onetime expenses incurred during the quarter and also, can you give some revenue and margin guidance for the next quarter and next financial year?

Jagannathan CN: Yes. The total impact, we said is 3.6 % impact this quarter. index 75 bps is because of salary increase, the balance is because of this onetime settlement. And next quarter, just now added that we have a revenue degrowth, degrowth is at the company level. This is because of this particular customer full quarter impact as well as quant seasonal impact. So we will have a degrowth of 2.5 % to 3.5% for next quarter degrowth. So margin s, all this onetime, we are expecting it to bounce back next quarter.

Surabhi Saraogi: Okay. And for next year?

Jagannathan CN: Next year, we will comment during the year end time, madam.

Surabhi Saraogi: Thank you.

Moderator: Thank you. We'll take the next question from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla: Thank you for taking my question. Sir, given the recent unfortunate and unforeseen developments in the ramp -down, by how many quarters can we expect the USD 500 million aspiration to be pushed back by, earlier it was FY26 and after mid FY27, now that could be

delayed, right? ?

Samir Dhir : Yes, Mayank, great question. I think candidly we will provide an update after the quarter, we're just waiting for these customers ramp down to stabilize right now. I think there will be a 1 or 2

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quarter impact we expect. But we probably will provide you with a more formal answer on both the next earnings call back. We think at this point, start of the quarter, it will impact.

Mayank Babla: And my second question would be these large high-tech sorts of plant that we've seen impacting our business, these companies are with very deep pockets. So can you help us reconcile that, why would they cut down IT spends and shift them to sort of capex on AI? If you can help us reconcile or understand that.

Samir Dhir : Yes, it's a great question, again, Mayank. I'll tell you, I think actually what we think it is happening, we're not sure, but I can give you our estimate on this. So most of these high-tech customers are buying hardware to drive AI from an NVIDIA chip buying perspective and processing power bank perspective. The consumption is really going there. So they are paying a lot of capital on the opex side to buy the hardware capability because it's a race to build a hardware engine at this point in time for many of them.

Now given what has just happened recently, the question that came up earlier on DeepSeek how will that impact? How will they calibrate? It's hard to predict. But that's the cyclical nature of the world we are living in right now, that at one end, they got to accelerate their spend to improve their customer experience using AI. On the other hand, they want to buy hardware to have more capability to from a processing power perspective.

So right now, we are on a cycle that the hardware purchase has a bigger premium in their world for the next 1 or 2 quarters, but we're pretty sure that at some point in time the tide will turnover on the software development side yet again. But that's candidly, the situation as we see. These are cash rich companies. They're not customers in distress or in trouble. They are just diverting their investment dollars to a pocket of investment that they want to make in the short term.

And they're really recalibrating, I'm sure you're seeing it, they are recalibrating across literally every quarter. And that's why companies like us have to adapt to the needs -- and unfortunately, while in the first half of the year, we gained in this second half of the year, we're going to lose

out, but that's the nature of doing this business.

Mayank Babla: Okay. Got it, sir. Thank you for answering my question.

Moderator: Thank you. We'll take our next question from the line of Prolin Nandu from Edelweiss Public Alternatives . Please go ahead.

Prolin Nandu: So a lot of contradiction , Samir, on the call. At one side we want to be leaders in AI. On the other side, we are losing customers because of their spends in AI. So do you think this is something which will continue going forward or does it require a very critical assessment of our clients, the quality of our clients because see this unfortunate event has happened twice one on the new deal side, now on the existing client side.

So we understand that you are a smaller company in overall scheme of things versus our peers. But such kind of things we haven't heard from any peers that high tech is slowing down or customer doing a certain kind of a withdrawal. So how should one think about it and does it require a very deep internal introspection about the quality of clients that we have and at the Sonata Software Limited

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same time, how do we think about new deal wins as well what -- how should one deal with this contradiction?

Samir Dhir : Yes. So I don't know that I would call it contradiction. I think I will call it u

ncertainty candidly.

The client that we're talking about has been with Sonata for over 30 years. This is not a new client. Now as you know, every enterprise in the marketplace is really figuring out their strategy with AI. Did we -- any one of this new DeepSeek four weeks back? The answer is no. Did any one of us, Autonomous CoP pilots 3 months back? The answer is no.

So I think as these newer technologies coming, customers are going to adapt and we have to react with them. This is a sprint and not -- is not -- this is a marathon and not a sprint for us. We have to stay in the game with the customers for the long term because some of these customers when they go back, you tend to enjoy.

And companies of our size and scale, we are relatively a smaller sized company compared to many other countries that you calibrate against. But also keep in mind that we have grown faster than many of the industry peers, but anything that lead to grow faster, you will have odd quarter and I know this one, too many bumps in this year earlier with the healthcare client and now with the high-tech client.

But those are expected, if you want to play in that league, but if you have to play safe, then I think there are other ways to play safe out. And like I said earlier, this is not a net new client. It's not like we're adding to the risk profile of the business. It's unfortunate that in a year, we had two customers, one at the beginning of the year, one at the tail end of the year where we had some ramp down.

So I wouldn't call it contradiction. I just think it's an uncertainty that we face. And it's also visible, like I said earlier. If you recall, a year back the entire industry was talking about banking is slowing down and there was a big discussion on banking. I'm sure you recall that. Now including our commentary , banking is going well for us, but can anyone else us predict in 6 months, where banking industry will be?

I think it's really hard to predict right now because the demand pattern and the industry patterns are changing quite dramatically. That's how candidly, we see. We don't think it is adding to the risk profile like you illustrated it. I think it's the nature of the business that we are and the industry that we serve.

Jagannathan CN: And the client also is not a small client, they are one of the largest clients in high-tech space.

Prolin Nandu: Yes. I appreciate that, Samir. So just give a sense, let us say, we heard from this client, have we been able to talk to some of the other clients and assess that is a risk which might be developing in some of the other clients , some of our other relationships as well? Have you been able to do that since we have heard from this client on the direction in which they want to go?

Samir Dhir : No, it's a great question again. See, in our TMT vertical, we have a total of five clients. So we don't have -- again, based on our size, it's not a big spread. Now the other four that we have, we Sonata Software Limited

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don't see that risk right now because this is the largest client in that TMT sector, but have we assessed the same risk for other clients? We have.

But to be honest, if you look at our largest banking customer, our largest health care customer, tomorrow they want to build up their own data center and start buying immediately. Of course, their strategy can change and hence it can have still a trickle-down impact on us. Candidly, can you predict that? I don't think the answer is yes, because it is a very customer-specific decision at this point in time.

Do we expect AI to continue to have a little bit of this impact of and on in some clients? We do think it will happen, especially for the larger companies. Most of the clients are Sonata candidly by and large the mid-tier market customers. So we don't see those customers having this impact, but the la

rger customers will, of course, have been in fact, as they calibrate and recalibrate and recalibrate the strategy.

Prolin Nandu: All right. Samir. That's it from my side. Thanks a lot and all the very best.

Moderator: Thank you. Next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh : I have a couple of questions.

Moderator: Dipesh please use your handset mode. You are not very clear.

Dipesh: Yes, just want to get first about the demand environment. I think if you can help us understand any change in weakness in demand environment. And it would be preferable if you can give sector-wise some comments about demand compared to, let's say, 3 months there? Second question is about the margin. Now the top -- one of the large clients which you said in Hi-tech is likely to face some headwinds because of their AI productivity kind of thing.

Any implication you're expecting margin on a sustainable basis in that account? And how one should expect your Q4 margin trajectory compared to where we are? And last question is about our expectation about, let us say, earlier H2 to be better than H1 and then growth to actually entering into FY '26 and returning to low 20% margin. If you can give some sense around it, how you expect growth to play out overall?

Samir Dhir : Thank you, Dipesh. Let me cover, I think there's lots of questions and then let me try and answer one by one. So from an industry point of view, the demand pattern is very different Dipesh . If you look at our current results as well as if you look at slightly one or two quarters ahead, we think Healthcare Life Sciences and banking financial services will continue to do well for us. So we feel pretty good about those verticals right now.

And Healthcare Life Sciences, we have maintained that trajectory for at least three, four quarters.

We think for the foreseeable future, we don't see any significant headwinds coming our way, in fact, good growth coming out way in Health care Lifesciences. Banking Financial Services, we think we are going to have a solid growth in the next one or two quarters.

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So that sector is looking pretty well for us. Keeping aside the quant seasonality of Q4, in general the banking will continue be strong for us, there be a short-term impact in Q4 because of quant seasonality. But going into Q1, I think banking will be in a solid platform game. Retail industry is candidly under a lot of pressure right now.

The retailers are talking about it. They are essential retail sales are down. The high inflation impact continues to within the retail industry. So we don't expect retail to bounce back any time soon. I think we'll continue to see flattish or marginally up growth in the retail sector. The fourth sector is TMT.

TMT for us is a tale of two cities. We have one large client and maybe four or five other smaller clients. In the smaller clients, we expect growth to continue the way we have been growing. But the large clients, at least for a quarter out with Q4, we think there's a demand pressure. And hence, what Jagan talked about minus 2.5% to 3.5% growth for the company to next quarter.

It is premature for us to talk about what will happen to this client in Q1. But we think sometime late Q4, early Q1, they should come back on track, but we'll probably provide a more finite update in the next quarter. So that's on the first part of the question, Dipesh. The second part of your question around the margin profile for Q4 like Jagan said, I think we expect the large part of the margin recovery happened next quarter, except for the compensation related that we have seen this quarter.

The large part of the onetime impact will not be there next quarter. So we should be coming back on high-teens EBITDA profile going into next quarter. And that should be pretty -- that should be doable for

us. As far as the H2 is concerned, yes, you're right. I think we talked about in H1 that H2 will be stronger.

And candidly Q3, we have a 4.4% constant currency Q-on-Q growth, which I think is -- we're pretty pleased about that -- had this large client not ramp down, which was an unexpected thing to happen in mid- to late November. We would have probably clocked a very strong Q4 as well. But minus of this large client, we have pretty good growth going into next quarter, but this 1 significant impact is diluting the overall results of the company, which is unfortunate, and we couldn't have predicted it, but that's what we're faced with.

You have many parts of your question. I hope I answered all of them. If I miss anything, please follow-up.

Dipesh: Yes. So broadly, let's say, on the margin part. Now we indicated by Q1, at least will be -- are we confident to return that to low 20s kind of margin profile in Q1 or because of the client-specific

challenges what we say, now low 20 may get delayed. And last part is about earn-out related thing. If you can give some sense about, let's say, what kind of revenue you made in calendar -- and 1 should look on now kind of thing. If you can provide some clarity because considering the target, what we said for earnout when revision earlier, whether we expect any reversal to happen.

Jagannathan CN: Okay. For the first part of the question, Dipesh about early 20s margin, we are still making an assessment of the impact of the large client. We will get a clarity during the course of Q4. We will keep you posted about that when we are coming back in Q4 results, about the Q1 reaching

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the margin level. At present, we will, as I mentioned earlier, the onetime impact we will recover back in Q4, but reaching to the early 20 because of the large client impact, we will wait for the full impact to be known in Q4 and then come back to you and update you on that Dipesh.

The second part is about Quant earnout. We are still working with Quant's earlier management to extend the SPA. We are literally negotiating with them. We will give an update once the negotiation is over and we get into a concrete area about their near future impact. We will also come and update you on what they have achieved.

Since the process is not complete, we are waiting for that process to complete. The SPA is still March 2025 already the old one. So we will wait for the full completion of the SPA negotiation and give an update to you on that. The third question, can you repeat again Dipesh?

Dipesh Sir, I just want to understand what would be the revenue of Quant calendar '24 because that is what we indicated 100 million kind of target what we gave to get the earnout. If you can give us what is the number the achieved?

Jagannathan CN: No, it is still -- the audit is going on Dipesh. Once it is completed, we will give an update to the quantum for the quant purposes, limited review, but they have seen it. But for the whole year, the audit is going on. So once the audit is complete, we'll give an update on that. This also depends on the future negotiation Dipesh. So let both be completed before March, we are expecting it to complete. So we'll come back and update you in Q4 results time, we will give a full update on that.

Mod erator: We take the next question from the line of Mihir Manohar from Carnelian AMC.

Mihir Manohar : I wanted to understand this, I mean, how does it work coming. There is this? So we have the employees are going out, which are there for those particular plant, we are paying them one time cost. Now does it get reimbursed to us or it doesn't get reimbursed because ideally, there could have been any of the basic question. But there should have been a notice period or a reimbursement happening. So how does that work?

Jagannathan CN: Yes. Actually, the client does

n't compensate for this because that's how the model works for it.

We have to -- whenever the opportunity comes in, we will be able to deploy people and take it up with the people. It's not exactly a P&L model. It is actually like a fixed price kind of a model.

So there will be -- when the project is ramped down our project is stopped. So we will have a very short notice period time. But this is being a foreign geography and near shore geographies. They are a regulatory requirement. So we have to settle with the employees. That is a kind of risk embedded in the margins of the projects whenever we have taken -- and this is how the operations happen. So we have been to abide by the regulatory requirements of that particular geography.

And for the best practices, we have taken a settlement with employees and then flow that. And there will be some notice period and some amount of benefit flow also for us in this. That is why the revenue was not that much impacted in this quarter from the customer. The full quarter impact will be known only by next quarter.

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Mihir Manohar : Sure, sure. You mentioned next quarter, 2.5% to 3.5% degrowth, considering Quant as well as this account going down ex of this account going down, what would be the growth?

Jagannathan CN: Pardon?

Mihir Manohar : I mean how could we see the growth next quarter ex of this ramped up? I mean considering the Quant seasonality -- but without considering ramp down of this account, what can be the growth in fourth quarter?

Jagannathan CN: No. This is like difficult to tell you now, what will be the total impact of it. We have made an estimate as of whatever data, we have access in. The Quant will be the major portion of it in this and this customer will be also have an impact on this 2.5% to 3.5%. If not, it must have been much less er, the impact is.

Mihir Manohar : Okay. So the impact is more driven by Quant also here?

Mod erator: Mihir, I request you to join back the queue, please, as we have other participants waiting.

Jagannathan CN: Quant definitely had an impact, which we know, without this customer, we may not have bought this kind of degrowth.

Moderator: Ladies and gentlemen, in interest of time, we request you to restrict to two questions at a time, please. We'll take our next question from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar : Okay. My first question is to Samir. So just wanted to understand the timeline in terms of the communication from the large client in terms of ramp down and projects cancellations and so on and so forth. Can you just help us understand the timelines? Was it like towards the start of the quarter, mid or towards the end? That is first -- the second question is to Jagan sir. Is this a new margin reset for the company? And -- or do you think margins can go back to at least 17%, 18%? Just third bookkeeping question is -- was there any deal transition cost that we incurred for the business that grew in the quarter? Thank you for taking my question.

Samir Dhir : Let me take the first part, Abhishek. So the timeline of this was pretty much very progressively in the course of the quarter. We started seeing the discussions start in November time frame.

And then we were, of course, negotiating with them because there was a round down as well as a discount.

And it built up progressively I would say this impact started trickling in towards the latter part of November and a full quarter in December. That's a broad way to think about it because it was, like Jagan said, on-site geography is not in India. -- we have to handle the employee and their severance-related costs in the course of the quarter. So that's how it's progressed.

I'll turn it to Jagan, to take in for the second and the third question.

Jagannathan CN: Abhishek, as we mentioned earlier, the onetime costs that we will recover back in Q4. To that extent, the market margin recovery will happen. So as I mentioned, out of 3.6% drop in margin this quarter, 0.75% is because of salary increase. And the balance is because of onetime cost that

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will be expecting it to come recover back in Q4. What was your third question, Abhishek? Any deal cost we've incurred...

Abhishek Shindadkar : Third question was about ...

Jagannathan CN: No, we have not incurred anything...

Abhishek Shindadkar : Was there any ...

Jagannathan CN: No, we are not incurred. Abhishek.

Moderator: We'll take our next question from the line of Jalaj from Svan Investments.

Jalaj: One thing more so with regards to the vertical split. I do see there is some slowdown specifically in retail and manufacturing also. Could you talk about what is exactly happening there? And in the headcount, if I were to see sequentially, it has increased. So were these people not are payrolled? Or how should I understand specifically for the projects which have been ramped down?

Samir Dhir : Yes, Jalaj. So like I said earlier, in the retail, so step-back, health care and banking are on a good growth trajectory for us. We have maintained that. And I think we continue that growth momentum to continue for the foreseeable future. Retail because of the high inflation, we have continued to talk about that at retail going slow for us.

And retail manufacturing, by and large, given the portfolio that we are, they're pretty much intertwined, and we think that will contribute under-stressed and pressure in time to come as well.

Will it degrow? No, but will it grow significantly now. I think it will be a marginal growth in retail.

We'll see significant growth in health care and we continue to see significant growth in banking.

That's how we think about the industry pattern. There was a second question that you had, the sorry I forgot. What's the second question?

Jalaj: As to the headcount. So I see sequentially the international business, there has been a growth, but those people who have been ramped down or have moved out? But then not only payrolls or how could I...

Samir Dhir : They were very much part of the payroll. They were pretty much part of the payroll, especially in out-site geographies. If you recall, we talked earlier around in the second half of the year will grow well for us. So while you're seeing 150 FTE increase, it would have been significantly more if this unplanned headcount unplanned -- didn't happen, and that would have continued to contribute for a full quarter impact of our growth.

That's what the -- what we are seeing. But in the last 1 or 2 months, we started seeing this range hitting us. So what you see is a net ramp-down after this impact. Otherwise, the headcount would have been slightly higher than what you're seeing right now.

Moderator: We'll take the next question from the line of Dipesh from Emkay Global .

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Dipesh: Jagan, just want to understand from business operated higher margin than company average. Considering the seasonality what we are highlighting about next quarter, do you expect the margin benefit will not be fully reflective of the one-off cost recovery concerning the corn seasonality?

Jagannathan CN: Yes, Dipesh, there will be an impact of revenue drop on the margin to some extent. But we are not able to make a full assessment of that now. But most of the onetime costs we will require it back, Dipesh.

Dipesh: So considering the margin trajectory, I think where we are already real, how one should look at it? Because low 20s is what we aim for. Now single client-related plus minus, 1 or 2 quarter is fine, but your headcount addition is let's say, way ahead of your revenue growth. If I look from that perspective.

Utilization also I'm not sure how to look at it, but you added Q-o-Q head count while you expect significant growth next quarter in terms of revenue. And some of the other lever also in terms of on-site offer another mix if I look at it. So considering some of those things, how 1 should look your margin trajectory.

And you also say low 20s, we will revisit enter end of Q4 kind of thing. But over medium term, do you think any risk to low 20s kind of margin profile would we always aspire to be? Or you are comfortable for medium term, low 20 kind of margin profile?

Jagannathan CN: Dipesh, One thing we have to want to highlight to you is the on margin profile was there, the stuff or because of this particular customer ramp down, our on-site revenue portion is onset mixes coming down and offshore is going up. That will also help us to recover some margin back next quarter debate.

So secondly, is the onetime cost is going to help us some bounce back, which is almost like a major portion of the 3.6 in that. So that -- we are expecting that recovery to fully happen in the next quarter. Some impact of the quant revenue degrowth for next quarter can be there on my margin, but we don't expect that to be a major element on the recovery part of it.

But thereby, there can be some impact, some small impact can be there. The -- so we expect that we will come very, very close to the quarter to EBITDA margin levels in Q4. Very close to that, plus or minus 50 basis points is the range debate. We are expecting that to come near date.

And from there, we will be able to we will be able to grow the margin in Q1. Once we know the exact situation of the particular customer, where are we heading? We will give an update towards the early 20s by end of this quarter Q4.

Moderator: We'll take a last question from the line of Vipulkumar Anopchand Shah from Sumangal Investment.

Vipulkumar Shah: So my last question is regarding -- we don't have any legal protection regarding this ramp down, sir?

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Jagannathan CN: No. This is a customer regular commercial contract on all these -- because they are a very large customer, they will these kinds of protection may not have. And we are the prospect with the customer is very high. We don't want to do a short-term problem by doing something until the business in the long-term angle.

Because they are going to continue to be a large customer for us, and they will continue to grow in the good prospect for us in future. These are all very, very short term and impact of that. We expect this will settle down in a quarter or 2 and then we may recover back the business soon from the customer.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Mr. Dhir for closing comments. Over to you, sir.

Samir Dhir : Thank you, Yash , and sure to thank all the participants for dialing in today. And I also want to take this opportunity for all the Sonata teams globally for their hard work and diligent efforts to keep moving Sonata forward. And we'll connect with all of you in a quarter's time again. Thank you all.

Moderator: Thank you. On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Sonata Software Limited - SSL

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13th May , 2025

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street , Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosures dated 3 0th April , 2025 and 7th May , 2025, please find enclosed Transcript of Analyst/Investor call of the Company held on 7th May , 2025. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations> .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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“Sonata Software Limited

Q4 FY 2024 -'25Earnings Conference Call ”

May 07, 202 5

MANAGEMENT : MR. SAMIR DHIR – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SONATA SOFTWARE LIMITED
MR. JAGANNATHAN CN – CHIEF FINANCIAL OFFICER
– SONATA SOFTWARE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Sonata Software Limited Earnings Call for Q4 FY 2024 -25. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. Today we have with us on the call Mr. Samir Dhir, CEO and Mr. Jagannathan Chakraborty, CFO. I now hand the conference over to Mr. Samir Dhir, CEO of Sonata Software Limited. Thank you and over to you, sir.

Samir Dhir: Thank you, moderator. Welcome and thank you for joining us today. We appreciate your time and continued support. In this session, we will walk you through Sonata's strategy, the progress we have made over the recent quarters, our strategic roadmap and the financial results for Q4 '25 which ended on March 31, 2025.

It's a pleasure to share the momentum we are building around our long -term vision and growth trajectory. I'll begin with an update on our strategic priorities and goals followed by a review of our performance in FY '25 and take a closer look at our Q4 performance.

First things first, let's talk about our strategy and goals. Our ambition is to be a differentiated modernization engineering firm powered by a proprietary platformation framework, AI -driven solutions and modern technologies. We continue to scale and execute across our strategic focus areas of four key verticals which is healthcare life sciences, banking financial services, retail manufacturing and Technology , Media and Telecom which is TMT.

And across five core geographies which is North America, UK, Europe, India and Australia. We continue to drive relentless investment in modernization engineering with our differentiated IP, lightning tools and robust offerings. We remain focused on delivering transformative value aligned to our client's modernization priorities.

FY '25 was a defining year. We deepened our capabilities in data, AI and modernization engineering. We expanded our presence in BFSI and healthcare life sciences and we continue to run large deals, deals which are strategic to Sonata.

We made this progress despite facing headwinds in retail and manufacturing verticals, budget cuts in the second half of the year from our largest client and broader macroeconomics uncertainty. While we didn't grow at the pace of the prior two years, we have built a strong foundation for growth as we continue to diversify our business.

Looking ahead to the next three to five years, our ambition is to be a top quartile growth company, helping clients achieve their modernization goals. We see significant potential at the intersection of AI and modernization and we believe this is our pathway to industry -leading growth. We aspire to be in the top quadrant of growth in the four industries that we compete in as a firm.

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With that, let me give you a progress update on our strategic goals. Our success is anchored on three strategic pillars. First, relentless focus on winning large deals. In FY '25, we won 11 large deals, underscoring our growing relevance and transformation impact that we create for our clients.

Number two, sharp execution across the strategic verticals and geographies. Through our partnerships with Microsoft, AWS, and other ecosystem players, we opened 13 new enterprise -grade logos in FY '25, expanding our strategic client base. And number three, scaling Sonata for

the next phase of growth through continued investments in AI, building our AI talent, while spending our frontline sales and solution experts in the company. With that, let me give you an update on the large d

eals. Large deal pursuits remain a cornerstone of our growth, which you have seen over the last four years of our strategy. With 33% of our large deal pipeline comprising of Fortune 500 clients, I am truly pleased to share two marquee wins from FY '24 in the recent weeks.

Win number one, which is a very large deal and a material deal for Sonata to go forward. Our client is a leading American TMT company, which delivers programs for its clients on a technology platform. Sonata has been selected as a strategic technology partner to lead a comprehensive modernization program across their platforms, data services, platform transformation, Workday, Salesforce, and cybersecurity.

This marks the second -largest TCP win in Sonata's 40 -year history. Let me repeat, this marks the second -largest TCP win in Sonata's 40 -year history, a proud milestone for all of us Sonatians.

The second win is for a global BFSI leader, who has chosen Sonat a as a strategic partner to modernize and consolidate its data platform and drive application development and quality improvements.

And quality improvement here includes modernization, tech debt reduction, and evolution to AI. In both engagements, our teams differentiated with our AI -led transformation capabilities, leveraging modern engineering tools and platform -driven data modernization to deliver tangible business value.

With that, let me provide you an update on our strategic verticals, geos, and SI TL business. We remain confident that our investment verticals of healthcare, life sciences, and banking and financial services will scale to \$250 million of revenue in the next three to five years' time. These two verticals now contribute to 35% of our total revenue o f the international business, which is up from 13% 12 quarters ago. So we have traveled the journey of 13% contribution of revenue from these two verticals to 35% of our revenue now, a testament to our focused execution and strategic investments.

Highlights of performance in these verticals, we closed 11 large deals. Out of the 11 large deals, four are in BFSI and healthcare. We've closed 13 enterprise -grade logos. Out of that, four are in healthcare and bank BFSI verticals. Industry recognition in healthcare life sciences, HFS recognized Sonata as an enterprise innovator for payer transformation capabilities. In BFSI, we were named a disruptor among the best service providers for commercial banks.

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Most recently, as of last week, HFS included us as the fastest growing firm in both BFSI and HLS during the last 12 months. Our recent new logo wins the momentum. In healthcare life sciences, we onboarded one of the blues as a client to deliver a multi -year modernization program.

In BFSI, we are partnering with a leading global investment banking firm to build an AI and automation COE. In SITL, we continue to deliver strong energy -driven growth with an industry -leading ROCE of 43.2% in Q4 FY '25. We are making rapid progress in SI -driven deals, security operations center offerings, compliance programs, AI adoption across client operations.

The newly established SOC business in SITL is projected to contribute 20% of growth contribution within the next three to five years. With that, let me provide you an update on scaling of Sonata. Scale here means scaling our capabilities and our talent.

So let's talk about update on our AI and modernization. We expect AI -enabled services to contribute 20% of our revenue over the next three years, reflecting strong market traction and focused execution. We're currently pursuing \$34 million pipeline in AI p rograms across 100 plus clients, helping them unlock value through operational efficiency gains, enhanced customer experience, and innovative business model transformation.

This year, Sonata proudly achieved AWS Generative AI Competency and became a member of

the Microsoft Partner AI Council, reinforcing our leadership in enterprise -grade AI adoption.

Some of our key wins in AI in the recent quarter . We opened a new logo in healthcare insurance space for a solution that comprehensively enhances consumer experience using GenAI.

One of our existing travel clients chose us to improve IT support and efficiency for their regional service desk. For a technology company undergoing transformation, AI is an integral part of a solution to automate contract loading, flexible audit rules, a nd operational analytics. Let me move on to our investments in cloud and data.

Cloud and data deals now continue to make 60% of our total pipeline. Demand is accelerating, particularly around Microsoft Fabric. Sonata is an official Microsoft Fabric feature partner, supporting data analytics for the AI era. Since its general availability in November 23, we have

built 31 million Fabric pipelines across 70 plus clients.

Microsoft Dynamics will continue to collaborate closely with Microsoft on programmatic plays across ERP -complete, SAS -complete, and low -code, no -code -complete deals. These deals involve us migrating customers from legacy technologies to modernized Microsoft dynamic platforms.

With that, let me provide you an update on our talent and leadership capability. Our active headcount increased to 6,800 plus, up from 6,619 in Q1 of FY 25. Our LTM attrition rate stands at 14%, and we maintain a gender diversity of 31%. Despite the macroeconomic industry uncertainties, we remain committed to the future talent investments, and we on boarded 95 campus graduates during the quarter.

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We have restructured our technology leadership by expanding the roles of Hanuman th and Manu Swami to jointly lead our global technology practices. This two -in-a-box model strengthens our focus, combining deep internal capability, building with sharp execution on client -specific AI transformation initiatives. This change is executed within the CTO organization. Both Hanu and Manu will continue report ing to Raj .

Sonata University continues to drive our upskilling agenda, especially in AI. Today, 97% of our workforce is trained in Gen AI, underscoring our commitment to future -ready skills and broad applicability of AI across our delivery, engineering, and consulting operations. We also scale our near -shore presence in Mexico, Malaysia, with both the centers now exceeding 100 professionals together, enabling us to serve our clients with greater agility and geographical flexibility.

During the most recent quarter, we achieved a silver rating on Ecovadis sustainability, which is awarded to the top 15% of the company. We were also recognized as the official Microsoft Fabric feature partner. Updated on M&A, Quant, which is fully integrated into Sonata now and operates as a business unit, Q4 is a seasonally weak and declined quarter for Quant , and we expect them to bounce to growth in Q1 and scale by Q2.

With that, let me provide an update on our Q4 performance. In the Q4 quarter, we witnessed de-growth in both international and domestic business. As mentioned in our previous call, we had anticipated impact of regrowth due to TMT's last client. The impact was significantly more than what we expected. As they continued budget cuts in Q4, our forecast is that from Q4 onwards, our largest client will come back to marginal growth. Seasonal softness is the momentum for Quant and SITL following a strong Q3.

For international services business, we witnessed 6.6% QoQ degrowth. However, on a full -year basis, revenue grew by 3.7% YoY . Order booking was strong. It closed book -to-bill 1.25, which is over 100 million of booking in the course of the quarter for international business.

In Q4 FY25, we won two large deals. We now have eight clients with more than 10 million revenue run rate at

a company level. Our EBITDA grew sequentially as expected, grew by 1.9% to 16.5% in Q4, which is up from 14.6% in the prior quarter. We had guided for that as we announced the results last quarter. Utilization remained steady at 87%. SITL contribution degrew by 4.3% due to the seasonally weak quarter, and it was anticipated as per our readout earlier.

In summary, we remain optimistic about a long -term growth trajectory. While the upcoming period will present a mix of tailwinds and headwinds, we are well -poised to navigate both. Tailwinds include the ramp -up of our large TMT deal over the next two to three quarters, along with strong momentum in our healthcare, life sciences, and banking verticals.

At the same time, we are mindful of the headwinds, such as longer deal closure cycles and continued softness in the retail and manufacturing sectors. At Sonata, we are committed to accelerating our growth judiciously, building scales through strategic client relationships, larger deal wins, new market expansion, deeper partnerships, and continued investments in our talent.

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I want to take a moment to sincerely thank all Sonatians across the globe for their dedication, hard work, and relentless focus on delivering high -quality outcomes for our clients.

With that, let me hand it over to Jagan to walk you through our financial performance, and then we'll come back to take questions. Jagan?

Jagannathan CN: Thank you, Samir , for the overview. Good morning, good afternoon, good evening, everyone.

Let me walk you through our financial performance for the fourth quarter and the financial year 2025, first starting with the international services.

In financial year 2025, our international services dollar revenue stood at \$335.5 million,

registering a growth of 3.7% in the reported currency and 3.9% in the constant currency. Rupee revenue stood at INR 2,829.7 crores, showing a growth of 5.6 %. EBITDA margin for FY25 stood at 17 %, compared to 21 % in FY24.

PAT for FY25 stood at 246.6 crores, compared to 319.8 crores in FY24. In Q4 2025 USD terms, revenue stood at \$81.3 million, a degrowth of 6.6 % in QoQ and 0.5 % in YoY . In constant currency terms, it represented a degrowth of 7.2% QoQ and 0.3% YoY . Rupee revenue stood at INR702.3 crores, showing a degrowth of 4 % in QoQ and 3.4 % growth YoY .

QoQ de-growth is due to the seasonality in quants and weaker -than-expected performance from our largest client. Despite revenue decline sequentially, we were able to improve the EBITDA in Q4 2025. EBITDA before other income and Forex reported basis improved to 16.5 %. Q4 reported PAT stood at 62.3 crores. For the international services, ROCE stood at 16.3 % in Q4 2025, against 16.9 % in Q3 2025. The RONW stood at 19.3 % in Q4 2025, against 19 % in Q3 2025.

Starting Q4 2025, the methodology for calculating DSO has been revised to align with industry practice. Under the revised approach, DSO is calculated using trailing 12 -month revenue and the current debtors balances. Our international services DSO for Q4 2025 is reported at 61 days, which is 3 days improvement from 64 days in Q3 2025.

Now let me provide you an update on domestic business. In FY25, our domestic business revenue stood at INR7,340.6 crores, which is a YoY growth of 23.4 %. Gross contribution for FY25 stood at 299.1 crores, compared to 260.4 crores in FY24, a growth of 14.8% YoY . PAT for the full year stood at INR178.1 crores, compared to 163.4 crores in FY24, YoY growth of 9 %. Domestic business revenue for Q4 '25 stood at INR1,918.2 crores, with a degrowth of 9.1 % QoQ and a growth of 26.6 % YoY .

Gross contribution for Q4 '25 stood at INR78.4 crores, with degrowth of 4.3 % QoQ and growth of 21.1 % YoY . PAT for Q4 '25 stood at INR45.2 crores against INR48.1 crores in Q3 '25, with a degrowth of 6 % QoQ and growth of 1

2.7 % YoY .

For our domestic business also, we have updated the methodology of DSO calculation in line with industry practice. Based on the new methodology, DSO for Q4 '25 is 46 days as compared to 51 days in Q3 '25. Reported ROCE and RONW for the quarter stood at 43.2 % and 41.8 %, respectively.

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Update on consolidated business. In FY'25 , our consolidated business revenue stood at INR10,157.2 crores, depicting a YoY growth of 17.9 %. PAT before the exceptional item for the full year stood at INR424.7 crores compared to INR483.2 crores in FY'24 . PAT post -exceptional items full year stood at INR424.7 crores in FY'25 compared to INR308.5 crores in FY'24 . Consolidated EPS reported for FY '25 stood at INR15.3 per share against last year INR11.12 per share. Final dividend we have announced . We have recommended INR 4.4 per share.

Cash generation for the year continued to be strong, with operating cash flow to EBITDA improved to 93.3 %. The closing balance of cash stood at INR 707 crores for the year. For the quarterly update, consolidated revenue of Q4 stood at INR2,617.2 crores, with a degrowth of 7.9% QoQ and growth of 19.4 % YoY . PAT before the exceptional item for consolidated business stood at INR107.5 crores against INR105 crores in Q3'25 , growth of 2.4 % QoQ and 2.6% degrowth YoY .

Consolidated EPS for Q 4 '25 was INR3.87 per share, and Q3 it was INR3.78 per share, increased by 2.4% QoQ . Reported ROCE and RONW for the quarter stood at 21.9 % and 25.2 %, respectively. Update on some of the operating metrics. Total head count moved from 7,019 by end of Q3 '25 to 6,810 at the end of Q4 '25, with attrition remaining at 14 %, which was same in Q3 '25 also. Onsite offshore revenue mix has changed to 51 % and 49 % in Q4 versus 56 and 44 in Q3 '25.

Utilization remains flat at 87 % QoQ . We have added 14 new customers in Q4 '25. Top 10 clients contributed a revenue of 61 % compared to 66 % last quarter. The number of clients more than 3 million run rate in Q4 '25 is 21 numbers. It remains the same as it was in Q3 '25. For Q4 '25, order book stood at 101.6 million, which is the book to bill ratio of 1.25x. In summary, we remain confident in our long -term strategy and committed to driving sustainable growth and shareholder value. Thank you.

With that, let me turn to moderator for question and answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mihir Manohar from Carnelian Asset Management. Mihir, I am sorry, we cannot hear you.

Mihir Manohar: Is this audible?

Moderator: Yes, now it is. Please go ahead.

Mihir Manohar: Yes, sure. So, congratulations on the deal. I mean, a couple of good deal wins over there. Lastly, I wanted to understand on this, I mean, a large TM T client which we have. So, I mean, publicly different TM T clients have called out the AI investments that they have made in. As of now, I mean, 20 % to 30% of the product codes are written by the AI investments which they have made in.

They are talking about taking this automation to 80 % to 90% over a period of 5 to 7 years. Now, fundamentally, does this pose challenge to us from the business model that we are operating in?

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I just wanted to get some clarity around that, you know, from a 3 -4 year perspective. If these high-tech companies are talking of increasing their coding from AI investments that they are making, how does our business model is placed in that situation? Some color on that would be really helpful.

Samir Dhir: Yes, a good question , Mihir . I think there are two ends of the spectrum here. Clearly, if you think of the deal that we just won, the second largest deal that we just announced, the AI investments and AI differentiation is part of the deal

I. So, that is very much locked in from a differentiation perspective and one of the reasons we won a very competitive deal in a very tough environment against some stiff competition. So we're v ery proud of our capabilities in AI that we have been able to create and differentiate in the market.

But broadly speaking, for our largest tech client and other tech clients that we see, yes, there is more adoption of AI on two fronts. There is definitely an adoption getting into the customer support side of the equation where the adoption of AI is increasing and we are definitely seeing that. And across our large clients in the TMT space, we are seeing as an AI company, so we are really leading the way for them as they double down on AI investments in that area. We are definitely leading the chart there i n our mind and we are doing well.

The second side, I would say, is still marginal. It is the adoption of AI in the software development lifecycle from an engineering perspective. That is still very much early days right now. It is not fully mainstream. We do see adoption in automation type of things, testing type of equations, GitHub co -pilot adoption in development cycles, but it is not a very significant part of the push from the customer because there are concerns around se curity, there are current concerns around compliance, etc, with the customers. So it has not gone fully deep as yet, but we think in about six months to one year's time, this might go deeper than what it is today. But definitely, as we sit here right now, clearly the customer support side of the equation, the more manual type of equation, people are really adopting the agentic architectures and agentic frameworks that Sonata has to offer to differentiate. And that i s really part of the reason that we won the second -largest deal that we just recently announced. I hope that answers your question.

Mihir Manohar: Sure, understood. So, basically, I think the biggest issue to be clear, from an FY '26 perspective, I mean, there's one of the broadcasters, can I take a 4% on the revenue terms for F Y '26? And on the other side, we have a very large account .

Samir Dhir: Mihir , we can't hear you . May we cut? May we cut? Here you go. You're buffering.

Mihir Manohar: So, I mean, on the larger account, we are having a footprint. On the other side, this particular new deal that has been there, it can add 3% to 4% if you assume a given the distribution. So, from F Y '26 perspective, can we have mid -single digits to high -single digits kind of a growth for the international IT business? How to see that?

Samir Dhir: May -- I'm having a really hard time to your question, but I think I probably get the broad sense you're asking. So, let's just divide it into two parts. So, the deal that we won recently that we announced, the \$73 million deal, that will scale up over the next two to three quarters. We started ramping up gradually in Q1, but Q1 will have a very small effect of the deal, but largely will be Sonata Software Limited

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in Q2 and fully in Q3. That's how we see the deal 6 months time. The largest client, I'm sorry, go ahead.

Mihir Manohar: Yes, please. Yes, sir.

Samir Dhir: Yes. Just completing a thought here. The largest client that we discussed with you guys last time around, where we see success in second half of last fiscal year. And in Q4, that result we just announced has a full impact of that ramp down and impact of that whole issue that we had back in November. I think we believe that we are going to tu rn the corner in Q1.

Unless there is something new that we don't know at this point in time, we think we'll turn the corner in Q1 and back to marginal growth, back to marginal growth from this quarter onwards. So, the headwinds of that, the worst case, hopefully has been absor bed at this point. At this point in time, we think we'll be back

on growth on that account as well.

Mihir Manohar: Understood. Sure. Yes. That's it from my side. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global . Please go ahead.

Dipesh: Yes. Thanks for the opportunity. Yes. So, I have a couple of questions starting with Q4. I think beginning of I think -- at the end of quarter three , we indicated some range for quarter four . And in April, we indicated about some further weakness. So, if you can help me understand how much is fully attributed to top client -related softness and how much would be, let's say, outside of top client, particularly on quant seasonality , just want to understand. And in top client, what factor led to, let's say, incremental weakness, if you can give some color around it. That is question one.

Question two about quarter one. How one should look, let's say, now quarter four is behind, where we have a sizable dip. How one should look quarter one playing out for us, considering the deal intake, what we have seen, as well as some of the seasonality of quant returning back. If you can give some sense about quarter over and subsequent period. Similarly, on margin side, we earlier indicated about returning back to 20 plus margin in Q1 and Q2. Are we on track for that margin shift?

And last question about domestic business. Now, Microsoft also likely to, let's say, cater to some of the top client. How one should look gross contribution profit outlook for next fiscal. Earlier, we always used to say, mid -ten is a good range to look at it. But considering some of these things, how one should look gross contribution outlook in domestic business. Thank you.

Jagannathan CN: Now, Dipesh , the first question about the impact of the revenue de -growth. What contributed more? From that % of de -growth, what we guided earlier to what has been reported, majority portion was from the large client. There is a small portion on some quant customers also, but majority of the portion was with the large c lient.

And your second question on quarter one outlook. The large client, as Sam ir was mentioning, we have reasons to believe that we are turning around and start -- will start a small amount of flattish or a small amount of growth in quarter one. That de -growth, at least, we believe that half
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of now, whatever it stands, we believe that the de -growth has turned around for us in the large client.

Your question on the margin. We have at present we will year outlook for reaching back to the earlier growth. We may think there can be a one quarter of delay to that, but we are in the track of reaching there. This is particularly due to the uncertainty in the market at present. However, based on the recovery, whatever is the recovery with the large customers in quarter one, we will be able to comment about the 4 years on the EBITDA recovery path.

Regarding the quant customer s recovery, as Sam ir mentioned, we are, quarter one will be, will be, will be better than quarter four. And quarter two will be, start scaling up to reach the revenue growth, whatever they are planned for. On the security business, the current outlook is, there is -- we are also waiting and watching on it. As of today, we have also taken various measures to manage the risk for the business. We have mentioned it earlier also. We are also in the process of seeing the impact of any , any, any impact that comes in.

In case the execution or implementation of the change strategies happen, we expect there can be some short -term impact for it. The size of the impact we will be able to give in the coming days to this.

Dipesh: So let's say two questions follow up. First about quarter one, you indicated about one client only. I just want to get things about the overall company on international IT services side. Considering
w

e have a sizable decline in quarter four, whether some of those weakness, particularly let's say retail and manufacturing remain fairly weak. Similarly, del ayed decision making cycle and other things which you indicated. Are we now confident on, let's say, bouncing back sharply or do you expect very gr adual recovery from where we ended in quarter four?

Second question was about margin, where you indicated about a quarter delay kind of thing. So whether it would hinge on, let's say, your growth returning back to some level, then 20 is possible. And last question about depreciation and amortization. This quarter is a sizable decline, whether this is a new run rate. Thank you.

Jagannathan CN: So the first is quarter one. The banking financial services, we expect a recovery from Q4 to Q1, but the full recovery will happen -- only it start happening only from Q2. Q1 may not have the full recovery of BFS. Your second question on the margin improvement, as we mentioned, it will be at least one quarter delayed, but it also depends on the revenue growth and the impact of the tur naround in our large customers.

So we have to see how much of turnaround happens and that will actually influence the margin, what we are able to achieve and how fast we are able to achieve the recovery of margin. The third question is about the depreciation and amortization. It will not be to that extent that the amount of reduction what we have, this is the fair valuation of the liability, hence the reduction

happens.

However, in the coming days, the current position, the one-time impact of that, because the fair valuation is normally we do in the year-end time and quarterly, it may not have some amount of increase can happen and that will, if not, this will go back to the old number will not happen. It

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will be somewhere in between that. But there can be an increase in the depreciation and amortization value from here because we had a lot of credit coming in this quarter. There can be some amount of increase from here in the immediate quarters.

Dipesh: Is it linked with the Quant or not? Because last time you -- whether now we have finalized Quant or not?

Jagannathan CN: Yes, it depends on that and based on that total liability and total valuation, whatever we have to do depends on that valuation only it depends.

Dipesh: Yes, but can you provide some detail? What is the Quant turnout we finalized?

Jagannathan CN: No, Quant turnout for December 2024 period, it is in the process of we are discussing with the current CEO. We still the discussion is going on. Along with the discussion, we will also be able to finalize the amount payable for December 2024. As I mentioned, this is also we are planning to have at least three years extension of contract. Hence, depending on the extension contract, the value of the liability will also change. It is still under negotiation. Once it is finalized, we will be able to update you in Q1.

Moderator: The next question is from the line of Vipulkumar Anopchand Shah from Sumangal Investment.

Vipulkumar Shah: So, my first observation is your call was going to start at 5.30 and till 5.35 results were not uploaded on the exchange website. So, how can investors be prepared to ask the questions when you have not posted results and presentation before the call starts? This is not a very healthy practice and this has happened in one quarter results last year also I recall. So, I would request management to look into this and possibly keep the call on next day if you are not able to post the results in time before the call. And so, it is very difficult.

So, I cannot understand such a large decline in international revenue because I have not been able to go through the results. So, would you explain once again in detail what has gone wrong? Why such a large decline in international revenue

results? And this is on top of already you had downgraded the guidance once in last year.

Jagannathan CN: Okay. So, thanks for your input. We will definitely take your input and work on it. We will avoid this kind of last minute updates in the coming quarter sir. We will definitely act on that. Thanks for your input. The question is about the international business de-growth. We have updated in December quarter itself when we had an analyst call that there will be a de-growth in this quarter. And about 15-20 days back we have given a press release also saying that the de-growth in revenue is more than what we expected. The reasons are two-fold. One is seasonal impact for the customers of one customer.

Every year January to March quarter they will have a regrowth. And because of the nature of the contract signed with the customer which will be low in January to March quarter because by the time they get the PO, they get the contract, it will be almost like a middle or end of February.

Hence, they are not able to harvest the full revenue of the contract whatever they have achieved with the customers. Every year this happens. Hence, that was one of the first major reason for

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us for de-growth. The second reason was as mentioned by Samir, quarter 3 in FY25 we had an impact of ramp down in our large customer.

And in quarter 4, the de-growth was increased, incremental de-growth happened because of the ramp down was more than what we estimated during the end of quarter 3. That we have given a press release also before the Board meeting that it is more than what we expected. So, that ramp down is also impacted us. These two coming together in January to March quarter, hence the de-growth is substantial.

Vipulkumar Shah: So, are you witnessing any other ramp downs from any other customers in view of the ongoing tariff uncertainties and due to that the collapse in consumer and corporate confidence in US? So, are you witnessing any ramp downs in any of your other large deals? What are your comments, sir?

Jagannathan CN: Okay. So, the largest customer is an impact, industry-wide impact. Many, many players have mentioned about the large customers ramp down. The other customers, there are uncertainties in the market. As of today, we are not expecting anything. But with this uncertainty, there can be a new development happening in the coming month. And because of this, that can also happen. I am not ruling out that. But as of now, whatever information we have as of today we

do not expect any major regrowth in other customers. But situation is uncertain. Anything can develop in the coming months.

Vipulkumar Shah: But I would request you to schedule your call next time in such a fashion that everybody gets a chance to look through the results and presentation. And please do not take this as a criticism.

This is a suggestion, sir.

Jagannathan CN: Definitely, sir. We will definitely take it in a positive way and work on that to avoid this kind of challenges, sir.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So, my first question is on the large deal win that you had. So, if you can provide some more color in terms of the client from which we have won this deal. It's a net new spend for that client. And also, is there any rebadging element involved in this deal? Also, can we see some margin impact associated with a typical large deal?

Because in other large deals also, we had some margin impact or initial investment that actually goes into. So, how to read the margins in conjunction with the ramp-up of this deal? And also, you can comment in terms of the pipeline. Are we having such large deals in the pipeline? And how is the pipeline looking?

Samir Dhir: Amit, let me try and take your question one-by-one. So, the work involv

ed here, Amit, has

multiple parts. So, this customer has a technology platform that they provide in a B2B environment to their other customers. And there are two, three parts of this work. So, part one of the work is to re-platform that technology into a more modernized platform. So, part one is to re-script it out, rebuild it out as a new platform, which is more futuristic-ready, AI-ready,

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etcetera. That's one part of the work. The second part of the work is to -- as we build a new part out, hold the old part.

And sunset the old part or take significant features down from the old part and build a new part.

That's the second part of the work. And third is essentially doing continuous modernization for the other application stack that they have. That's the scope of the work. It is under transition right now, and we expect the transition will go in waves.

That's why we think the deal will fully ramp up in the next two to three quarters. Starting this quarter, some marginal revenue will trickle in, but I think it will be fully backed up by end of Q2, early Q3 timeframe at this point in time. To your question about margins, the deal is a five-year contract.

It is a creative deal to Sonata over the term of the five years. But in year one, there might be some marginal impact. We don't expect any significant impact to margins in this year. But there will be, because of the transition involved, there will be some marginal impact in the course of the first, especially in Q2 and very partly in Q1. But that's the extent of it. It's not going to be a significant impact.

There might be some marginal impact because of the margins. As far as the question about pipeline is concerned, yes, we do have other deals that are under pursuit right now. Clearly, not as large as this one that we announced. We have a couple of them of this scale as well. But generally speaking, we calibrate our large deals to be above 5 to 10 million range TCV. There are several of those deals in the pipeline.

Like I mentioned earlier, about 35% of our total pipeline is large deals. So that gives us confidence that we have a few other deals which are under pursuit. But as you can imagine, we're seeing an industry-wide pattern right now, Amit. The retail manufacturing customers are much more measured in taking decisions. So we're seeing some delays there. But the tech customers, the banking customers, the healthcare customers are slightly more aggressive and more agile in taking decisions.

So it's an industry sector model that is going on given the tariffs that are coming from the US.

But that's really what we're seeing at this time. I hope that answers your question.

Amit Chandra: Yes. And then my second question is on the ramp-down that we had with the top client. So whether the ramp-down was more broad-based or it was with a specific program that had an impact? And in terms of the recovery that we are anticipating in this large client, so is it based on the confidence that we have some newer engagements or we are working on certain newer projects with that client or is it just an assumption that the worst is over and maybe it will recover from here?

Samir Dhir: Yes. So I think the ramp-down was in a particular area, not the broad-based ramp-down. It was one particular area where the ramp-down had taken place. And especially because it was in newer geography that we started, especially Mexico, where we see ramp-down, it had a bigger top-line impact because it was more onsite revenue that went out. The second part of your question, where are we with the client and what momentum we see?

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Like we mentioned for this client, in several of the ir LOBs, we are now getting into the preferred status. So we believe that they consolidated the vendors so that

Sonata will gain out of it. Their fiscal reset happens on 1st of July. So as they get into the new fiscal year, we expect our wallet share to increase gradually as we went business from -- quarter, unless something new happens that we don't know at this point in time. We think we bottomed out in Q4. This quarter will be a flat to be marginally growth quarter, somewhere in that neighborhood. And from Q2 onwards, we should be getting back into more growth as we move forward. So that's really with the current outlook. And we'll be like always, keep you guys posted as to how we make progress.

Amit Chandra : Okay, sir. Thank you and all the best.

Moderator: Thank you. The next question is on the line of Ashish Dash from Mirae Asset Capital. Please go ahead.

Ashish Dash: Hi, thank you for giving me the opportunity. So my question is on your outlook. I just wanted to understand your FY26 revenue growth, because you are mentioning that your Q1 would be a weak quarter, a flattish quarter. Now, what I see that retail and accounting remains weak. And your large team would ramp up from Q2 and Q3 onwards. And Q1 will have a seasonality in Q4. So here, I want to understand your FY26 growth would be better than FY25 and if yes, what are the verticals would drive the growth?

Samir Dhir: Good question, Ashish. I'll start and Jagan can add to it. So the way you think about this, Ashish, it's very much an industry story. We think in the FY26, the healthcare business will continue to scale and will be a significant part of the growth to go forward as well. What was a significant part of the growth in FY25 will continue to scale. We feel pretty strong and good about where we are in the healthcare business.

We also believe our banking business in general will scale, although the ramp from here on will be slightly slower, but will scale and get to peak numbers in Q2, Q3. May not have a full impact in Q1, but will scale from Q2 onwards in a significant way. That's the two sectors on the growth side. The retail manufacturing is really hard to predict. And as you know, the tariffs are still very much out there.

The current US administration is working deals out. When those deals will pan out, what impact it will have on the retailers is very hard to predict. But at this point in time, it looks like a tough days ahead in retail market in general or retail clients in general. So we are really factoring in degrowth in the retail sector in Q1 and Q2 at least.

Things might change, but right now that's what we think will likely to happen. On the tech side, given the large deal that we have won, we think that tech sector will do well for us, given the large deal as well as the largest client of Sonata that we have, which is bottomed out in Q4. So I think the tech sector will also do well for us. So in general, as we look at getting into the year, we're reasonably confident about healthcare. We're quite confident about banking. Tech sector is doing well.

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Retail is the uncertainty right now that we don't know really about. We're factoring in our estimates that retail will do grow in the first half and as market and situation evolves, we'll be sharing with people. Hopefully that answers your question.

Ashish Dash: Yes, that helps. Just wanted to understand one thing. See, in FY23, we also announced a large deal, \$168 million. Also in Q2 FY25, if I'm not wrong we also announced a deal in the manufacturing vertical from Australia, I believe, but I don't see any growth in the retail. Though currently, we see the weakness in the retail and manufacturing vertical, but even if I look at the quarters numbers for the last five, seven quarters, I don't see any growth. So could you just explain to me what happened in the retail and manufacturing vertical?

Samir Dhir: Yes, so the deal that we announced in manufacturin

g vertical was in Europe and that is factored into our numbers now. It's fully ramped up at this point in time. But we have seen in the last one or two quarters, the retail manufacturing vertical has been under stress. So that has offsetted the ramp downs or the project closures have almost offsetted the new wind that we had, and hence we are seeing those things almost cancelling out to marginal growth numbers in the retail side.

Ashish Dash: Okay, got it. Thank you so much for answering the question.

Moderator: Thank you. The next question is from the line of Abhishek Gupta from Axis Asset Management. Please go ahead.

Abhishek Gupta: Hi, sir. So my question was with the margin improvement which we saw, which was very good

like what were all the levers which drove this margin improvement in international services?

Samir Dhir: Great question, but I think like you said in Q3, when we gave you the ramp down news, we told you that there was a one-time discount sitting that time. So part of the recovery was because it was a one-time impact in Q3, so that impact went away in Q4. So part of the recovery happened there, and it's about 40% to 50% was like that. And other was largely the operational improvement that we have done, because as the ramp down hit us for the largest client in Q3, we had cost but no revenue.

And in Q4, we were able to operationally correct that out and hence that cost went away as much in Q3 itself.

There were a few big items, but there are small other items from operational efficiency, etcetera.

So those are two big parts that really helped us recover the margin of 2%. And we're very confident, if you recall, in our Q3 commentary, Jagannathan was talking about that we will be able to recover about 60 to 70% of this margin impact in Q4, which is what exactly happened.

Jagannathan CN: So the idea was last time there was a one-time cost of settlement for a near shore location. As well, there were people we couldn't complete the ramp down that was completed in this quarter.

Hence, we were able to save the cost, and that helped us to improve the margin. And as expected, we also were able to improve the margin in a decent shape in this quarter.

Abhishek Gupta: Got it. So on the domestic side, I see there is a very robust growth YoY on Q4. But I've seen this margin seems to be declining around 52, like 5 to 10 bps on QoQ, like earlier it used to be around

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3.5 to 4. But now in this year, full year we have been seeing a lower end of the margin on the domestic side. So what kind of sales or software we are doing that is impacting our margin there?

Jagannathan CN: Okay. Please don't see the margin %. As mentioned earlier, we have to measure this business on the gross contribution, absolute amount of gross contribution. Because depending on the product mix, depending on the requirement, and depending on the change in the requirement of customers and also product offered by the OEM, this is also can change. There is a lot of changes happening in the market, and a lot of new requirements are also coming in. So with this, the % is not a measurement at all for us.

This is the absolute amount of gross contribution growth. That's what we monitor. Plus, we will continue to focus on the ROCE, what is the business needs. If it is above 40%, it is good for us.

So that's a broad view we have.

Abhishek Gupta: Got it. So that's it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Edelweiss Public Alternative. Please go ahead.

Prolin Nandu: Yes. Hi, Samir and Jagannathan. I'm sorry, there would be some noise in the background. I hope I'm audible.

Moderator: Hello? Yes, Yes. You are audible.

Prolin Nandu: Yes. Thank you so much. Yes. So just one thing. So two questions, right? On the domestic part, right? I mean, t

o the earlier question on what is happening on the gross state rate, so to say. Now, what we understand is that, again, there also your large client is thinking of going directly to the client, right? In some sense, so when you say that you are in discussion, is this discussion happening with that large vendor? Or is it happening with our clients? And how much of the revenue is this proportion going to be for us, right?

Because we understand it's substantial. So what are the negotiations which are going on? And when can we get the clarity on this? Because it's a very high ROC business for us, right? So how should one think about this risk of the vendor going directly to our clients on the domestic side of it?

Jagannathan CN: Okay. That's a good question. I also like to have a clear view now. But it is an emergent view. They have broadly taken a strategic position. But there is a gap between the strategic position and the execution.

And the execution, only when it happens, we will be able to exactly know what will be the position. It may take a couple of more quarters for us to have a clarity. As of now, we expect that we continue to do business, we continue to expand with new customers, we continue to expand the product and license now from OEMs, different OEMs also.

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But having said that, we have taken measures for the management of this risk. However, the actual execution by the OEM will decide the impact for us. We have to wait and watch for a couple of more quarters.

Prolin Nandu: Right. Is my understanding correct that this OEM that we are talking about and execution that

we are thinking about and how it will play out is like at least a 50% of our domestic revenue and that is where the picture is emerging yet? Is that quantification of the revenue correct?

Jagannathan CN: Not exactly. We cannot comment about the %. There will be an impact because it's going to be a few large customers for them, for us also. However, this is not the numbers what you mentioned. I'm not able to comment because that is not the number what we are looking for. As I mentioned, there is not a very clear, I cannot completely say that this is a number or this is going to happen. It is still, there is a gap between the strategic intent of the OEM and execution. We have to wait and see how it emerges.

Prolin Nandu: Sure. Thank you. Also, on the services or international part, now you mentioned that this issue that we had with a large client was largely worked out. So, we wanted some assurance from you that this is nothing to do with, let's say, a client asking you to pass on some of the productivity gains, which is probably going to be the very core nature of any new engagement or any existing engagement that we have.

So, could you just let us know a little bit more in detail as to why do you think this is a one-off and not a structural issue that might not crop up in the future, not with just this client, but with other kinds of engagement also that we have. Can you please help us to probably get some assurance on this part, please?

Jagannathan CN: No. Again, these questions, as of now, what we expect is we are seeing that that opportunity, any of these kind of changes, threats, always comes with an opportunity also. So, what we see is there are more opportunities, some green shoots are there. We believe that we have turned around from the regrowth to a flat-ish or a mild growth in the coming quarters. Having said that, will that not happen in the future?

Nobody can answer that. The market is very uncertain, and we don't know what will be the situation emerging in the future. As of now, what we have information, we have updated you. We are not seeing this kind of threat coming in the near future as of today, what information we have. But you cannot comment about what will happen in the future now.

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lin Nandu: Sure, sure. Can I just push for one more, right? Just one thing you mentioned that you're thinking about new opportunities, right, that there might be some emerging opportunities which might come out of whatever challenges that we or the industry is facing. Is it fair to comment that maybe for, I mean, when it comes to all the service providers, maybe most, I mean, not all of them will be able to capitalize on this new opportunity that you're talking about. And then probably that would be some thing to look at as a positive side of this disruption that we are talking about. Is that the right way to look at it?

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Samir Dhir: Let me answer that part. So, look, we cannot comment what others are doing. We can comment what we are doing. In this time, we are clearly seen as a partner who is leading the AI journey for them. To your first question, the impact that we saw was definitely one-off. And you can see that in our margin recovery as well.

We're not overly concerned. Yes, it was a setback for us in second half of the year, which none of us are happy about. But we think in coming times, in coming quarters, we'll be back to growth. And given that we have seen as very favorable AI adopting partners for them and really in the top class for AI adoption, we think we'll have some growth in others. That's our current view. And we're generally speaking more optimistic about what will happen in the course of this year in this client.

Now, the only thing which is unknown at this point in time is what the ramp is from here. Will we see a full recovery in 1 or 2 quarters? Very hard to say. But in general, we are more positive about what will happen in this client in the coming quarters. That's the Broad picture we can paint for you.

Prolin Nandu: No, Samir, thank you so much. Samir and Jagan, thank you for this. All the very best.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Meet Makadia, an Individual Investor. Please go ahead.

Meet Makadia: So, Samir, you happened to mention the guidance for HLS and BFSI 3, 5 years out. So, I missed the figure. So, can you please repeat the same?

Samir Dhir: Yes. So, it's not a guidance. I think what we're saying is we feel that this business, which was about 13% of our business about 2.5 years to 3 years back, is now about 35% of our business, banking and healthcare combined. We feel that in time to come, 3 to 5 years time, this could be about a quarter of a \$1 billion type of a business, \$250 million type of business in about three to 5 years time.

So, we are very optimistic where we are in this business. We are taking market share away. And that's what I was talking about earlier. This is not a guidance, but this is more of a directional statement. We think this business can scale for us. And we're quite, given the market history, we think we'll gain more market share, more wallet share compared to the competition.

And that's what our past trend has been. Just to level set, this was not a business Sonata was in formally about 3 years back. This was a new two verticals we created. And given these are new verticals, we have been quite successful and we're very pleased with the response.

Meet Makadia: Okay. And where are we on the, I mean, \$1 billion plus \$0.5 billion, estimate that we had for FY '27. So, where are we on that? I mean, of course, we have a broad picture from the IT Services, but are you that confident from the domestic products service, domestic products as well now? I mean, given the concerns raised by earlier participants?

Samir Dhir: So, we are basically, look, we put out 3 years back, a directional number at that point in time that we want to be \$1.5 billion in about three to four years time. That's a directional long-term Sonata Software Lim

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goalpost that we have been working to. But candidly, if you really paid it down, the way we think about it is that in a year, at least more quarters than not, we want to be in the top quarter, which is what we have been talking about several quarters now.

So, our view is as market goes up or market goes down, irrespective of the market, we want to be in the top four or five publicly listed midsize companies. We want to be in that zone. And that's really what our aspiration is. Now, if we consistently perform in that zone of being a top quarter company, we believe in 4 to 5 years time, which is what we said when we started this, we will be able to build in the half.

So, that's a long-term aspirational goal. But in the short term, I think the way you think about it is, are we coming in the top 4 or 5 top quarter companies in the market, in the publicly listed companies?

Clearly, in the second half of last year, we did not. But we believe as we turn around some of these headwinds that we had, in the coming quarters, we will probably catch up and be in the position we were in for the first 2 years when I came on Board.

Meet Makadia: Okay. And just one last question for Jagannathan sir. Yes. Thank you, Samir. So, one last question, I mean, for both of you, that earlier, I mean, earlier years, I've been holding Sonata for the last 10 years or so. So, earlier, we had a payout ratio of upwards of 50%, 60%. And as we declare the dividend for this year, I'm seeing that it has kind of dropped to half.

And I also happened to watch an interview of Samir, in which he had mentioned that there are no acquisitions on the anvil. So, I mean, has there been any change in the dividend distribution policy? And what is the thought process there? Because we have INR700 crores of cash, and we will be distributing, I think, INR120 crores, INR 125 crores of dividend this year. So, I mean, correct me if my numbers are wrong, but...

Jagannathan CN: No. As far as the policy aspect, we have not changed it. However, considering the debt we have taken for the acquisition of Quon, the Board decided that let us manage the cash in such a way that we are able to pay off the debt as early as possible. That's the idea we have.

So that the interest cost and all this, no impact of that will be less for us in the coming medium term. This is like a few couple of years, the pressure on cash flow will be there because of the debt. The second aspect to it, as mentioned to us, to all the investors during the acquisition of Quon, we had a procedural issue with RBI, because of which I'm not able to remit money from India.

So that also actually has stopped us from utilizing the cash for the debt. So that's where we were carrying a debt, we were carrying a cash also. But net of debt, we are still in positive zone, but the size of the net cash may come down substantially because of the debt what we carry.

Our focus is to repay the debt as early as possible. And this RBI issue, we are in the far end of the issue. And we may come out of the issue probably in a quarter time. So we believe that this is the right strategy to focus on, so that we are not hampering the investments, what we need in the era of fast technology changes. So that's the idea.

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Meet Makadia: Okay. Thank you for this RBI update as well. Thank you, Jagannathan sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Samir Dhir: Thank you, operator. And thank you for all the participants for joining in and listening to our results. I just want to take this opportunity to thank all of you for your patience. And the feedback that we got of posting our results slightly earlier is well noted. We'll take care of that

. And I also

want to take this opportunity to thank all the Sonata globally for their extreme amount of hard work and really keep the Sonata flag flying high as we aspire to become the fastest growing

company in the top quartile. Thank you all of you. We'll speak to you in a quarter's time.

Moderator: Thank you. On behalf of Sonata Software Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

Sonata Software Limited - SSL

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20th November , 2025

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street , Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosures dated 7th November , 2025 and 14th November , 2025, please find enclosed Transcript of Analyst/Investor call of the Company held on 14th November , 2025. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations> .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

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Sonata Software Earnings Call for Q2 FY26

November 14, 2025

– Moderator:

– Ladies and gentlemen, good day and a warm welcome to Sonata Software Earnings Conference Call for the 2nd Quarter of FY26 ended September 30th, 2025. We have with us on the call today Mr. Samir Dhir - MD & CEO, Mr. Jagannathan C.N. - Chief Financial Officer. We also have our extended leadership team on the call. Please note, there will be an opportunity for all participants to ask questions after the management's opening remarks. Should you need assistance during the conference call, please raise your hand from the Participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. Please note that during this call, the management may make certain forward-looking statements that involve risk assumptions and are based on information currently available to the management. Sonata does not undertake any obligation to update any such forward-looking statements that may be made in course of this call. We advise participants to exercise discretion while making any investment decisions.

– We will begin with opening remarks from the CEO, followed by a business overview and financial highlights. After that, we will open the floor for questions. With that, I now hand over the call to Mr. Samir for his opening

remarks. Over to you, sir.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Thank you, Moderator. Good day, everyone and thank you for joining us today. We truly value your time and appreciate your continued trust and support for Sonata. In today's session, we'll walk you through Sonata's overall strategy, the progress we have made over the past few quarters, our forward-looking roadmap, and a detailed view of our financial performance for Q2 FY26, which

concluded on September 30, 2025. We're excited to share the momentum we are building as we continue to execute on a long-term vision and growth aspirations. I'll begin with an overview of our strategic priorities and key objectives, followed by the highlights for the Q2 FY26 performance.

– So firstly, the strategy and the goals: At Sonata, our ambition is clear. We want to be a differentiated AI modernization engineering firm powered by a proprietary platform framework. We are executing at scale across three core strategic dimensions. First, across the four focus verticals, which is Healthcare and Life Sciences, Banking

Financial Services and Insurance (BFSI), Retail, Manufacturing and Distribution (RMD), and Technology, Media and Telecom (TMT) . The second dimension is on five priority geographies that we have decided to focus on, which is North America, UK, Europe, India, and Australia.

– We want to focus on modernization engineering leadership with sustained investments in our IP, proprietary lightning tools, and robust offerings. We're enabling continuous modernization for our clients, building digital AI and data platforms that deliver transformative value for our clients. We see significant opportunity at the of AI and modernization engineering, driving momentum across strategic bets we have made, which is enabling us to consistently secure large deals and large accounts, expanding significantly our footprint in BFSI and Healthcare verticals, deepening capabilities in data, AI, and modernization engineering, backed by scaling our talent across Sales, Delivery, HR, and Finance, and other operational functions to support our growth ambitions.

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– With that, let me provide you a progress update on the quarter. Our success is anchored on three strategic pillars. Number one, scaling Sonata for the next phase of growth. Second, relentless focus on large deal wins. Third, sharp focus across strategic verticals, geographies, and talent. I'm going to get deeper into each of these three dimensions.

– So first, scaling Sonata, specifically on AI, which is a strategic growth pillar for us: We have made steady progress in scaling our AI order book, and are perhaps one of the few companies which publicly share our AI order book consistently. For the most recent quarter, our AI order book grew from 8% in Q1 to 10% in the most recent quarter. These AI-driven wins span across multiple verticals, with TMT verticals showing the highest adoption of AI.

– We have tightly aligned our go-to-market with our AI CSP co-sell program, particularly with Microsoft's new AI consumption model, which went effective July 2025. We are replicating this model with other CSPs as well. During the quarter, we closed two mid-size AI and CSP deals. We expect these deals to drive both client expansion and sustainable new client acquisition engines.

– Earlier this year, we launched our cloud agnostic agentic platform, AgentBridge. The platform is designed to help clients build and deploy next-generation agentic AI solutions. In addition, we are collaborating with IISC in India and Wharton School in the US for enhanced research in agentic AI. We have deployed agentic solutions internally within Sonata through our AgentBridge platform. Our HR and Finance teams now run production-grade agents, reinforcing our aspiration to be a model AI-led technology services firm. We are truly proud of that. We are actively pursuing AI opportunities across 100-plus clients, helping them unlock value through operational efficiencies, time-to-market, and transformative business models through AI innovation.

– Let me provide an update on the key modernization driving engines. First, cloud and data: Cloud and data opportunities now account for 55% of our total pipeline, reflecting strong client demand for modernization. We are seeing accelerating adoption around Microsoft Fabric, where Sonata is an official Microsoft Fabric feature partner, and enabling clients to build data analytics foundations for an AI era. Microsoft Dynamics: We continue to work closely with Microsoft on programmatic growth plays across ERP modernization, SaaS transitions, and low-code, no-code complete deals.

– With that, let me provide an update on large deals. Large deals pursuit remain a cornerstone of our growth strategy, with approximately 40% of our pipeline comprising of large deals. I'm pleased to share, in Q2 FY26, we won yet another large deal. This is with a leading healthcare provider client in the US who awarded Sonata a multi-year contract to

modernize their core platforms, leveraging automation and AI to drive enhanced consumer experience, reduce technical debt, and AI enablement with data-driven insights for the end customers. In the deal win, Sonata differentiated through its AI-led transformation approach, integrating modernization engineering practices and platform-driven data modernization to create real outcome-driven value for the clients.

– In addition to the large deal, we also won several mid-sized deals in AI. I'm going to cover the top three. The first AI win is through supersizing with one of our leading financial mortgage leaders. They awarded Sonata a multi-year engagement to migrate its legacy suite of applications to a modernized platform. This strategic engagement modernizes the customer's core platform, enhances security, scalability, and sets the foundation for future SaaS transformation.

– The second AI win is within the Retail vertical. We secured a strategic AI program for the US-based

consumer product client to develop their enterprise playground powered by AI. We will provide a comprehensive solution using AI, which will provide robust security and privacy, access control and

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monitoring. We also secured two AI CSP mid-sized deals in the quarter, one with a Healthcare client and another with a global TMT client.

– With that, let me provide an update on our verticals, geos, SI TL business, and talent. We remain confident that our investment verticals, which is Healthcare and Life Sciences and Banking and Financial Services, are on track to scale to \$250 million of revenue in about three to five years' time. Together, these verticals now contribute to 33% of our total revenue, a sharp rise from 13% just three years ago; a clear reflection of our strategic focus and disciplined execution. Our North America business has now scaled significantly and represents over 70% of our total revenue, up from approximately 54% three years ago. This shift reflects our continued success in the geography.

– On the SI TL front, we are making strong progress across three strategic growth pillars. First, to expand the Microsoft channel with a sharper focus on SMC segment, which also included incubating our Sonat on Cloud offering, which we launched about 4-6 quarters back. Second, broadened partnership with other ISVs, such as Oracle, IBM, OpenText, and others, expanding beyond the three hyperscalers that we already have very strong partnership with. Third, win large SI deals that integrate various product set and ISVs infrastructure with leading cloud platforms. These strategic bids are core to building a more diversified, resilient, and future-ready business, and our teams have been judiciously executing this strategy over the last several quarters.

– With that, let me provide an update on Sonata capabilities and talent. Our trailing 12 months attrition stands at 14%. Our gender diversity remains healthy at 31%, underscoring our continued focus on building an inclusive organization. Despite a challenging macroeconomic environment, we remain committed to future-focused talent investments in training and strengthen our ability to deliver on our growth ambitions. Sonata University continues to power our upskilling capability agenda with a strong focus on AI readiness. 94.8%, nearly 95% of our workforce, and 80% of our managers are now AI trained, reinforcing our commitment to building future-ready skills across delivery, engineering, and consulting. We also rolled out white-coding training across the company, with 78% of the employees successfully completing it, reflecting in high engagement in a very short span of time.

– We are delighted to announce that Inder Samath has joined us as Sales Leader for Quant to drive our next phase of growth. Srin, who led Quant earlier, has decided to pursue opportunities outside of Sonata.

– We are proceeding with our annual compensation revision for this

year, despite market headwinds. These compensation revisions have been enacted in Q2 and will continue to be enacted in Q3, reaffirming our belief in investing in people and maintaining industry-leading engagement and learning initiatives.

– In terms of industry recognition, during the quarter, we continue to be recognized as a workplace of culture and market momentum. We won CII AI Awards for 2025 for Best AI Solution Showcase and Best Industry AI Application for the Agent Bridge Platform. We were recognized also as a major contender in Everest Group's application development services for AI applications by PwC Matrix Assessments.

– With that, let me dive deeper into Q2 FY26 performance. Tailwinds which are driving our growth. Number one, during the quarter, we continue to benefit from three strong tailwinds. Number one, strong momentum from large TMT and Healthcare deals that we announced earlier in the year. They continue to provide us with the ramp-ups and expanding scopes. Number two, the continuous strength in our Healthcare and Life Sciences and BFSI verticals continues to be a pillar of strength.

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And robust performance in data and AI lead winds reflecting growing client confidence in our capabilities.

– In addition, our operational efficiency is driven by three levers - higher utilization, planned large deal offshoring, and AI adoption and agentic AI implementation across all functions within Sonata. That delivered a net EBITDA accretion of 0.7% quarter-on-quarter, even after absorbing 0.9% of impact from salary increments. That's a total of approximately 160 bps of EBITDA accretion in the quarter on a gross basis, and 70 bps on a quarter-on-quarter basis net. And we expect full quarter upside to reflect in Q3 from the work we have done in Q2 to drive sustainable actions we have implemented in Q2. As we continue to drive improvements from the above three levers, our expectation is that PAT will further accrete in second half of the year compared to first half of the year.

– With that, let me talk about headwinds and offsets. And while we are navigating this business, there are some near-term challenges as well. Our largest BFSI client underwent organizational changes and budget constraints and led to significant ramp down in the course of the quarter. Within SITL, we had headwinds. However, based on our three-pillar strategy enacted several quarters back, our teams were able to largely offset the impact of the broader sectoral impact that we see in the business.

– As previously indicated, we continue to see decision delays in our largest TMT customer and global R&D. The impact from the BFSI client was largely offset by the large deal wins in Healthcare and TMT and the mid-size AI wins. Outside of these TMT and BFSI accounts, we recorded healthy growth across all our client base. We are truly proud of that, reflecting the resilience and diversification of our

portfolio.

- International business : Revenue grew 1% quarter -on-quarter constant currency. Our order booking stood at 1.28 book -to-bill ratio. We secured one large deal in the quarter. The number of clients with more than 10 million annual run rate is now at eight. We added six enterprise -grade clients during the course of the quarter. Our AI order book, as I previously mentioned, contributed 10% of our total order book.

- EBITDA significantly improved to 17.3%, much in line with the roadmap which we have shared with you earlier, and we will continue to see the secretion going into the next quarter as well. The utilization rate improved to 87.3%, maintaining delivery efficiency. And in the SITL business, our gross contribution was at 0.3% quarter -on-quarter.

- In summary, Sonata delivered a resilient performance in Q2 FY26. We secured one large deal, expanded our AI-led order bookings, and now have eight clients with an annualized run rate of exceeding \$10 million. Our long-term ambition

to be a differentiated modernization engineering firm

powered by platformation , continues to drive a strategic momentum for us.

- I want to thank all Sonatians globally for their continued dedication and commitment. Their efforts form the foundation of our progress and future success. And we remain confident in delivering a long -term value to our clients, partners, and shareholders.

- With that, I'll turn it over to you, Jagan. Jagan, you might be on mute.

- Mr. Jagannathan C.N. - CFO, Sonata Software:

- Thank you, Samir. Good day to all of you. Let me walk you through our financial performance for the quarter ending 30th September 2025.

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- First, starting with the International Services. In Q2 FY26, USD reported revenues to that 82 million, growth of 0.2% quarter -on-quarter. In constant currency terms, it represents growth of 1% quarter -on-quarter. Rupee revenues stood at 730.30 crores, growth of 4.3% quarter -on-quarter and 3.2% year -on-year. EBITDA before other income and forex for Q2 FY26 improved to 17.3% up 70 bps sequentially from 16.6% in Q1. This expansion was primarily driven by operational improvement across delivery. SG&A contributed to 160 bps, reflecting better delivery efficiency, cost optimization, and also benefits from cross -currency forex impact. EBITDA improvement was mainly driven by utilization improvement to 87.3% up from 86.6% in Q1 FY26. Planned large -deal offshoring in our FP programs. As a result, our offshoring mix improved to 57% from 53% in Q1 FY26.

- Q2 utilization and headcount were also driven by sustainable productivity improvement and operational efficiency in delivery enabled by AI adoption, differentiated AI solutions, and agentic implementation across projects. We expect utilization to further improve in future quarters due to productivity gains from AI across all functions. These improvements were offset by wage increments impacting margins by 90 bps as we continue to invest in talent.

- In summary, on a net basis EBITDA improved by 70 bps. We expect full quarter upside to reflect in Q3 from the sustainable actions implemented in Q2.

- EBITDA after other income and forex for Q2 FY26 improved to 19.9% up 150 basis points sequentially from 18.4% in Q1 FY26. Q2 FY26 reported PAT stood at INR 78 crores against INR 70.7 crores in Q1 FY26. Growth of 10.3% quarter -on-quarter and 25.5% year -on-year . Reported ROCE and RONW for the quarter stood at 17.8% and 22.6% respectively. International services DSO in Q2 is reported at 68 days against 62 days in Q1 FY26.

- Now, let me provide you with update on domestic business. Domestic business revenue for Q2 FY26 to debt 1391.3 crores with degrowth of 38.8% quarter- on-quarter and degrowth of 4.8% year -on-year . Gross contribution for Q2 FY26 stood at 68.7 crores with growth of 0.3% quarter -on-quarter and degrowth of 2.1% year -on-year . PAT for Q2 FY26 stood at 42.2 crores against 38.6 crores in Q1 FY26 with growth of 9.3% quarter -on-quarter and degrowth of 4.8% year -on-year . DSO of Q2 FY26 is 42 days as compared to 63 days in Q1 FY26. Reported ROCE and RONW for the quarter stood at 43.8% and 42.5% respectively.

- Update on consolidated business. For the quarterly update , consolidated revenue for Q2 FY26 stood at 2,119.3 crores with degrowth of 28.5% quarter -on-quarter and degrowth of 2.3% year -on-year . PAT for consolidated business in Q2 FY26 is at Rs. 120.2 crores against 109.3 crores in Q1 FY26. Growth of 10% quarter -on-quarter and 12.9% year -on-year . Consolidated EPS in Q2 FY26 is Rs. 4.33 per share, Q1 was 3.94 per share ; increased by 9.9% quarter- on-quarter . Reported ROCE and RONW for the quarter stood at 22.1% and 27.1% respectively.

- The company has declared its second interim dividend for the year at Rs. 1.25 per share , in line with commitment made during the previous call, to implement quarterly interim dividend payment.

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ing this year, the company intends to follow quarterly interim dividend payout policy. Cash and cash equivalent stood at 3 23 crores at the end of Q2 FY26, compared to 600 crores in Q1 FY26.

- Moving on, update on other operating metrics. Business operating performance : Total headcount stood at 6,649 in Q2 FY26 against 6,859 in Q1 FY26, with appreciation of 14%. On- site offshore revenue mix was at 43% to 57% in Q2 compared to 47% to 53% in Q1. Utilization reported at 87.3% in Q2 versus 86.6% in

Q1. We added 6 new customers in Q2 FY26. Top 10 clients contributed revenue share of 53%, in Q1 it was 56%. Number of clients greater than 5 million run rate stood at 13 in Q2 6

FY26, same as Q1 FY26. Number of clients of more than 3 million up to 5 million revenue increased to 8 from 6 in Q1. Q2 FY26 order books stood at \$105 million with a book-to-bill ratio of 1.28.

– In summary, we are confident about our large-scale momentum, AI adoption, agentic AI implementation and continued focus on sustainable EBITDA improvement levers.

– With this, I hand over back to the Operator. Thank you.

– Question & Answer Session:

– Moderator:

– Thank you, sir. We will now begin with the Question & Answer session. If you would like to ask a question, please raise your hand. We will send you an on-meet request when it's your turn. Please accept the request and then go ahead and ask your question. If you are connected via the webcast and would like to ask a question, please click on the Q&A tab and type your question in the text box. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Anyone who wishes to ask a question may please raise hand in Zoom.

– The first question is from Mr. Vipul Kumar Shah from Sumangali Investments.

– Mr. Vipul Kumar Shah - Sumangali Investments:

– Am I audible, sir? Hello.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yes, Vipul, we can hear you.

– Mr. Vipul Kumar Shah - Sumangali Investments:

– So, I want to know why our on-site-offshore mix is so skewed in favour of on-site. All other large companies have offshore ratio of around 75%. So, why is ours around 50%? Hello?

– Mr. Jagannathan C.N. - CFO, Sonata Software:

– Yeah, yeah, we are able to hear you. Okay.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Go ahead, Jagan.

– Mr. Jagannathan C.N. - CFO, Sonata Software:

– Yeah. So, our offshore ratio has actually improved this quarter from 53% to 57%. And I am not sure how the large companies have more than 78%. I don't think the fact is right. So, we are one of the companies, few companies who have more offshore percentage of revenue.

– Mr. Vipul Kumar Shah - Sumangali Investments:

– I think Infosys has around... between 72% to 75% offshore and on-site there is around 25%. I am the ir shareholder since very long time. So, I can say about Infosys. I don't know what are the reasons for your low offshoring. Just I wanted to know that.

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– Ms. Shilpa Kolhatkar - Dy. CFO & Head of Finance, Sonata Software :

– Hi, Vipul, Shilpa here. Let me take that question. So, I think what you are looking at is the headcount mix. What we are talking about here in Sonata tech is revenue mix.

– Mr. Vipul Kumar Shah - Sumangali Investments:

– No. This is revenue mix. Oh, okay, okay. Got it. Got it.

– Ms. Shilpa Kolhatkar - Dy. CFO & Head of Finance, Sonata Software :

– Thank you.

– Mr. Vipul Kumar Shah - Sumangali Investments:

– Yeah. Thank you, sir.

– Moderator:

– The next question is from Mr. Abhishek Shinadkar from InCred Capital.

– Mr. Abhishek Shinadkar - InCred Capital:

– Hi. Thanks for the opportunity and hope you can hear me.

– Mr. Jagannathan C.N. - CFO, Sonata Software:

– Yeah.

– Mr. Abhishek Shinadkar - InCred Capital:

– Okay. So, the first question is on the services business. So you know, if I look at the growth across verticals, it has been lopsided and

driven by a particular vertical for the first half of '26. So Samir, the question is, is this on...I understand the challenges, but in terms of the interventions required to make it a broad-based growth, if you can highlight some... and when we could see more broad-based growth across verticals? That's question no. 1

– The question no. 2 is for on the products business. So, you know, it's very heartening to see the increase in the gross contribution despite the drop in the revenue. So if you can just highlight, is that seasonality, which is playing out of the last quarter or is this more business driven improvement? That's question no. 2.

– The question no. 3 is on the purchases, especially between the standalone and the console business. So in the standalone business the purchases have gone up dramatically. So if you can highlight what has led to this, that would be helpful. Thank you for taking my questions.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Thank you, Abhishek. I'll take the first two and I'll request Jagan to take the third one. So on the vertical side, Abhishek, just to give the first strategic overview, we started as you know, Banking and Financial Services and Healthcare verticals about three years back. I think we made good progress in a broad-based sense across the three verticals. Like I earlier noted, that our revenue from BFSI and HLS has gone up from 13% of revenue to about 32% of revenue or so now. So it's a pretty good growth for us in the three years from a mixed perspective.

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– And why that is important is, because as you probably know, Banking and Healthcare together constitute about 60% of total outsourcing, which is an area that Sonata didn't have earlier. And we are very pleased with the progress that we are making and continue to make. Of course, we have a headwind in one specific client in BFSI right now, which will probably continue for this quarter and last quarter. But if you back that out, I think in general, we have seen fairly solid momentum across Healthcare and Banking over the last three years.

– As far as the Retail manufacturing and TMT is concerned, I think Retail manufacturing in general has had a slowdown. We noted that in our earlier calls as well with you guys. I think this quarter is a little bit of an aberration. We got one-time revenue in this quarter. But in general, Retail manufacturing has been a little muted across the industry given what is happening in the tariff side. But we see in the next 2-3 quarters, hopefully by Q1 next year, it will stabilize and return back to growth.

– TMT, as far as that is concerned, I think it's a tale of two cities. If you look at the big tech, I think there has been softness given one of our large clients is in the TMT side. But outside of the big tech, the small tech or the medium tech, I think we've seen very, very strong growth. And that's probably noticeable in our numbers as well, that despite the large client slowdown, we have been able to hold up on TMT overall growth numbers because the growth in the non-big tech has been very, very good for us. In fact, the large deal that we announced earlier this year was also in the TMT sector. So if you look at it from a vertical mixed perspective, our large deal win, earlier we announced TMT win, we announced Healthcare, just now we announced another Healthcare win. So we're very pleased with the progress. But the headwinds that we continue to have is one large TMT client and one large BFSI client, if you back those two out, I think we're pretty pleased with the progress for the rest of the business. So that's on the first point.

– On the second point, I think on the SITL business, and I'm going to invite Sujit to add to it as well. Look, I think Sujit and team have done a phenomenal job to enact a three-pillar strategy, which I talked about earlier. I think growing our footprint in the Microsoft channel, in the S

MC business, broadening our partnership with other ISVs and SI deals, I think we enacted that strategy about 4-6 quarters back. We are reaping benefit of it right now. And hence, the headwind that we got into this quarter, based on the other decision that we had to withstand, we still came out balancing that out. So we feel very, very confident that the business has been well diversified now and we are well on our path to diversify the business. The strategy we have put in place is the right strategy. But I'll just request Sujit to see if he has any additional points on that. Sujit?

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

– Thanks, Samir. If you have observed for many, many quarters, so in our business, there is not always have a very direct correlation between the profit and the revenue, because of the character of this business. So there can be some ... sometimes the revenue numbers can drop because of various reasons. But we, as a Group, always concentrate on maintaining and growing our, what we call the GC, that is the gross contribution. So as Samir mentioned, there are various strategies which are in place to make sure that we continue to hold on and grow our GC. And fortunately, as of now, we have been able to maintain our GC stand. And hopefully in future, even if we have some troubled times, we will be able to manage it. Thank you.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Jagan and Shilpa, I will take the last one, last point of Abhishek, and the third point as well.

– Mr. Jagannathan C.N. - CFO, Sonata Software:

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– So the third point is on cost of goods sold, Abhishek. So there is no aberration on this, why it has ... this is related to the India business and it is in line with the revenue growth. Some of these quarters, as Sujit was also mentioning, the revenue growth has ... we are not always concentrated on GC and the revenue growth can change depending on a particular trade transaction or a particular transaction or a particular mix of revenue, whatever we have. The cost is also in alignment with that.

There is no changes in this. More details, we will, if you want, we will give you offline on that.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Thanks, Jagan. Operator, you can pick up the next question, please.

– Moderator:

– Yeah. The next question is from Ashish Das from Mirai Asset Capital.

– Mr. Ashish Das – Mirai Asset Capital:

– Hi, good morning. Hope I am audible.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yes, Ashish, go ahead.

– Mr. Ashish Das – Mirai Asset Capital:

– Thanks for the opportunity. So my question is again, on the domestic business, basically your SITL business. So on the last quarter 's earning's call you mentioned that there could be some discussion with Microsoft team on, regarding this domestic product business. Now you mentioned that the business has diversified. What I understand, most of our business was skewed towards Microsoft. And so the question is, I just want to understand that, have they started taking over some of your partner accounts? How do you see that business is going to impact, particularly from Microsoft?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Sujit , do you want to take this, please?

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

– Sure, Samir. Thanks. So first, I mean, if I've understood the question, if there is an apprehension that Microsoft is going to take out all business, that's not the case. As of now, although they have not given anything in writing, our guess is that worldwide, they're trying to have some direct contract with a limited number of very, very large account of theirs, or large customers of theirs. So in that list, there may be few which will fall in India, and it can fall into our customer basket as well, right?

So that is the real situation. It's not that Microsoft has decided to completely go from an indirect to direct model. So this is the first time they are doing it in Asia- Pacific region, including India. So this is the first year they're trying to do some direct billing. So we have to wait and see how things are going to span out and to what extent they're going to go. We are not in a position to make a comment on that, because obviously, we don't know what exactly their future plan is. But knowing the environment, knowing Microsoft since last 30 years, we believe that, right now, it's a very limited intervention and limited plan which they have. That 's our assessment.

– Now, coming to diversification, obviously, once we come to know of this change in the business policy, to protect our business, obviously, we have to do various other things to make sure that our revenue and profit growth, how to maintain that and how to keep that on track. So we have done various things, including within Microsoft, looking at various different options, outside Microsoft what are the other businesses' possibilities, growing towards associated services around the platforms. So there are many, many things which we are trying to do now. And hopefully, in the next 4-6 quarters, we'll be able to zero down on some of the plans which are actually going to work and we'll continue to focus on them. And that is what is our strategy is, to hold on to our business and continue to grow. I hope I have answered.

– Mr. Ashish Das – Mirai Asset Capital:

– Yeah, yeah, got your point. But earlier we used to say that our gross contribution is expected to grow at 15% CAGR in the medium to long term. So that assumption continues or should we ... or do you see that because of the changes, certain headwinds would be there on this domestic business ?

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

– So when there is such a large change in the policy, definitely there will be certain headwinds. And considering the fact that we operate on a ... most of our customers are within the large enterprise segment, there can be few hits and misses here and there, based on the Microsoft policy. So there will be some headwinds. But as I said, and as Samir also explained, that knowing this environment, we have our diversification strategy. So we are trying our best to make sure that in the next few quarters, we come back to the growth, what we had discussed earlier.

– Mr. Ashish Das – Mirai Asset Capital:

– Got it. Thank you. And Samir, my next question is on ... now in your presentation, you have mentioned your net new deal TCv number. So between FY22 to date, you mentioned that there is a net new deal TCVs of \$467 million. But if I see the incremental revenue from FY22, it's just \$132 million, and I see that there is some non- linearity. So could you please help me understand that why there is a gap between revenue growth and the deal TCVs ?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yeah. Actually, so the deal TCVs that we announced, these are for multi -year deals. Some of these could be even three years, five years, 10 years as well. So the order book that you might be referring to, I don't know which number you definitely have in mind, but maybe Jagan can build on that, these are generally for the total contract value in the term of the contract, which could be three, five or 10 years, or maybe sometime even longer. What you're referring to the growth is the revenue realized in the year, which of course would be lesser than the overall deal book that we have booked.

– Mr. Ashish Das – Mirai Asset Capital:

– So you are saying that no revenue leakage has happened, and so the growth will come back in the coming years.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yeah. So those deals that we have won, the order has been booked. So as time moves forward, we'll continue to realize revenue from the order book that we have booked already. So there is no concern on that front.

– Mr. Ashish Das – Mirai Asset Capital:

– Perfect. And my last question on your US hike . So now you mentioned that on US hike , we saw 90 bps impact in Q2. So what kind of the remaining impact we can expect in Q3?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– It's pretty much in the same range in the coming quarter as well. And like we indicated, given the efficiencies that we have enacted in Q2, we think we'll be able to absorb that and still are EBITDA accretive in the coming quarter.

– Mr. Ashish Das – Mirai Asset Capital:

– Thank you so much for taking my questions.

– Moderator:

– Thank you, sir. The next question is from Mr. Amit Chandra from HDFC Securities.

– Mr. Amit Chandra - HDFC Securities:

– Hello, I'm audible.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yes, go ahead Amit, we can hear you.

– Mr. Amit Chandra - HDFC Securities:

– Yeah, yeah. So thanks for the opportunity. So just the continuation on the TCV question. So over the last 6-7 quarters, we have been in the range of 100 to 105 million. And seeing the large deal pipeline that we report, we have around 20 to 30 deals in the large deal pipeline. So this TCV number has been constant. Obviously, the revenue has also been constant for us. So just to understand, for the revenue acceleration to happen, do we have to win more deals? Obviously, we have to win more, but this 100 million kind of a TCV number is sufficient for the revenue acceleration to happen if we see some stability in the existing book ?

– And also, in terms of the large deal pipeline, earlier, we used to have like 2-3 large deals, which has also slowed down. Any views, any incremental challenges we are seeing in terms of closing deals ?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Sure, great question, Amit. I think, let me explain. So what we talk about as 1.28 book -to-bill is for the new business that we are winning. And I think what that gets tempered is the runoffs that have happened in some of the large accounts that we have seen headwinds in, specifically the large tech client and the large banking client. So it's an extraordinary situation. We have seen the last 2-3 quarters, maybe four quarters now, that two large accounts of Sonata have had issues. So they end up offsetting more than one book -to-bill ratio of ours. In our mind, our desired state of book -to-bill ratio is between 1.2 to 1.3, and that's where we've been operating at. We just had one too many mishaps in terms of large accounts, which is really causing this growth slowdown to happen because of that. And we've been very open with you guys about that.

– I think as we move forward, we are pivoting the change mix from a quality of revenue to more AI, which we talked about earlier. But we do believe , as a company , that 1.2 to 1.3 range of order book is pretty sustainable. And if we do see continued impact of some, God forbid, some large account as

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well, then of course we'll look to improve that number. But for a foreseeable future, we think that's the range that we want to operate at.

– Mr. Amit Chandra - HDFC Securities:

– Okay. And also , you mentioned about the impact on BFSI. Obviously, you have been very clear about it. But just to understand the extent of the impact, because if I see in terms of numbers from the peak of 3rd Quarter last year, we have almost halved in terms of the BFSI revenue. So do you attribute it all to the issues in top client, whether the top client revenues have been totally out of the system or is it still there? That's because 3rd Quarter we generally see is seasonally strong for BFSI. So if you can throw some light in terms of how the furloughs are looking , also in terms of furloughs for the 3rd Quarter.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– So we don't have a material furlough impact in our business, Amit. We don't see that much. So let's just understand the BFSI business in two parts, Amit. Let's think of minus the large account and everything else. Of course, the large account has had a significant headwind and we've seen significant ramp down of that, especially during the quarter, the most recent quarter. And maybe the final impact will come in the current quarter as well. But beyond that, the other accounts have really grown quite well for us. So that has been a little bit of an offsetting factor for us. And we think the other account that we have won in the course of the last 2 -3 years, they all... many of them have potential to scale up to be the top accounts of Sonata from a banking perspective. So, yes, we are fighting a headwind against a large client, but the positive momentum we see is on the rest of the large account of the banking business. They all have potential, or if not, most of them have potential to grow. And that's where our focus is. So we, while it's a one -off bad news, but we feel pretty good about the health of the business where it is at. Once the whole impact of this one large client is absorbed, I think it will be fully absorbed at the end of Q3 , then I think we' ll be looking to build a business from there further on going into Q4.

– Mr. Amit Chandra - HDFC Securities:

– Okay, so thank you. And sir, last question on the margins. Obviously, we have seen healthy expansion

in margins in this quarter, despite the quarter being flat. And there was a wage hike also in this quarter. So if you can give the walkthrough of the margins, what actually led to the margin expansion? And what is the normalized margin that we should look at for the I ITS business, International IT Services ? And also , in terms of the efficiency, I don't think that we're mentioning where we are in the journey in terms of the efficiency that we want to achieve.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– So we have stated before also, and I think this question came last couple of calls as well. Amit, look, we've always talked about our aspiration to be a high- teens EBITDA company and aspiration to be a low-teens, low -20s EBITDA company. So we're well on ou r path to be a high- teens EBITDA company at this point in time , and that's what we're executing to, as you've probably seen in the results right now.

– Now, that really has happened on count of three levels, which I commented on earlier as well, but I'm happy to recap. One, our utilization has gone up, which I think has helped us. Second, because of the large deals that we had won over the last several quarters, we tried to move work offshore, and that has helped us. And it was planned offshoring. As we won the deal, we have always announced

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to you that we will move work gradually to offshore. And this quarter, it was a bunch of planned deals that the work had to move offshore. And third is really a systematic implementation of AI, both in our delivery and our functions. And we've been very careful and strategic about implementing AI within Sona ta in our core function, as well as implementing AI across a delivery ecosystem. So a combination of these three factors has led us to the improvement that we think. And we think that's a very sustainable model that we have put in place. And hence, we were confident about the accretion in going into Q3.

– Mr. Amit Chandra - HDFC Securities:

– Okay, Samir. Thank you and all the best.

– Moderator:

– Thank you, sir. The next question is from Mr. Jalaj from Son i Investment.

– Mr. Jalaj – Soni Investment:

– Thanks for the opportunity. Hope I'm audible.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yes, you are.

– Mr. Jalaj – Soni Investment:

– Samir sir, this question was pertaining to the largest T MT vertical. So I understand that we usually go for renewals during the last quarter. So what sorts of discussions have you had w

ith them so far for these next years? Have you seen any increase in the budget outflow or the deal wins with them , or we are at a decline or a flat situation with this?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Yeah, that's a great question. I think the renewals happen in June, July, August timeframe. And we are quite happy with the fact that the renewals that we expected to happen, have happened. We have not seen a shrinkage in that. I think the challenge has been to win the new business, which is where the softness has been there in the relationship. I think we were hoping that as they start the new fiscal year in July timeframe, the budgets will get disseminated to the next level of operating managers. That has not happened because they've gone through a re -org yet again. So the whole budget dissemination process has been delayed. But we expect by January timeframe, the budgets will get disseminated. And hence, hopefully, going into Q4 or worst case, Q1, we'll start to see some uptake. But as far as renewals are concerned, we are in a very good place. We feel we have secured the renewal that we wanted to secure.

– Mr. Jalaj – Soni Investment:

– Got it, got it. That's heartening to know. And so, one more question. So on a related basis, I want to understand the BFSI softness, the top- line softness. How should we think about it? Should it continue for the whole o f the year ? I know you partially alluded to that two more quarters, we should see it. But could you give some more flavo ur? Because I understand that quant would have a 4Q seasonality impact also. So how should we see both the things together? And when should we see an uptick in this BFSI as a vertical from here? How do you see it?

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– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Let me answer the first part. I think the largest client impact was materially absorbed in the current quarter Q2, or the quarter we just announced the results for , and the tailwind effect or small effect will probably trickle into Q3. And then that will be the end of, hopefully, the end of the impact from this last quarter, last client impact as we see it right now. And like I said earlier, beyond that, we really want to see the business going back up again based on other logos and wins that we're having i n the BFSI vertical. So from coming out of Q3, we'll start to see ... build the momentum up from Q4 onwards in the banking industry in general.

– Mr. Jalaj – Soni Investment:

– Got it. And on the India business, should we consider this the new base of whatever reset had to happen in terms of Microsoft going direct to the clients? Or, y ou feel there is more business which

could come under contraction or is at risk?

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Sujit, do you want to take that piece?

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

– Sure, Samir. So as of now, there is nothing in writing from Microsoft that what they're going to do and how they're going to do, as I mentioned previously. Based on our understanding and how it has happened in other countries, the way it happened is that there will be some accounts, some customers which they may decide to go direct. And all this doesn't happen overnight because there are existing contracts. So even if they decide to get into a direct contract, they wait for the renewal period to come. That means suppose you have a three-year contract and the contract is going to get over in December '26, so after December '26 for a new contract, they will come in. I mean, this is what is our current understanding and this is how it is happening as of today. Whatever few which has happened, this is how it has happened.

– So based on that, our understanding is that, in India, there will be 10 to 15 accounts all over, for Microsoft. I'm not just saying for ourselves, for Microsoft India, there will be 10-15 accounts which

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they may decide to go direct. Out of that, few may fall in our basket. And that's what we have to take care of and we have to manage.

– Mr. Jalaj – Soni Investment:

– Got it. So just an extension to that. So let me put it just in another way. What sort of or what contracts in the next six months are coming under renewal in the reselling business or India business? I guess that would give us a little clarity.

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

– Sure. So to answer your question, in the next six months, we don't expect any of our customers to get into a direct. I mean, Microsoft wanting to take it direct. That's our understanding.

– Mr. Jalaj – Soni Investment:

– Got it. So this should be the new base then. I'm considering that.

– Mr. Sujit Mohanty - MD & CEO, Sonata Information Technology Ltd:

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– Yeah, but I just answered you on six months. Yeah. So I mean, that's how it is as of today.

– Mr. Jalaj – Soni Investment:

– Okay. Best of luck. Thanks a lot.

– Moderator:

– Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

– Mr. Samir Dhir - MD & CEO, Sonata Software:

– Thank you. I think good set of questions during the call. We always appreciate your time. I just want to make one clarification. I think there was a question on order book, specifically. The 1.28 is really for the overall business. And because it's for the whole business, that's how we report out to you. And the two large accounts, the headwinds have really offset that number. But our aspiration still is for the overall business to be between 1.2 to 1.3, which is where we've been in the past. I just want to clarify, it's not for net new only, it's for the overall business.

– But we appreciate the time from each one of you. Thank you for your interest in Sonata. And I also want to take this opportunity to thank all the Sonatians globally for their hard work and commitment to the company. Thank you all, and we'll speak to you in a quarter's time.

– Moderator:

– Thank you, members of the management. Ladies and gentlemen, on behalf of Sonata Software, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

Sonata Software Limited - SSL

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18th May , 2026

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex, Mumbai

Kind Attn: Manager, Listing Department

Stock Code – SONATSOFTW BSE Limited

P.J. Towers, Dalal Street , Mumbai

Kind Attn: Manager, Listing Department

Stock Code - 532221

Dear Sirs/Madam,

SUB: TRANSCRIPT OF ANALYSTS/INVESTORS CALL

REF: REGULATION 46(2)(OA) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Further to our disclosures dated 4th May , 202 6 and 11th May , 202 6, please find enclosed Transcript of Analyst/Investor call of the Company held on 11th May , 202 6. The same is also made available on the website of the Company at <https://www.sonata-software.com/about-us/investor-relations> .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Sonata Software Limited

Mangal Kulkarni

Company Secretary, Compliance Officer and Head Legal

Encl.: As above

Page 1 of 18

"Sonata Software Limited

Analyst & Investor Conference Call for Q4 FY 2026 "

May 11, 2026

MANAGEMENT : MR. SRIKAR REDDY – EXECUTIVE VICE CHAIRMAN

MR. RAJSEKHAR DATTA ROY – CHIEF EXECUTIVE

OFFICE R – INTERNATIONAL SERVICES

MR. SUJIT MOHANTY – CHIEF EXECUTIVE OFFICE R –

DOMESTIC BUSINESS

MR. JAGANNATHAN CN – CHIEF FINANCIAL OFFICER

MS. SHILPA KOLHATKAR – DEPUTY CHIEF FINANCIAL OFFICER

Page 2 of 18

Moderator : Hello, everyone. My name is Inba, and I will be moderating today's session. Welcome to the Sonata Software Limited 's Analyst and Investor Conference call for Q4 and FY2026 ended March 31, 2026.

We have with us today on the call Mr. Srikar Reddy, Executive Vice Chairman of the company, Mr. Rajsekhar Datta Roy , CEO of International Services, Mr. Sujit Mohanty, CEO of Domestic Business , and Mr. Jagannathan CN, Chief Financial Officer. We also have our extended leadership team on the call.

Please know that there will be an opportunity for all the participants to ask questions after the management 's opening remarks. Please note that this call is being recorded. During the call, please note that the management may make certain forward -looking statements that involve risks, assumptions and are based on information currently available to the management.

Sonata does not undertake any obligation to update any such forward-looking statements that may be made in course of this call. We advise participants to exercise discretion while making any investment decisions.

We will begin with the opening remarks from the Executive Vice Chairman, followed by a business overview and financial highlights. After that, we will open the floor for questions.

With that, I hand over the call to Mr. Srikar Reddy for his opening remarks. Over to you Sir !

Srikar Reddy: Good evening, everybody, and thanks for attending the call, and welcome to the analyst call.

Before you hear from the management team on the financial performance and their view of the future outlook and the plans , we felt that is important from Board 's perspective to share our views on the leadership transition. Since Samir Dhir expressed his inability to extend his contract beyond the current contract period, the Board had to take a call on the succession.

As you know, the Board has appointed Rajsekhar Datta Roy as the CEO with the main focus on the international business , the reasons are many , Raj has been with the company for greater

than 30 years , he understands the culture and the DNA of the Company, focused on customers, employees, and investment in new technologies. Raj has also held multiple roles in the organization, including business development, as the Chief Technology Officer, and as the Chief Delivery Officer. He has also been a primary architect of Sonata 's AI strategy built on the Harmoni concept. As the tech world is adopting itself to the new paradigm shift to the AI space, we believe Raj is the right leader to lead the Company into the new world of AI.

The Board is extremely confident on his leadership and the rest of the leadership of the Company to take it to the next level in terms of transforming the Company and adopting the new strategies aimed on AI. The Board is also fully supportive of the management and will continue to assist, help, and guide the management wherever required. Thank you for your

Sonata Software Limited
May 11, 2026

Page 3 of 18

continued support. I will now hand over the mic to the management to make their presentations. Thank you all again.

Jagannathan CN: Thank you, Srikar . Good morning, good afternoon, and good evening, everyone. I will provide the key updates on Q4 2026 and the FY 2026 business and financial performance .

Starting with international business , during the Q4 , we benefited from few growth drivers.

We clocked AI -led order book of \$16.9 million in Q4 2026 and for the whole year it was \$49 million of order book, AI -led order book and now contributed to around 18% of overall order book. AI -led pipeline is \$280 million as on Q4 20 26.

We are actively pursuing AI opportunities across 100 plus clients, helping them unlock the value through operational efficiency gain, time to market through enhanced velocity and customer experience and transformation of business model.

We

secured two large deals in Q4 FY2026 of total. For FY2026 , we had total of eight large deals , with a major global Fintech company as a part of program, Sonata will execute their modernization of core banking platform and AI led-implementation to unify their user 's experience, enable better institutional customer experience and faster outcomes for their clients.

With Sonata, the software holding company backed by a PE Firm focused on acquiring and scaling founder owned vertical B2B SaaS companies, this is a multi-year managed services cloud support contract across Java. We added seven new customers in Q4 20 26.

In FY 2026, total 23 new customers have been added. Top 10 clients contributed revenue share of 54%. Number of clients greater than 5 million run rate stood at 12 in Q4 2026.

Number of clients greater than 3 million to 5 million revenue stood at 9 in Q4 20 26, up by

one number from Q3 2026. Q4 2026 order book stood at \$95 million, with book-to-bill ratio of 1.16 x.

We remain confident that our investment verticals, healthcare, HLS, and Banking Financial services, together, these two verticals now contribute 30% of our total revenue in Q4 2026. Total headcount stood at 6283 in Q4 2026 against 6404 in Q3 2026, with attrition of 11%. 90% of workforce is AI trained. On-site and offshore revenue mix stood at 32% to 68% in Q4 2026 against Q3 of 37% to 63%.

Utilization reported as this quarter is 91.8% in Q4 compared to 90% in Q3 2026.

Let us now walk through our financial performance for Q4 and FY2026 for international services. In Q4 2026, US D revenue stood at Rs.82.4 million, flattish quarter-on-quarter. In

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constant currency terms, it represents a growth of 0.6 % quarter-on-quarter. Rupee revenue stood at Rs.779.2 Crores, growth of 5.5% quarter-on-quarter. EBITDA before other income and forex for Q4 FY2026 improved to 20.2% up 70 basis points from 19.5% in Q3 2026. This EBITDA accretion is primarily driven by operational improvements across delivery reflecting better delivery efficiency and cost optimization. Utilization improved to 91.8% up from 90% in Q3 2026.

As informed previously, our utilization and head count levels were driven by sustainable productivity improvement and operational efficiency in delivery enabled by AI adoption, differentiated AI solution, agentic implementation across projects. Our offshore revenue mix improved to 68% from 63% in Q3 2026. We also benefited from pyramid optimization and price increases. For ex fluctuation was beneficial in quarter-on-quarter, and all these levers were partially offset by higher AI led CSP bundle deal cost. EBITDA after other income and forex for Q4 2026 stood at Rs.183.8 Crores, growth of 25.2% quarter-on-quarter and 50.9% year-on-year. In Q4 2026, PAT stood at Rs.84.2 Crores, growth of 40.6% quarter-on-quarter and 35% year-on-year.

Reported ROCE and RONW for the quarter stood at 24.5% and 30.3% respectively.

International services DSO for Q4 2026 reported at 64 days against 71 days in Q3 2026. In FY2026 our international services dollar revenue stood at \$328.4 million, a degrowth of 2.1% year-on-year. The Rupee revenue stood at Rs. 2,948 Crores, growth of 4.2% year-on-year. EBITDA before other income and forex for FY2026 stood at 18.4%, 1.4% accretion compared to 17% in FY 2025. EBITDA after other income and forex for FY 2026 stood at Rs.607.7 Crores, growth of 18% year-on-year. FY2026 the PAT stood at Rs.292.7 Crores, growth of 18.7% year-on-year.

Now let me provide an update on domestic business. Despite headwinds from one large client renewal this year due to direct MS relationship, we continue to make a good progress in financial performance. Revenue for Q4 2026 stood at Rs. 1759.2 Crores. This may reflect a degrowth of 25% Q-o-Q and 8.3% year-on-year growth. Gross contribution for Q4 2026 stood at Rs. 75.3 Crores, degrowth of 1% quarter-on-quarter and degrowth of 3.9% year-on-year. PAT for Q4 2026 stood at Rs. 46.3 Crores, growth of 3.9% quarter-on-quarter and growth of 2.5% year-on-year.

DSO for Q4 2026 is 47 days compared to 42 days in Q3 2026. Reported ROCE and RONW for the quarter stood at 43.5% and 39% respectively. Domestic business, revenue for FY 2026 stood at Rs. 7772.1 Crores, growth of 5.9% year-on-year. Gross contribution for FY 2026 stood at Rs. 288.7 Crores, degrowth of 3.5% year-on-year. PAT for FY2026 stood at Rs. 171.7 Crores, degrowth of 3.6% year-on-year.

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Update on the consolidated business now. For the quarterly update, consolidated revenue for Q4 2026 stood at Rs. 2536.2 Crores, degrowth of 17.7% quarter-on-quarter and degrowth of 3.1% year-on-year. PAT for Q4 2026 stood at Rs.130.5 Crores, growth of 25% Q-o-Q and 21.4% year-on-year. Reported ROCE and RONW for the quarter stood at 28.1% and 32.5% respectively. Consolidated revenue for FY2026 stood at Rs. 10,701.2 Crores with growth of 5.4% year-on-year. PAT for FY2026 stood at Rs. 464.4 Crores in FY 2026 compared to Rs.424.7 Crores in FY 2025. Consolidated EPS reported for FY 2026 stood at 16.74 per share against last year 15.3 per share. We have recommended a final dividend of 4.15 per share.

Update on cash flow. Cash generation remains strong during the year with a closing cash balance of Rs. 606 Crores and a net cash position positive of Rs. 31 Crores , a significant improvement from Q3 FY 2026.

To conclude, in a difficult year characterized by macroeconomic challenges and client ramp down, Sonata displayed a resilient performance by growing PAT 18.7% year-on-year for International and 9.3% for consolidated business for FY 2026.

We also were able to win and ramp up few large deals during the year , which gave us some tailwinds as we enter the new financial year. Our Q4 2026 performance continued to reflect disciplined execution and continued progress across our strategic priorities . The benefits from AI-led productivity initiatives are becoming increasingly visible across delivery and enterprise operations concerning our confidence in driving sustainable efficiency over a long-term period . Our endeavor will be to maintain EBITDA at a similar level.

While the macro environment continues to remain dynamic and client decision cycles remain elongated, we are encouraged by momentum in our pipeline, especially around digital and AI-led transformative initiative. We remain cautiously optimistic and expect gradual improvement and growth over the medium term. I now hand over to Raj for his commentary on international business.

Rajsekhar Datta Roy: Thank you Jagan and thank you everyone for joining us today. It is an absolute honor to address you for the first time as a Chief Executive Officer of this Company focusing largely on the international business. Having spent three decades here at Sonata and have worked in various roles from business development, technology, delivery, and recently as a Chief Technology Officer and Chief Delivery Officer, I fairly understand the business, the clients, the employees, and the culture very well and I think it provides a unique opportunity for all of us to build on the foundation that has already been laid and what the opportunity is presented in front of us.

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I think we proudly inherited Company with very strong customer relationships, depth of engineering, operational discipline, which has been at core, our culture with people and how we operate and these strengths will remain central as we move forward and will also continue to guide us as we go to the next phase of growth. At the same time, I think it is important to also appreciate the context in which we are operating.

One, I think, is technology shift that we are seeing with AI and the various opportunities as well as the headwinds it presents and I think that is an interesting area and we will talk more as we go along.

Second is the macroeconomic environment and the uncertainty that it presents but one thing is for sure is that AI is now on top of the agenda of every enterprise and how they are trying to utilize to leverage in each of their business context. Our point of view is that all organizations will reimagine how they operate, how they use technology with AI and the need to adapt and evolve will be faster than before. The speed will go up in the midterm in terms of the velocity, what we call the enterprise velocity, and that will lead to demand, especially where organizations move from system of record intelligence to system of autonomous action. This presents multiple opportunities for Sonata, and I think we are well positioned today because of a few things that I want to mention.

- Number one, I think is our strategic and long-term relationship with clients , which we intend to strengthen partner , we are working with many of them already on their AI initiatives, and I think that will only benefit us going forward.
- Number two is our mix of business. I think predominantly we have a larger part of engineering versus managed services, and we see the need for engineering and the speed that it needs from delivering value to the customer and driving more demand in that space.

Third is our size. That gives us a unique position to have more headroom to grow even in this situation. We also have invested over the last year or more on building capabilities, I think our people have largely been certified about 90%. We have built differentiated capability with Harmon i.AI and AgentB ridge and that shows in the pipeline increase that we have in the AI - led opportunities. We also have a strong partnership ecosystem. Microsoft, of course and AWS and others and that also gives us confidence that we are well positioned.

Going forward, I think there are value pools where I think we can be very well positioned and one is to how to reimagine the business processes in the context of AI. Second is the legacy modernization and how do we modernize legacy applications and platforms. Also around SaaS, around environments that is going to unlock value for our clients and how do you

transform our delivery into an AI-led delivery?

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We have made progress on that already, and I think we can accelerate that much faster and of course, the responsible first AI services that are needed more and more as people adopt AI.

So these are important value pools that Sonata can distinctly operate in.

Going forward, I think we will strengthen this further and you will see us looking at new ecosystem partnerships and in focusing on certain verticals and subsegments and at the intersection of subsegments and the partnership will have a very differentiated potent capability to take to the market and that will be a focus as we build on this.

We will continue to invest on our capabilities, workforce readiness, ecosystem partnerships to enable this and my focus lies is that in the understanding of where the market is headed and remain confident on how we can proactively position the Company to get best of the opportunities that lies ahead of us.

My immediate focus is to first ensure continuity and that we continue to be deeply focused on our short term priorities, strengthen further our client relationships, accelerate the delivery transformation to be AI led, and build a roadmap for the AI capabilities and not the last, but one of the most important is to continue to drive our operational improvement momentum that we have built in recent times. I thank you very much for your continued trust and partnership, and

look forward to the next chapter together positively. Thank you.

Moderator: Sir may we open the lines for questions now?

Shilpa Kolhatkar : Shilpa here Inba . Mr. Sujith is going to take a few minutes to talk about domestic business.

Post that we can open the line, please. Go ahead Sujit !

Sujit Mohanty: Thanks everybody for joining this call. Our domestic product business continues to demonstrate resilience and relevance in a dynamic market environment. You know, despite facing the headwind due to one of our OEM partners starting direct billing with some selected large customers, we continue to make good progress in our business.

Revenue for Q4 FY2026 stood at Rs.1759 Crores . Gross contribution is at Rs. 75.3 Crores and PAT for Q4 FY2026 stood at Rs. 46.3 Crores, which is a growth of 3.9% quarter -on-quarter .

We are making steady progress across the strategic pillars , which you have spoken before.

We are expanding our market coverage and we are having a sharper focus on the SMC and corporate segment. We have grown this business around 27% year -on-year. We have broadened our partnership with other hyperscalers and OEM partners. We are executing multiple GTMs with each of these hyperscalers. We are also expanding our business related to tools and platform offering from OEM partners other than the hyperscalers. We are also

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focusing on large hybrid system integration deals that integrate physical server storage and other ISP infrastructure, including IT security with leading cloud platforms. These strategic bets are core to building a more diversified, resilient, and future ready business for us.

In accordance with the current interest for the use of artificial intelligence in most of the enterprises, along with our OEM partners, their AI tools and platform offerings, we are working with most of our customers in their AI initiative. We are setting up their AI infrastructure, implementing and helping them in using the AI tools and working with them in building the AI user cases and POCs. Over the first few quarters, we have remained focused on strengthening the quality of our economics , deepening strategic customer relationship, and building scalable cloud-led managed services capabilities.

Overall, we remain confident in the direction of the domestic business. Our focus is not only on the growth, but on building a diversified, scalable, and future ready business with sustainable value creation for customers, shareholders, employees, and partners. With this,

let me hand over to the moderator for question and answer session. Thank you.

Moderator: Thank you very much, Sir . Ladies and gentlemen, we will now move to the Q&A segment.

To ensure we provide space for as many participants as possible, we request you to limit yourselves to two questions per turn. For participants connected on Zoom, please click on the raise hand icon located at the bottom toolbar on your screen. When called upon, you will receive a prompt to unmute. For participants connected via telephone call, to join the queue, please press star nine on your telephone keypad. When it is your turn, you will be prompted

to unmute by pressing star 6. Please state your name and Company name before asking your questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take the first question from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta: Yes, thanks for the opportunity. A couple of questions. Just first want to get sense about the tweaking in the strategy planned in IIT S business. Can you help us understand what would be the focus area of investment, partly you covered in your prepared remark, but if you can elaborate further in terms of vertical and subvertical where you I think indicated some of the subvertical kind of strategy, so vertical and subvertical where we in

tend to make investment

and how one should look at it from medium term perspective and if you can touch upon also M&A in that part, how M&A fit into overall growth strategy. Second question is about the overall IIT 's growth performance perspective, I think last four quarter largely remained flat is between 0% to 1% kind of growth rate. How one should look growth trajectory there? Earlier the growth was impacted for a couple of client specific issues as well as RMD vertical kind of challenges, can you provide some update on some of the challenges how we expect it

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to play out and last question is about the overall if I look let us say last four quarters there is a significant movement across vertical and GTM or service line so there is a sharp volatility kind of thing can you provide broad sense on near term demand trend and any specific headwind across this vertical and GTM which we report and which vertical likely to lead the growth? Thank you.

Jagannathan CN : Raj will you take the call?

Rajsekhar Datta Roy: Yes. Thank you, Jagan and let me give you a quick commentary, I think, on where we are thinking. You will appreciate that it is about, I think, 15 days since I have just taken over, but I will give you a preliminary direction on where we are looking at. I think we will continue to have the verticals that we have. So we will have continuity on the verticals. What we will do is will sharpen focus on particular areas of the vertical where we are strong and where we see the demand growing. I think that is what it is. The exact specificity of which areas are something that we will formulate in the next couple of months and then we will provide you an update in detail about that. Number two is on investments that you have worked. I think we will expand on building our offerings and capability, both in terms of go-to-market capabilities that we have that we will invest in, aligned to this strategy of subverticals. We will look at new partnerships as we go forward, while it might take some time to fructify, but new partnerships and third is how do we build on differentiated capabilities in delivering with AI. I think there are three large buckets that we are looking on going forward, but as I said we will provide more specific thing in a couple of months from now. The second thing was around growth. I think we continue to maintain resilience in the short term and have the current momentum continuing for now. As we move forward and as we move forward and make some of these changes, we will come back and update you on further. The good part of this is that we see a healthy pipeline on AI-led opportunities that is coming up and our focus will be that how to quickly convert them and convert them into revenues, but despite the macroeconomic and general challenges that we face with clients in terms of decision making and stuff. The third point that you mentioned is about how we look at what is driving, which verticals are going to drive. I think we still see growth being driven by our technology. BFSI and HLS in the short term as we try and see how to bring back RMD into the growth path. Thank you.

Jagannathan CN : So to add to Raj 's update on the business, on the M&A front, we are looking for, in case there is an opportunity come for us with a good prospect in the particularly new technology area, we may evaluate for it, but at present, we do not have any plan specifically to grow the business through the M&A leverage. We will wait for a couple of more quarters, and in the medium term, we may open up this further.

Dipesh Mehta: Thank you. I have a couple of more. I will come up in follow-up. Thank you.

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Moderator: Thank you. We will take our next question from Amit Chandra of HDFC Securities. Please go ahead.

Amit Cha

ndra: Sir thanks for the opportunity. So my first question is in the continuation of what the earlier participant asked. So last year, last few quarters, there were few client -specific issues, specifically in the retail, also in healthcare and largely in the BFSI vertical that we are facing that impacted the growth. For the full year, FY2026, BFSI was the vertical which had the maximum damage and we have seen some stability there. So, if you can elaborate more on how we are planning to scale up the BFSI and also you mentioned about the sub verticals within BFSI. So, which subverticals are we focusing and we also had some tail winds in the BFSI vertical. So, how to look at the growth coming back in the BFSI and is it also coming from existing clients or we are hunting for new clients in the vertical?

Rajsekhar Datta Roy : I think three questions, Amit, that we had. Yes, I think we had issues in the past with some of the verticals, RMD, BFSI that you mentioned, some client specific issues. I think we are largely behind us today on those issues and we need to build it , but that said, I think BFSI is still under pressure and we need to be clear that there might be further pressures in existing clients for contraction, if any, but not very significant as we see. The second thing is on your subvertical focus I like I mentioned that we will work on this further we have a view today, but we want to validate that and then we will come back and provide you those inputs as we get build further clarity amongst ourselves. The number three is, I think, on how do we see growth. So I think in the short term, looking at all the decision making cycles and what we have, I think we will continue to mend in a similar growth trajectory in the short term as we build for future. I think the new wins are in a very interesting financial services space, largely in payments area and that remains an interesting opportunity for us because we are helping them modernize some of their core system in providing a unified client experience and that definitely will be something that will help us consolidate in the payment space. So that is the quick summary.

Amit Chandra: Sir we have seen TMT coming back in this quarter and obviously it has been the strength of Sonata. How are we seeing this spending from the topline there? if you can give some picture in the sense that, how do you see spending coming back there or the AI led benefits that, all the pass through is now behind or we can see, some increased spends or some increased engagement with the top client in the TMT vertical?

Rajsekhar Datta Roy : I think, interesting question, Amit, on the top client in the TMT vertical. Yes, I think we see a little bit of upturn now from them and I think we should look at it on that client , but as with some of these clients I think it changes and there are some recent developments. So we need to watch out how much of that is sustainable. We are watching this very, very carefully that whatever we are seeing, the upturn is actually sustainable. Number two is we are trying to

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pivot to areas where the spends are going up versus the spends which were getting cannibalized so as to speak and I think that is working out but we still need to see as you might know, that some of these things, their financial year and our funds is shortly coming up and we need to see what this means and is this sustainable , so we are watching this out carefully, but we have a slight upturn.

Amit Chandra: The last question is on the margins obviously we have been able to scale up the margins that we have talked about earlier and in terms of utilization we are operating at the max utilization like levels so now that we have reached the margins that we desire to so can we expect some increased investments in the business for growth or we are planning to keep the margins at this level

unless we have the clarity for growth and what is the medium term margins that we are likely to operate in?

Jagannathan CN: I will take this call. Amit, the margins, we are evaluating the options for the investment. We will continue to do investment because the growth, particularly the transformation to AI will continue to happen for us and which has had very good traction. If you see the order book levels have become 18% of our total order book. We have progressed very well. We will continue to invest on this. Our efficiencies and utilization have reached the best possible place where it can be. We will continue to invest. We will continue to monitor. We will, for the short run, we will have a similar kind of margin. So we will see based on the requirements for the future growth, we will definitely be open for investments and for the growth to come in future.

Amit Chandra: Thank you and all the best.

Moderator: Thank you. Before we take our next question, we would like to remind participants to ask a question , you may click on the raise hand icon or if you connected via telephone call, you may press star 9. We will take our next question from Praveen Kumar from Equitas Capital Advisors. Please go ahead.

Praveen Kumar: Thanks for the opportunity. I had a couple of questions. The first one was on the disclosure

on the large deal pipeline. If I compare the current quarters number at 11 to the previous quarters, which used to be in the 28 to 32 kind of a range, that seems to be a sharp drop off in the large deals pipeline on the international business, so can you throw some light on what is happening there? Why the sharp drop off? and is there any specific issue that you would like to call out here? That is the first question. Thank you.

Shilpa Kolhatkar : So if you look at the large deal pipeline, it continues to be strong. I think the overall trajectory has not changed. The reason pipeline would have come down is because we have announced two large deals this quarter, if you have seen one of the prepared commentaries. So that is the

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reason in the short run there will be a drop there, but overall pipeline momentum and the count of large deals, as you can see on that investor deck, continues to be strong. Thank you.

Praveen Kumar: Sorry, I am confused a little bit because in the previous quarters, the number used to be around 28, 32 or in that range, right, now, even if I account for a couple of deals converting the deal, the large deal pipeline, which have disclosed the numbers, if I add up that is 11. So that is quite a sharp drop off, right? So I am not 100% clear on what you are implying.

Jagannathan CN : No, this is just to add a flavor to it. It is not a particular point of time what is the open large deals we are just reflecting on this? The number from this time, March 31 to now, it is already still being done. During the year-end time, you would have converted many of the deals into a large deals and then subsequently it is getting added more and more on this. It is just a point of time it does not reflect anything on a pipeline now overall.

Praveen Kumar: I understood. Second question was on the domestic business. So we understand the challenges that are there from the large, large client going direct, etc., so how do we see that panning out and when do we see the domestic business returning to growth on a gross contribution basis and on a beta basis?

Sujit Mohanty: So hi, Praveen. This is Sujit. So you could have seen last financial year, we started with this little bit of headwind, where we lost one of our largest customer, but you could have seen

over the last four quarters, we have almost covered up the whole loss and as we stand today, we believe that during this fiscal year we should be back to our growth trajectory. Thank you.

Praveen Kumar: I understand. Thanks for

the clarification.

Moderator: Thank you. We would like to remind our participants, if you wish to ask a question, you may click on the raise hand icon again. Participants connected via telephone call, may please enter star and nine. We will wait for a moment while the question queue assembles. We take the next question from Bharat Gulati from Dalal & Broacha. Please go ahead. Mr. Gulati, could you please unmute your microphone and ask your question?

Bharat Gulati: Thank you for the opportunity. Just a couple of questions from my side. So firstly, just wanted to understand on the margin trajectory on the international business. In the short term, you said it would be stable, so do we expect these utilization levels to sustain at this 91.8% to 92% range or just trying to understand what is going to drive this constant margin trajectory?

Jagannathan CN: So we have guided that will be in a similar kind of a margin. With respect to utilization, depending on the business requirements, utilization may come down a little bit because we have reached the best possible situation for us in the utilization frame, but going forward also,

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if the operational improvements because of the adoption of AI and agentic AI will continue to help us to maintain the margins in the business trajectory what is coming in. Our onsite offshore mix is also one of the best at present situation. So we will be able to maintain the similar margin over a period of time. In case it requires additional investment for the growth we are open for it.

Bharat Gulati: Got it and just on the domestic business, just wanted to add on to the last participant's question. Just wanted a clarification on, are we keeping our outlook intact to get growth that we historically had in that segment of our business and how do we look at our existing business in that segment given that direct competition has come in and how are customers panning out?

Sujit Mohanty : On the direct competition from the OEM partners, I think, see, as a policy, they have not given anything in writing but as per our understanding, we do not see that we will be losing any further of our large customers that is point number one. Point number two, even if now

some customers are going to be directly billed, because they are not in the top 20 to 30 list, materially it will not impact that much, if at all it happens. But as I said, as for our understanding of the current situation, our understanding, though we have Microsoft India talking about their future policies, we do not see any further hit in the coming quarters. In fact, in the recent past, there are two to three customers who were in discussion regarding direct billing, but we worked with Microsoft and customers, and jointly we made sure that those customers finally signed through in a partner route through us. So this is where we start. So from a direct billing point of view, we are not expecting to lose much. I hope I have answered your question.

Bharat Gulati: How do we see growth? I mean new customers. How do we see that addition and how do we see just on the growth front? Do we see that historical growth come back or will there be a slight impact to growth going forward?

Sujit Mohanty : No I think in one or two quarter we will be back to our old growth rate and see during this old four quarters it is not that we are not winning other customers are not adding business , it is just the fact that such a large customers were with us almost for 15 to 16 years. We had built up a huge business. You know the impact was such high that we took a few quarters to cover it up and I just mentioned a few minutes back, we have almost covered it up. So we are hopeful and we are very confident that this financial year, we will be back to our business. Thank you.

Bharat Gulati: Fair enough Sir. Thank you.

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Moderator: Thank you. Our next question is a follow up from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. Just want to understand the domestic business. Earlier we indicated about one client impact in last November and another client in H2O of FY2027 a re we indicating that another client hit which was supposed to happen is unlikely to play out now and that gives us confidence about growth on sustainable basis from here on a nd second question on the margin, how one should look that business because when we indicated earlier about expansion to new client as well as new partnership usually it starts at either break even or loss, so which could have a ramification or margin trajectory. So if you can address both of these questions ? Thank you.

Sujit Mohanty : Thanks Deepak. So as I just mentioned for the previous question, we are not anticipating to lose any further customers to direct bidding that is, just to answer your first part of the question. Now, coming to the growth and, the future business. So, we will continue to have our GTMs, we will continue to have our existing customers, we have our plan to get new customers. So, the future business will be as usual and we do not expect any further hit? Is there anything?

Dipesh Mehta: So margin I was more interested because the new business may come at lower margin that was the expectation.

Sujit Mohanty : From the margin point of view in our business when you go for very large deals as you said very rightly that when you enter to the contract there is a chance that you work or you operate at a very , very low margin or almost nil margin, but that is built into our business plan and we have a mix of existing customers, what we call the farming, and then we have a plan every year for new auditions, which you go for the hunting. We have a mix of these two businesses and, the earning of low margin for the new business, which comes from new acquisition and complete accounts, that is already built into the business. So when we say that we are going to have a regular growth during this financial year that has already been taken into account and the second point is that also we keep changing our business nature in terms of, from a pureplay resale to get into a little bit of system integration, multi-cloud management. So this is how the business is also changing and these are the requirements from the customers as they are also becoming much more experienced in operating under multi cloud situation. So multi cloud management, security management, all these become a part of additional services, which we have already started providing. So because of all these things, we are very confident that the margin situation from the market, we can handle it.

Jagannathan CN : Dipesh , just to add a point to that, what it is highlighting is this is not changing the business model substantially what it was last year to current year. This is the situation for us for a long

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period of time, and we know how to handle it over a period of time and the entry level margin may not reflect the sustained margin for the business. Later, we add services, we add other components of it, and keep expanding on and mine the account much, much deeper. So in this business, the current situation exists in the past and this exists in the current situation also.

Dipesh Mehta: Understand and last question is about the IITs just want to get sense on the dynamics part that business remain relatively weak through the year and the same on data part, so if you can provide on the revenue by GTM what we disclosed. Debtor it was expected it to be very strong growth kind of thing but somehow it remained under pressure so if you can give some perspective on data and dynamics these two GTM? Thank you.

Rajsekhar Datta Roy

Y: Thank you, Dipesh and I think two questions. I think dynamics growth remains very, very important to us and we continue to be in the top level partnership with Microsoft and as we go forward, we will further strengthen our dynamics go-to-market as AI business solution, and so that remains our key focus as a part of the go forward strategy. We have interesting pipeline which has come up with dynamics with AI recently, and we are looking forward to convert them to get some tailwind as we move forward. As far as data goes, it has largely been contributed by the BFSI, one particular client ramp down, and a little bit by the RMD client ramp down, but thereafter, I think we are building good market with data. I think one of the things with AI, the opportunity is that what the data for AI, and we are creating a data product for AI as a data source, and that will help drive further momentum as we go forward, but that also remains a focus.

Moderator: Thank you. We now move to our next question. That is a follow-up from Praveen Kumar of Equitas Capital Advisors. Please go ahead.

Praveen Kumar: Thanks for the opportunity again. I had a quick follow-up on the international business. I think over the last several quarters, the management has called out lengthening deal decision cycles and broader macro and today, again, Raj in his commentary has called it out. So just wanted to understand that, given that Sonata has had a significant AI focus and significant AI readiness over a period of time, and given the modest size of the business, what are the hindrances in terms of getting more traction in this, even in this kind of an environment, if you could throw some light on that? Thank you.

Rajsekhar Datta Roy: I think, all the three points, AI definitely presents an opportunity at our size and I called it out when we made the initial commentary. The decision making cycles is, I think, for clients largely on AI has been on to take the larger plunges rather than experimentation. We are seeing green shoots of that coming up, especially in the engineering space, but yet I think the decision making continues to be elongated, not so much by technology or what it can do, but

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the macro environment in which the client is. I think that is the inhibiting factor. With that said, we will continue to further strengthen our capability because at the end of this, I think AI will demand, will grow up in the medium term and Sonata will be more ready in its focus areas to address that growth opportunities.

Moderator: Thank you. The next question is from Ashis Dash of Mirae Asset Securities India. Please go ahead.

Ashis Dash: Thank you for the opportunity. I would like to understand your thoughts around FY 2027 growth outlook. So in the previous call, basically, we highlighted that in TMT vertical, the non-engineering segment continues to face the budget pressure and also, we saw in FY2026, BFSI declined significantly and basically the companies in IT services space basically talking about there is spending remains healthy in the BFSI side, so I would like to understand the outlook of BFSI and TMT as well as the overall growth outlook for FY 2027?

Rajsekhar Datta Roy: So I think on the BFSI, it was largely affected by one large client ramp down and that showed rather than the BFSI in other customers continued to be in similar trajectory. Two parts there is of the answer. One part of the answer, I think the recent deal win, in the BFSI should further help us grow in BFSI and we are also seeing some client ramp ups, especially as they modernize their application landscape with AI. I think that is a positive, but we also notice that some large clients have the economic situation is also leading to some contraction, so, we are watchful about it, but I think there is a slight tailwind because of the ramp ups and the

ne wind that we have that is on BFSI. As far as TMT goes, yes, I think we are seeing an increased traction in TMT, but I think we need to see how much sustainable it is as we grow

and that is what we watch out for continuously, that it needs to be sustainable growth and so that it can be seen to continue as we grow forward. Largely, I think we see TMT, HLS, and BFSI still driving our goal as overall growth in FY2027 as well as RMD continues to recover.

Ashis Dash: Thank you so much for answering my question. Thank you.

Moderator: Thank you. Our next question is from Sushovan Nayak of Anand Rathi . Sir, could you please unmute your connection and ask your question? Mr. Sushovan Nayak, you may enter star six and unmute your mic. Mr. Nayak, could you please unmute your microphone?

Sushovan Nayak: Just two bookkeeping questions. One is on the capex, right? I think there is almost a 70% increase in the absolute value of the capex. Any particular reason on what is exactly there and what do we expect as a steady state? That is one and on the IT services business, the margins also, I think they have gone up 20%. What do we expect to be the steady state? Do you expect some improvements over and above this? I think these are the two questions. Thank you.

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Jagannathan CN: I will take this question. Both the capex is because we had to launch a new facility in Chennai for one large BFSI customer this is like a one-time activity, so hence there is an increase on the capex for the current quarter. However, this will not continue, and we do not have any plans of growing any other facility at present. So if there are any updates, we will come back to you. This is a very smaller facility kind of a situation. Earlier quarter, we did not have anything. We have optimized the facilities also as possible earlier. The next one is on a margin. Our endeavor is to maintain the EBITDA at the similar levels. We will continue to strive for it. However, if there is an opportunity for growth and that requires an investment, we are very much open for that.

Sushovan Nayak: Sir, can we take the first half capex annualized as the fair number for the capex going forward? Is that fair?

Jagannathan CN: Yes, we can share that separately. Not expected. It will be in the similar levels of previous year. Overall year, not for the one quarter. One quarter into four is not a number whole year financially.

Sushovan Nayak: Sure. Thanks.

Moderator: Thank you. That was the last question for today. I turn the call back to Mr. Jagannathan CN for closing comments.

Jagannathan CN: Thanks for that. In a difficult year characterized by macroeconomic challenges and client ramp down, Sonata displays a resilient performance by growing PAT by 18.7% year-on-year for international business and 9.3% on consolidated business level. We also were able to win and ramp up large, very few large deals during the year which gave us some tailwind as we enter the new financial year.

Our Q4 2026 performance continues to reflect the disciplined execution and continued progress across our strategic priorities. The benefit from our AI-led productivity initiatives are becoming increasingly visible, and across delivery and enterprise operations, strengthening our confidence in driving sustainable efficiency over long term career. Our endeavor is to maintain the EBITDA at similar level, while macroeconomic environments continue to remain dynamic and client decision cycles remain elongated.

We are encouraged by the momentum in our pipeline, especially around digital and AI-led transformation initiative. We remain cautiously optimistic, expect gradual improvement and growth over a medium term. Thank you all for joining for the call. Once again, thanks for all the support and continued confidence in Sonata Software. Thank you.

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Moderator: Thank you very much Sir. Ladies and gentlemen, on behalf of the leadership team, I would like to thank you for your time and for your continued interest in Sonata Software . Should you have any follow up queries that were not addressed, please feel free to reach out to the investor relations team at investor@sonata-software.com . You may now click on leave button to exit the meeting. Thank you for your participation. Good bye.